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By Pat Bustamante

Senior Economist, Westpac

07:00 May 04 2026

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Today's economic developments and market movements.



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Key themes:

- There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.
- US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.
- Bond markets saw only modest moves, while the US dollar firmed slightly during the session.
- Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

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March CPI – all about fuel, too early for pass through

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By Justin Smirk

Senior Economist, Westpac

15:30 April 29 2026

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Headline March Quarter CPI 1.4%qtr/4.1%yr; Trimmed Mean 0.8%qtr/3.5%yr. Monthly March CPI 1.1%moth/4.6%yr, Trimmed Mean 0.3%moth/3.3%yr.



- Headline inflation being boosted by surging fuel prices.
- Core inflation was moderating before the Gulf Crisis and, at this stage, there is very limited sign of any passthrough to from higher fuel costs to broader price pressures.

- Today's inflation update locks in a May rate increase and while we expect to see two more after this, a lot will depend on just how much demand destruction we see because of higher prices.

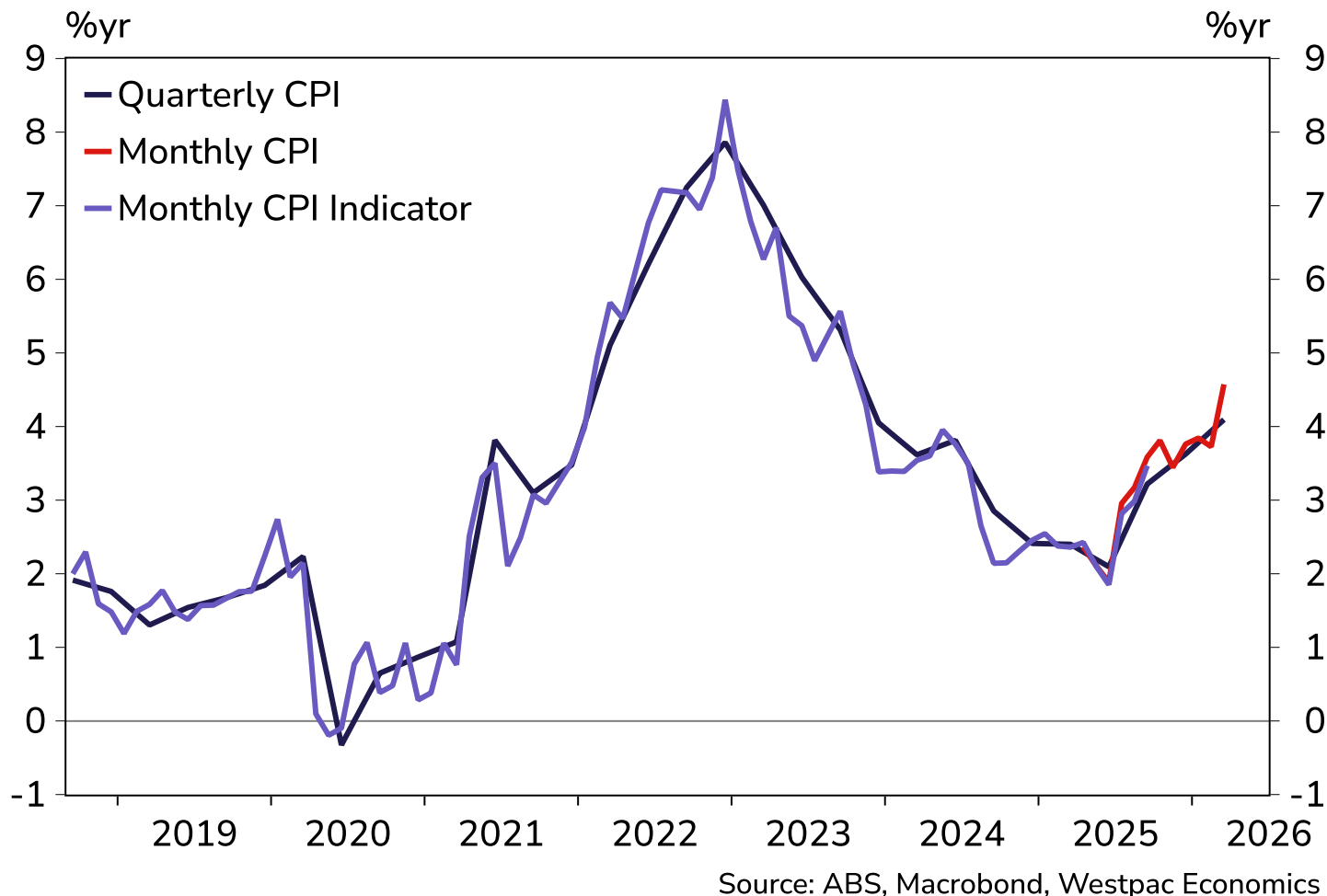
The CPI gained 1.4% in the March quarter, on par with market consensus and close to Westpac's expectation of 1.46%. The annual pace of headline inflation, at 4.1%yr, is accelerating again; it was 2.1%yr in mid-2025 lifting to 3.6%yr in December. The acceleration through 2025 was mainly the unwinding of energy rebates but in early 2026 it is the crisis in the Gulf, and resulting surge in auto fuel prices, that is driving the acceleration. However, the cost-of-living assistance and surge in auto fuel has a limited impact on core inflation and so these measures take on more critical role in assessing the current pace of inflation.

The Trimmed Mean (TM) lifted 0.8% in the March quarter. Westpac and the market expected 0.9% (Westpac 0.93%). However, in our preview we highlighted that calculating the quarterly TM based on historical survey timing, which the ABS is doing given the short history for a number of series, pointed to a small downside risk to our estimate. The annual pace lifted very modestly from 3.4%yr to 3.5%yr.

The monthly trimmed mean increased 0.3%moth, which held the annual pace flat at 3.3%yr for the fourth consecutive month; the six-month annualised pace eased back a touch to 3.5%yr from 3.9%yr in December. It is worth noting that at this point in time the annual pace of the monthly CPI is tracking under that of the quarterly CPI.

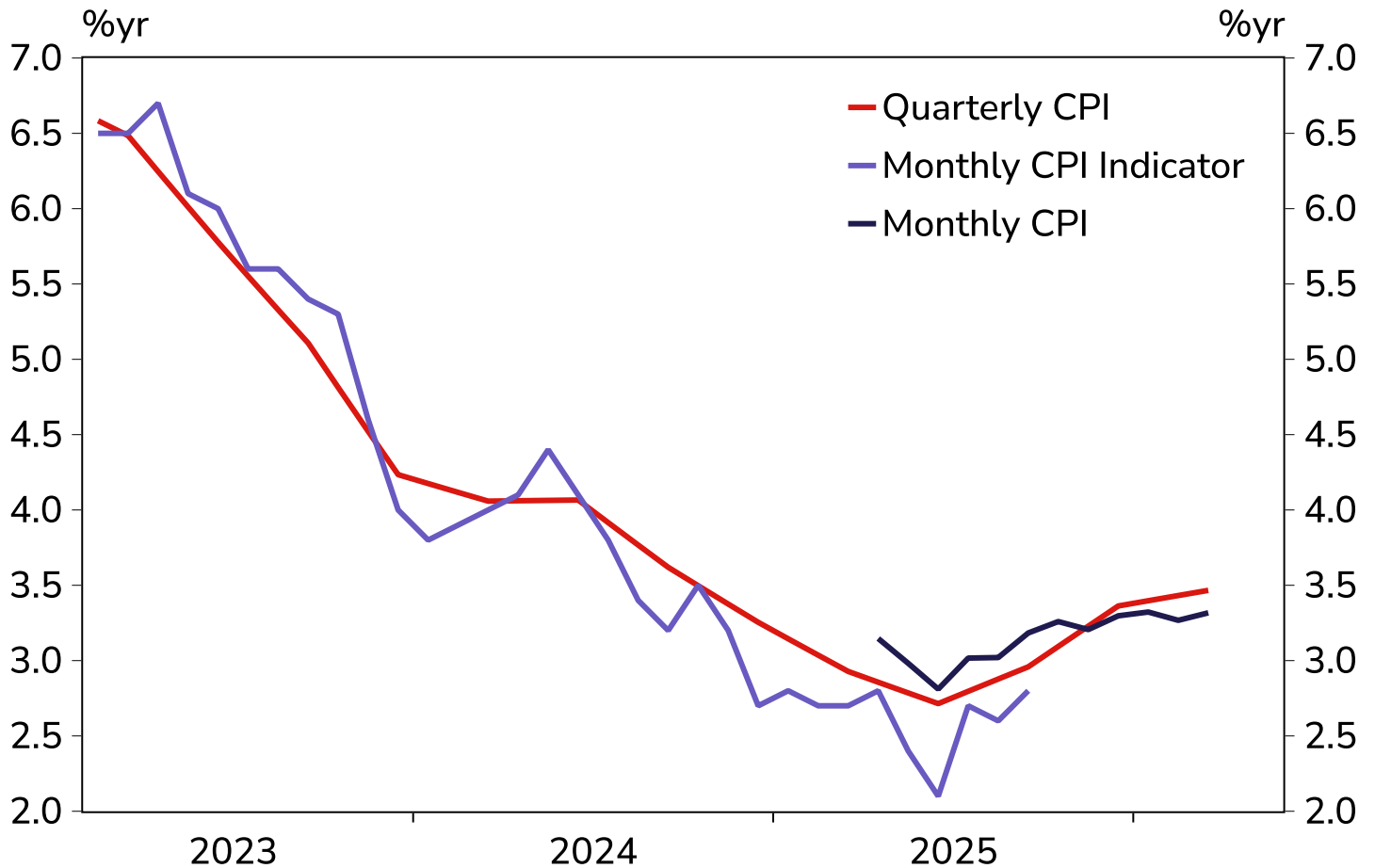
Prior to the Gulf Crisis, the momentum in core inflation had been moderating.

Headline Inflation



The headline Monthly CPI lifted 1.1% in March to be up 4.6% in the year. This was quite a bit softer than our estimate of 1.3%_{mt}/4.7%_{yr}. Worthy of note was that auto fuel was softer than expected, lifting 32.8% vs. 36.4% expected. More concerning to the outlook for core inflation was that dwelling prices lifted 0.5% in the month compared to our expectation for a more modest 0.2% increase. The ABS did note this increase in the annual pace was due to project home builders raising base prices to pass through higher labour and materials costs over the year but made no comment on the monthly increase.

Trimmed Mean Inflation

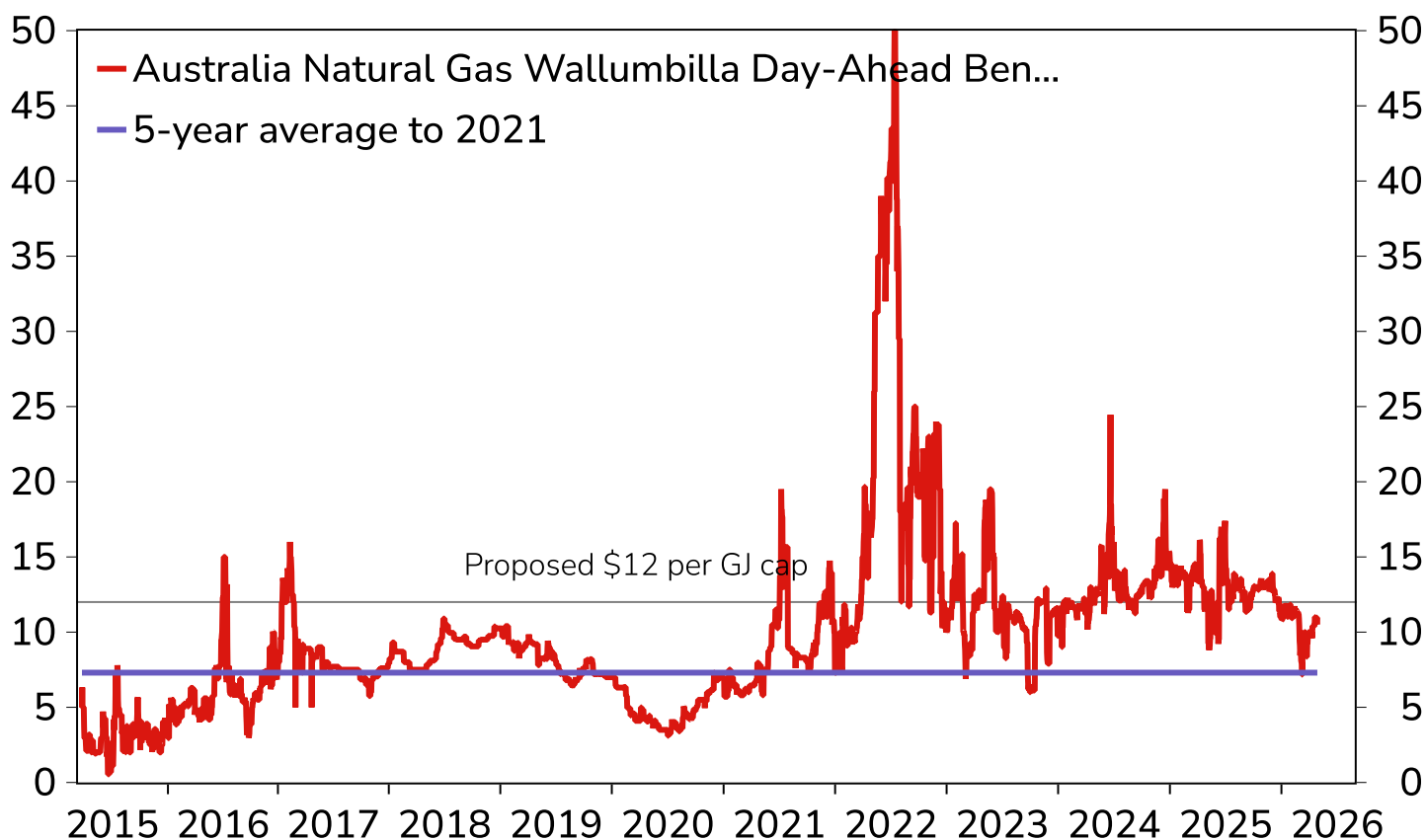


Source: ABS, Macrobond, Westpac Economics

For the RBA, as noted by Westpac's Chief Economist Luci Ellis in "**RBA May hike locked in**", there was some scattered signs of pass-through to other prices, even though March was very early days for this to be evident and most likely it is business taking the opportunity to raise prices in front of looming cost increases. However, it was not widespread and as we covered before, electricity prices have benefited from Australian local gas prices separating themselves from global LNG prices (the local price is currently around \$10/GJ so under the government's proposed \$12/GJ cap) and the rising share of renewables supported by storage which has seen lower than average summer electricity prices.

Wholesale Natural Gas

Wallumbilla Benchmark Price, \$/GJ



Source: , Macrobond, Westpac Economics

Nevertheless, we still expect the RBA to raise the cash rate at their May meeting. Given recent communication from the Bank has characterised the supply shock as ‘further exacerbating existing capacity pressures’ with future demand destruction just a possibility, we see two further interest rate hikes after May. It is true that the Trimmed Mean for the March quarter was on the RBA forecast of 3.5%yr but to achieve their estimate of 3.7%yr for the June quarter we will have to see a step down in the quarterly pace of 0.8%, a bridge too far we think given the current shock we are experiencing. Our current forecast for the June quarter Trimmed Mean is 1.0%qtr.

We are preparing a more detailed bulletin outlining any revisions to our inflation profile once we have processed all the quarterly and monthly data. But we can note that for the March quarter market services ex volatile inflation surprised with a flat print in the quarter with only a very modest lift in the annual pace to 3.4%yr from 3.3%yr. We are expecting it to pick up from here but due to modest wage outcomes, and better productivity in the market sector, we see this acceleration being capped around 4%yr in the second half of 2026, tracking the lift in Trimmed Mean inflation.

Below is the table comparing the quarterly details with our published estimates. We will cover the reasons for the small variations in our review of the monthly CPI as that is where the differences lie.

CPI forecasts		Mar-26		Mar-26	
Item		Actual	contrib	forecast	contrib
		% qtr		% qtr	
Food		1.0	0.18	1.0	0.17
of which, fruit & vegetables		1.7	0.03	1.9	0.04
Alcohol & tobacco		1.3	0.09	1.1	0.08
of which, Tobacco		1.1	0.02	1.2	0.02
Clothing & footwear		2.3	0.07	1.6	0.05
Housing		2.9	0.65	3.0	0.64
of which, Rents		0.9	0.06	1.0	0.07
of which, House purchases		0.9	0.07	0.8	0.06
of which, Utilities		12.1	0.55	12.2	0.55
H/hold contents & services		-0.3	-0.02	-0.3	-0.02
Health		2.2	0.15	2.3	0.15
of which, Pharmaceuticals		3.6	0.03	2.9	0.03
Transportation		2.0	0.23	2.2	0.25
of which , car prices		1.0	0.03	0.9	0.03
of which, auto fuel		5.2	0.18	5.9	0.20
Communication		0.0	0.00	-0.2	0.00
Recreation		-1.3	-0.16	-1.0	-0.13
of which, audio visual & computing		1.1	0.02	1.6	0.03
of which, holiday travel		-3.8	-0.23	-3.2	-0.19
Education		3.0	0.14	4.3	0.21
Financial & insurance services		1.0	0.06	0.9	0.05
CPI: All groups		1.4	–	1.5	–
CPI: All groups % year		4.1	–	4.2	–

Monthly March CPI in more detail.

The Israel/US assault on Iran began in the morning of the 28th of February with most of the price and the resulting jump in auto fuel prices above \$2/l occurred in the week ending the 8th of March. As such the March CPI would have been very early days for much pass-through to be evident. As noted in earlier bulletins we have recorded price increases for building products, but these did not take effect until 1st April.

Nevertheless, the March CPI did show some scattered signs of pass-through to other prices. Home building and vehicle repair costs, along with downstream insurance inflation, all picked up in the month. Services related to audio-visual, computing and telecommunications also increased in the month,

which for telecommunications went against the run we have seen in recent months. There were some promising signs in softer monthly prices of appliances and some other household goods which we will be closely watching to see if they are reversed in the months ahead.

CPI Item	Qtr CPI	Monthly CPI Indicator			WBC fcs
	Mar-26 % qtr	Jan-26 % mth	Feb-26 % mth	Mar-26 % mth	Mar-26 % mth
Food	1.0	0.5	-0.1	0.7	0.6
of which, bread & cereals	0.4	0.2	-1.2	0.3	0.9
of which, meat & seafood	1.3	0.2	0.5	0.5	0.3
of which, dairy & related products	0.3	-0.4	-0.6	0.8	0.9
of which, fruit & vegetables	1.7	0.8	0.0	2.6	2.8
of which, food products nec	1.1	1.1	-1.1	0.1	0.0
of which, non-alcohol beverages	1.3	0.6	0.7	1.1	0.5
Alcohol & tobacco	1.3	0.9	0.2	0.8	0.3
of which, Alcohol	1.4	1.3	0.1	0.7	-0.2
of which, Tobacco	1.1	-0.1	0.4	1.1	1.4
Clothing & footwear	2.3	2.9	2.6	-1.9	-4.2
of which, garments	1.6	2.2	2.9	-2.5	-3.7
Housing	2.9	2.2	0.3	0.2	0.2
of which, Rents	0.9	0.3	0.4	0.2	0.4
of which, House purchases	0.9	0.4	0.1	0.5	0.2
of which, Electricity	21.9	18.5	1.0	0.0	0.0
of which, Gas & other fuels	1.0	0.0	-0.1	0.0	-0.1
H/hold contents & services	-0.3	-3.6	3.9	-0.2	-0.3
Health	2.2	2.7	0.1	-0.2	-0.1
Transportation	2.0	-0.7	-0.7	9.2	9.7
of which, auto fuel	5.2	-3.2	-3.4	32.8	36.4
Communication	0.0	-0.1	0.2	0.5	-0.1
Recreation	-1.3	-3.4	-3.0	-0.7	0.2
of which, holiday travel	-3.8	-7.6	-6.3	-1.4	0.7
Education	3.0	0.0	4.5	0.0	0.0
Financial & insurance services	1.0	0.3	0.1	0.8	0.4
CPI: All groups %qtr/%mth	1.4	0.4	0.0	1.1	1.3

In terms of downside surprises in March, the largest was for auto fuel at 32.8% vs 36.4% expected. We expect fuel to be flat in April with prices falling through May due to the delayed impact of the excise cut and lower crude oil prices in monthly averages. If the excise cut is reversed on July 1, as currently planned, then auto fuel is set to surge 17% through the month of July.

Also, holiday travel was softer, -1.4% vs. 0.7% expected, on the back of a -2.2% decline in domestic travel.

Most other item outcomes were either close to our estimates or stronger. Housing overall was on par with our 0.2% estimate with a more modest than expected 0.2% increase in rents being offset by a 0.5% increase in dwelling costs. With rising inputs cost for construction this may be an earlier sign we should be expecting a stronger lift in dwelling prices in the months ahead.

Clothing & footwear (−1.9%) did not fall as much as expected (−4.2%) with garments having a smaller than expected seasonal fall (−2.5%) while footwear fell −1.9% and accessories & clothing services fell −0.6%. It does appear that the gold boost to accessories through jewellery may have come to an end with a reported −0.6% in March.

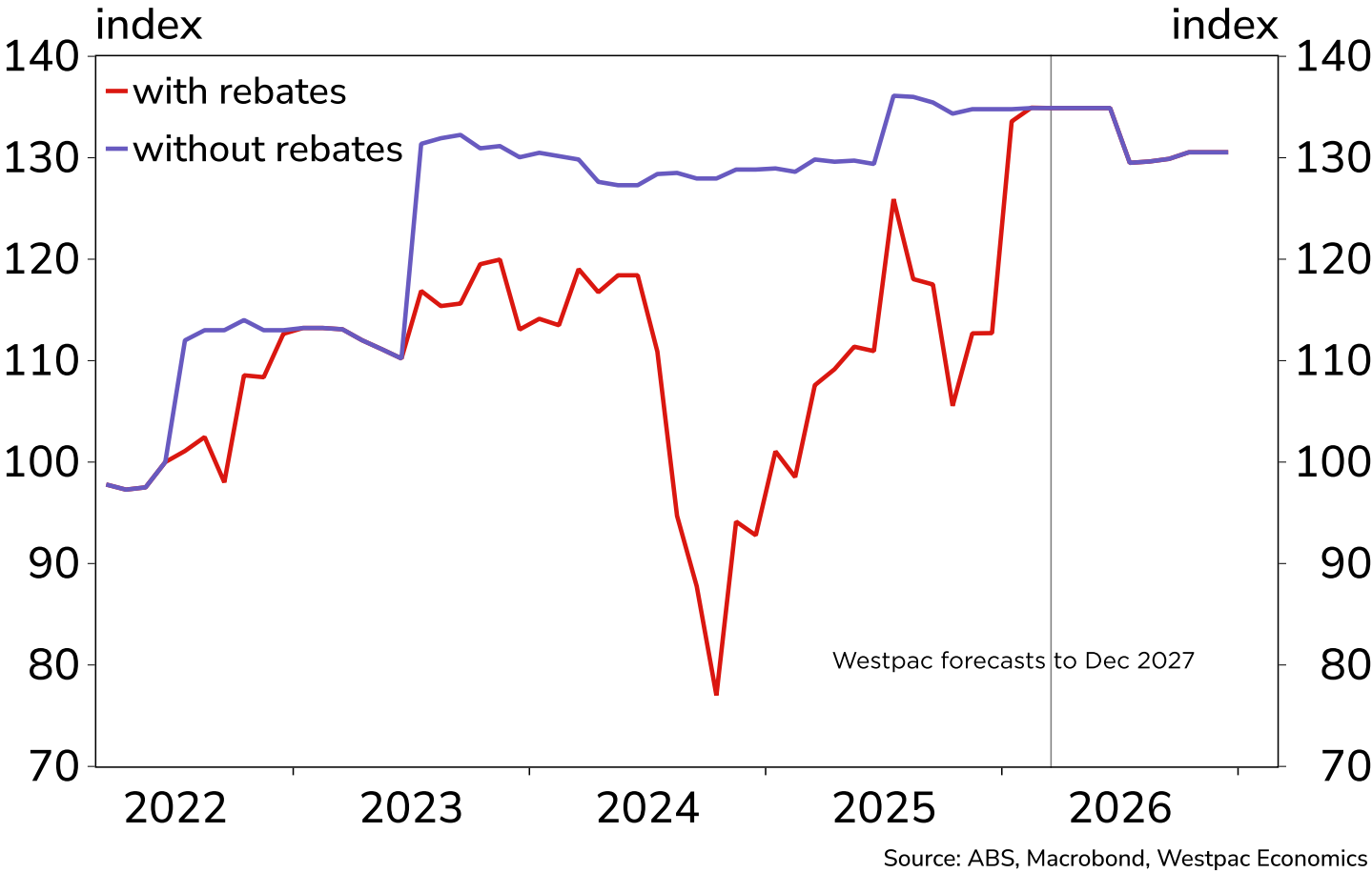
We also did not see the usual seasonal fall in alcohol (0.7% vs. −0.2% expected) which offset a softer than expected rise in tobacco (1.1% vs. 1.4%).

Communication prices lifted 0.5% in the month when we expected a small fall (−0.1%) due to an outsized 3.6% increase in postal services, the largest monthly increase since the 4.2% increase in July 2024.

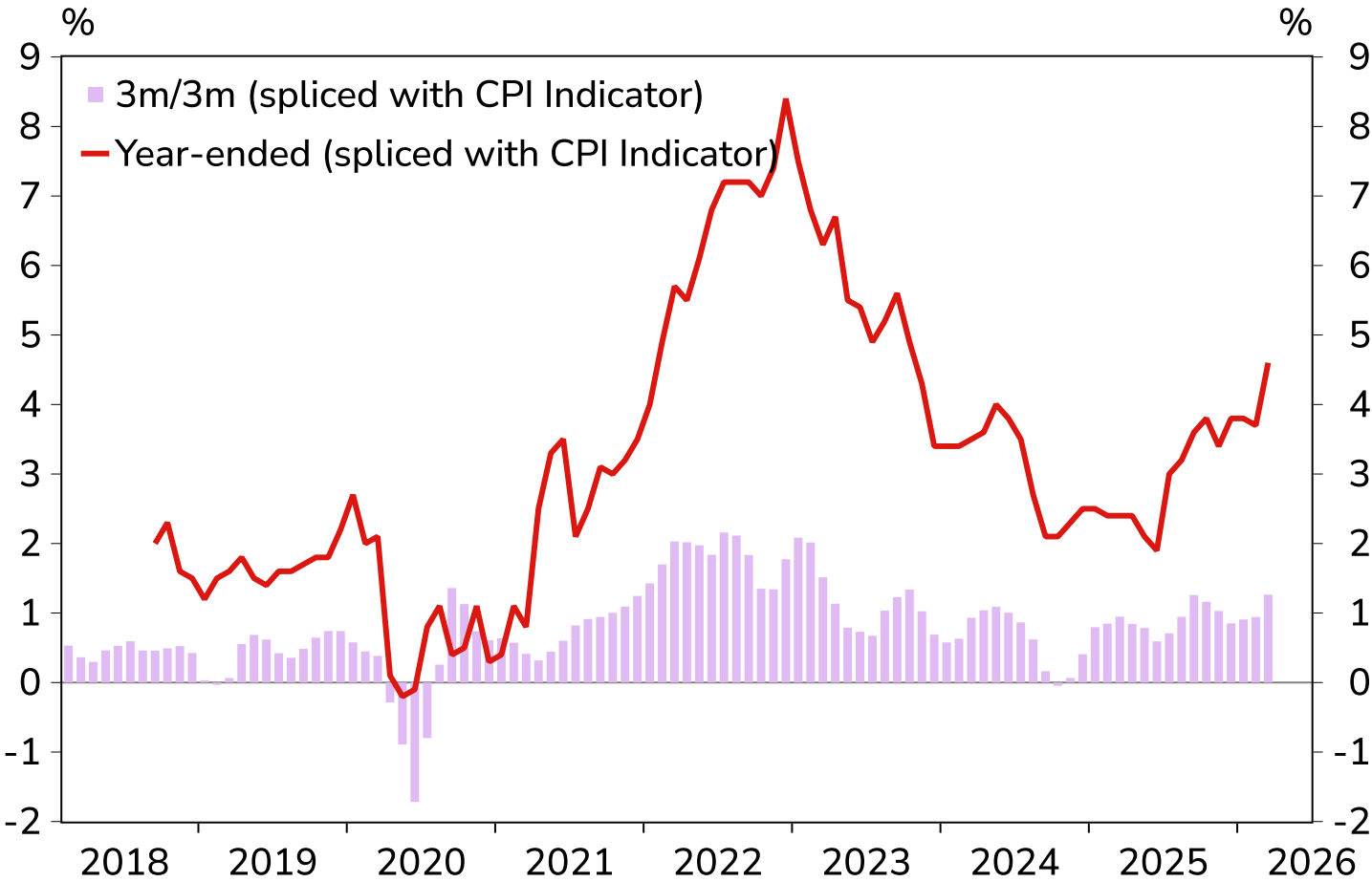
With the rise in construction costs we will be keeping a close eye on insurance premiums. Insurance surprised us with a 0.7% increase in March following hot on the heels of a 1.4% increase in January and a 0.4% increase in February. Combined with a 0.9% increase in deposit & loan facilities and a 0.8% increase in other financial services, insurance & other financial services lifted 0.8% vs. 0.4% expected.

These small but reasonably broad upside surprises is something we will be watching closely in the months ahead to see if they are early signs of pass-through from higher fuel costs as well as opportunistic price increases give the current backdrop.

Electricity forecast as currently published



Monthly CPI inflation (s.a.)



Source: ABS, Macrobond, Westpac Economics

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By Pat Bustamante

Senior Economist, Westpac

07:00 May 04 2026

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Today's economic developments and market movements.



 Morning Report PDF (PDF 265KB)

Key themes:

- There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.
- US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.
- Bond markets saw only modest moves, while the US dollar firmed slightly during the session.
- Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

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By Pat Bustamante

Senior Economist, Westpac

07:00 May 04 2026

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Today's economic developments and market movements.



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Key themes:

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By Pat Bustamante

Senior Economist, Westpac

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By Luci Ellis

Chief Economist Westpac Group, Westpac

11:05 April 17 2026

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Scenario analysis is essential in uncertain times, but it must be well-grounded, not just drawing an arbitrary line on a graph.



- You know times are uncertain when institutions start publishing scenarios alongside their normal forecasts. Two principles underlie good scenarios. First, the narrative underlying the scenario must hang together – no assuming people do things that are either individually irrational or infeasible.

Second, the scenario must allow people to respond to the initial shock – avoid just drawing a price line on a graph and assuming people cannot adjust their behaviour.

- There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. There is a legitimate role for worst-case thinking, but it must be handled with care. Recall that even though our forecasts last year were less alarmist than many in the wake of Liberation Day, actual outcomes were even better than we had expected.
- The real value of scenarios is teasing out downstream effects and delayed responses. Sometimes the responses to temporary shocks can have lasting effects. From EV purchases to defence budgets, these could be especially important coming out of the current conflict. All the more reason to avoid just drawing a line and assuming that is the outcome.

In times as uncertain as these, you want to be able to articulate more than one possible future state of the world. That is where scenario analysis comes in. Indeed, when institutions start publishing scenarios, you can take it as a sign that things are unusually uncertain. The RBA used scenarios extensively during the pandemic. And while the IMF did not give scenarios any prominence in its [previous](#) full *World Economic Outlook* report in October, it did [this week](#). Similarly, we have published [several scenario iterations](#) over the past six weeks and will provide an update later today in our *Market Outlook* report.

Using scenarios rather than simple uncertainty ranges or a description of risks is especially useful when the possible future states of the world are qualitatively different from the base case, and when the level of conviction about that base case is low. There is nothing wrong with a scenario that is only a little different from the base case, but it is not that interesting or informative.

Two key principles underlie good scenario analysis. First, the premise of the scenario needs to be well-grounded. The narrative motivating the initial impetus must hang together. It must be logically consistent and represent both the interests and the constraints of the actors within the system. In other words, scenarios should not assume that people do things that are either bonkers or infeasible. Individually rational behaviour that is harmful in aggregate, such as panic-buying toilet paper or conducting fire-sales of loss-making assets, should of course be allowed for, but make sure the action is indeed individually rational.

Second, the methods used in developing the scenario need to go beyond first-round thinking. You need to allow for other people to react. A good scenario cannot be just a one-off shock where nothing else changes. Sometimes it takes time for people to adjust to the new situation, so the reaction occurs with a lag. Teasing these reactions out is the value-add of the scenario.

There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. Sometimes a lack of realism is used to guard against a potential failure of imagination. There is a legitimate role for this approach when stress testing, for example. However, unrealistic assumptions in forecast-flavoured scenarios leave your forecasts open to

misinterpretation. We have seen an example of this issue this week, where the IMF's worst-case 'severe' scenario, which implies a global recession, has sparked unhelpful talk of recession here in Australia.

Part of the issue is that the IMF's less-bad 'adverse' scenario (which assumes oil prices average USD100/bbl this year before moderating to USD75 next year) and worst-case 'severe' scenario (which assumes oil prices stay around USD125/bbl from the outbreak of the conflict all the way through to end-2027) are both 'top-down' scenarios that appear to start from an assumed path for oil prices. Unlike our own scenario work, they do not explicitly model loss of supply from the Middle East and work out what prices need to do to clear the global market. By effectively just drawing a line on a graph for oil prices, the scenarios assume away any scope for other producers to respond. This is not an issue in the near term, but the longer the assumption is maintained, the less realistic it is. High prices will spur non-OPEC producers such as the US and Canada to boost production. It takes time to get that expansion running, but eventually prices will start to ease.

Because it assumes high prices right through 2027, the 'severe' scenario is most challenged by this issue. This is not to say that the IMF should not have published that scenario, but it is important to understand the context and what it was trying to achieve in doing so.

When developing scenarios, you also need to avoid the trap of thinking only of downside risks. Part of the problem is that downside risks usually come from identifiable events. It is easy to construct a plausible narrative for a scenario starting from "this particular bad thing happened". But as one of my old bosses used to remind us, sometimes you should also consider the risk everything just turns out a little bit better than expected.

As our April *Market Outlook* goes to publication later today, it is helpful to recall last April's edition. The 'Liberation Day' tariffs had been announced a fortnight previously, and many voices in the market were predicting global or US recessions. At the time we took a more moderate view, based on the principles noted above. Firstly, continuing with very high tariff rates would have been an act of economic self-harm. While it was hard to bet on the Trump administration acting rationally in a context of 'flood the zone' headlines and intemperate social media posts, self-interest is still the best assumption. If there is nothing preventing someone from stopping punching themselves in the face, they will stop punching.

Secondly – and this was a key judgement in our forecast last year – other countries had agency and could respond. In particular, China had scope to stimulate, and this would also cushion growth in Australia. In that context, we note that the latest Chinese GDP growth has again surprised on the upside relative to market expectations.

It turns out that even we were too bearish a year ago: the global economy did much better than expected, and global trade kept expanding with barely a hiccup. Other factors, including a tech boom, turned out to be more important than expected. Trade patterns were also re-routed around the highest tariffs, and of course the US government de-escalated, as is proving to be its pattern.

These principles also hold for other kinds of scenarios. Whenever you read a prediction of doom concerning, say, adoption of a new technology, ask yourself what is preventing people from responding to ameliorate the bad thing. What prevents macroeconomic policymakers from easing, for example, or the tax system from redistributing unequal gains? While occasionally decision-makers decide that a bad thing is good actually, holding that position is itself fragile.

Where scenarios can really add value is when they highlight a lasting effect from a temporary shock. Whether it is the person who buys an EV in response to current high petrol prices and reduces their petrol consumption permanently, or the government that reassesses its defence spending, behavioural responses can change longer-term demand trends, and so the prices that prevail further out. Normalisation after a shock does not always take you back to where you were. That is another reason why it is so important to avoid just drawing a line on a graph and calling it a scenario, ignoring system-wide effects.

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Morning Report

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By Pat Bustamante

Senior Economist, Westpac

07:00 May 04 2026

 Share

Today's economic developments and market movements.



 Morning Report PDF (PDF 265KB)

Key themes:

- There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.
- US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.
- Bond markets saw only modest moves, while the US dollar firmed slightly during the session.
- Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

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4 May 2026

FORECAST UPDATE: THE STATES

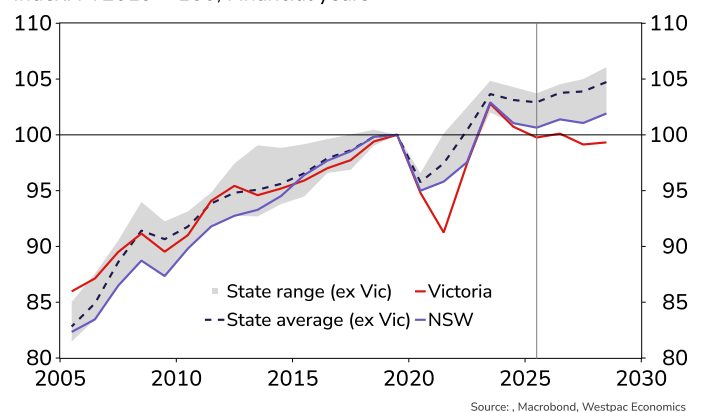
Mining resilient while consumer-led states under pressure

Key points

- After a relatively strong finish to 2025, our updated outlook points to an abrupt slowdown in the Australian economy through 2026 and into 2027 (see [here](#)). Here, we flow these aggregate changes through to the state level forecasts published in our March quarter Coast-to-Coast (see [here](#)), ahead of our June quarter Coast-to-Coast (due in late June).
- State performances are set to diverge again as national growth slows. Mining based states of Queensland and WA are expected to once again lead the pack, supported by elevated energy prices delivering sizeable income windfalls. SA is also relatively well positioned, underpinned by strength across both public and private activity.
- Consumption-led states set to slow sharply. NSW and Victoria are expected to underperform, with Victoria standing out as the only state where consumption per capita is expected to fall below FY2019 levels by FY2028.

Household consumption per capita

Index: FY2019 = 100, Financial years



- On our forecasts, consumption per capita in Victoria declines by around 3.5% cumulatively over the five years to FY2028, one of the largest and longest lasting contractions on record. However, Tasmania is expected to remain the laggard overall reflecting the state's much weaker population growth.

States to diverge as the household squeeze returns

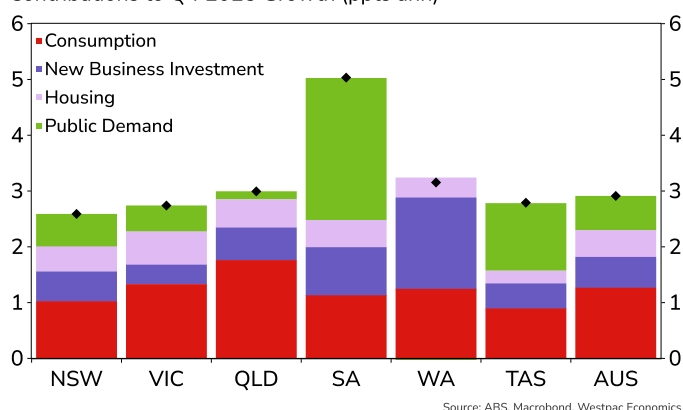
Pat Bustamante, Senior Economist
Ryan Wells, Economist

The strong finish to 2025 was reflected in a broad based lift in activity across the states, as private demand rebounded more quickly than expected. The Australian economy is now heading into a sharp slowdown, as a re-tightening in monetary conditions over recent months collides with a large global supply shock centred on energy.

This shock now appears both larger and more persistent than initially anticipated, intensifying domestic inflationary pressures. As a result, we expect the RBA to deliver two additional 25bp rate hikes beyond the widely anticipated 25bp move in May, aimed at preventing a sustained lift in inflation expectations. Against this backdrop, GDP growth is forecast to slow to just 1%yr in 2026, pushing the unemployment rate towards 5%, with the trimmed mean inflation rate rising to around 4% by year end.

State Final Demand

Contributions to Q4 2025 Growth (ppts ann)



As national growth slows, state performances are set to diverge once again. Differences in industry structure, population dynamics and exposure to interest sensitive demand will reassert themselves through 2026 and into 2027.

The mining based states of **Queensland** and **WA** are expected to once again lead the pack, benefiting from elevated energy prices delivering sizeable income windfalls alongside still solid population growth. Dwelling price growth is also expected to remain firm, as strong demand continues to run up against limited supply, supporting consumption through wealth effects. **SA** is also relatively well positioned, supported by strength across both public and private activity, including public infrastructure investment and defence related spending.

By contrast, the consumer led states of **NSW** and **Victoria** are set to slow sharply, consistent with patterns seen in previous tightening cycles. This is already becoming evident, with housing market conditions deteriorating in both states, which

will weigh on household spending via negative wealth effects. Over the quarter to April 2026, house prices fell by 1.5% in Melbourne and 0.9% in NSW, compared with a national average increase of 1.6%. By contrast, strength continues in Brisbane, Adelaide and Perth, which should help support consumption through positive wealth effects (see [here](#)).

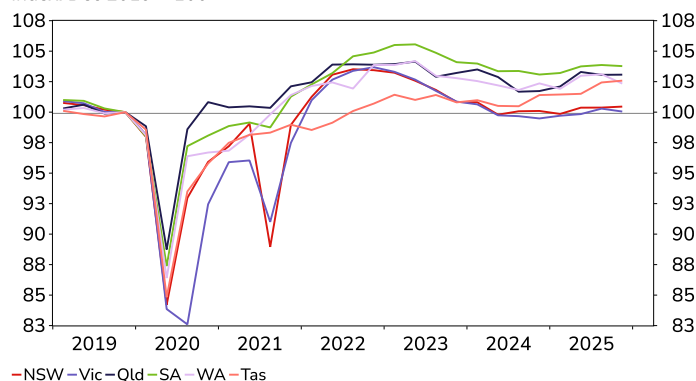
Per capita consumption in both states has largely moved sideways since 2019, underperforming the rises seen elsewhere. In stark contrast to the mining based states, population growth in NSW and Victoria is expected to outstrip gains in both GSP and consumption. On our forecasts, **consumption per capita in Victoria is set to record a cumulative decline of around 3.5% over the five years to FY2028**. The post COVID cost of living squeeze, now compounded by the recent spike in global energy prices, is delivering one of the largest and most prolonged contractions on record, extending back to the early 1990s.

Victoria stands out as the only state where consumption per capita is expected to fall below FY2019 levels by FY2028, underscoring the depth and persistence of the adjustment now underway.

However, **Tasmania** remains the laggard overall. Softer population growth is constraining momentum in housing construction and consumer demand, leaving the state more exposed to the broader slowdown.

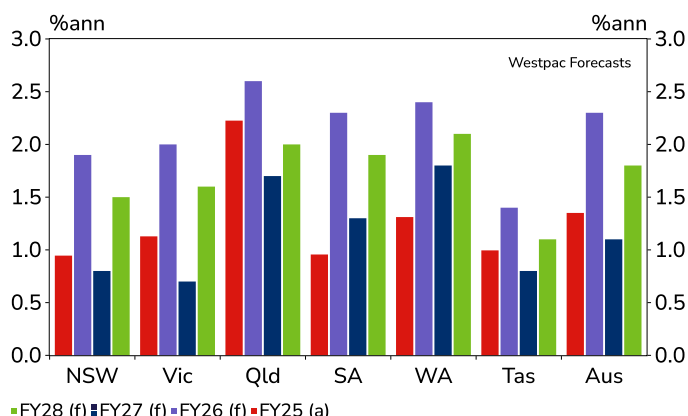
Household consumption per working age population

Index: Dec 2019 = 100



Further ahead, as inflation moderates back towards target and interest rates eventually begin to ease in 2028, household spending should recover and growth conditions gradually converge. However, this adjustment will take time, and downside risks increase the longer global supply disruptions and geopolitical tensions persist.

Gross State Product



Source: ABS, Macrobond, Westpac Economics

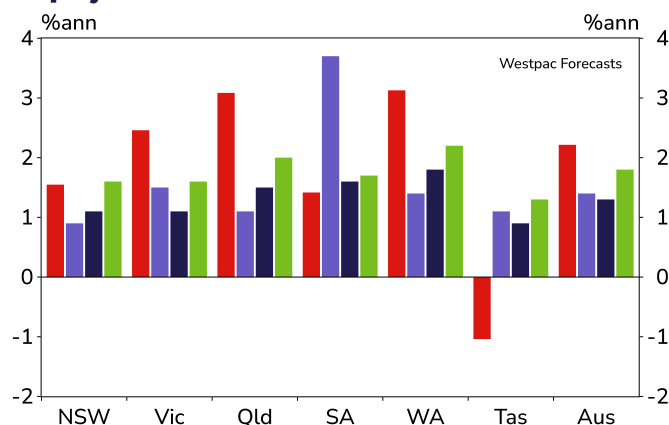
Commodity windfalls will see the mining states outperform

Mining exposure remains a clear positive, particularly as energy-related investment and exports benefit from higher global prices stemming from the conflict in the Middle East. These income windfalls should help cushion households against tighter financial conditions, keeping overall activity relatively resilient through the slowdown.

Queensland is expected to remain one of the stronger performers. GSP growth is forecast to slow from a year-average pace of 2.6%yr in FY2026 to 1.8%yr in FY2027, before picking up again to around 2.0%yr in FY2028. Consumption growth is expected to remain solid, easing only modestly from 2.5%yr in FY2026 to 2.1%yr in FY2027, before rebounding to 2.6%yr in FY2028. Momentum will be further reinforced by Olympics-related infrastructure investment and associated activity. Employment growth is forecast to average around 1.5% in FY2027 and 2.0% in FY2028.

WA is also expected to perform relatively strongly. GSP growth is forecast to moderate from around 2.4%yr in FY2026 to 1.8%yr in FY2027, before re-accelerating to 2.4%yr in FY2028. Consumption growth should remain resilient, easing from 2.8%yr in FY2026 to around 2.1%yr in FY2027, before lifting back to 2.6%yr in FY2028. As in Queensland, higher dwelling prices are expected to support demand near term through wealth effects. On this basis, employment growth is forecast at around 1.8% in FY2027 and 2.2% in FY2028.

Employment



Consumption led states to slow sharply

By contrast, the consumer-led states of NSW and Victoria are set to underperform as higher interest rates and cost of living pressures weigh directly on households.

In NSW GSP growth is forecast to slow from around 1.9% to just 0.8% in FY2027, as tighter financial conditions and elevated inflation dampen demand. The downturn is consumer led, with household consumption growth expected to fall to below 1% in FY2027 from around 2.0% in FY2026. Private investment should provide a partial offset, particularly in structural growth areas such as renewables and data centres. Higher costs will continue to place pressure on the state budget, though policy settings are likely to remain largely unchanged heading into the election early next year.

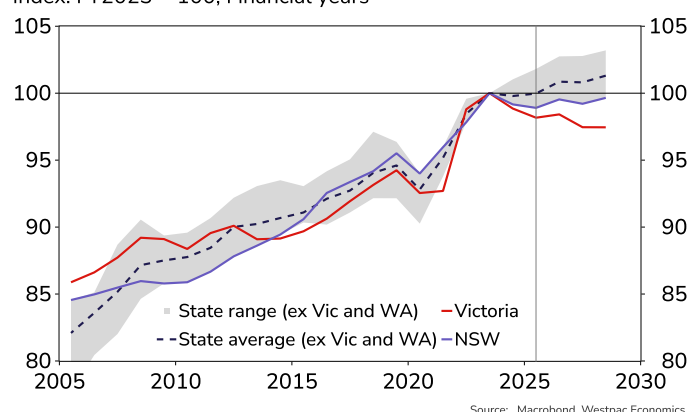
This slowdown is expected to weigh materially on labour demand. Coming off a weak base of 0.6% in FY2026, employment growth is forecast to recover only modestly, rising to 1.1% in FY2027 and 1.6% in FY2028—below the national average in each year.

In Victoria, GSP growth is expected to fall from around 2.0% in FY2026 to 0.7% in FY2027, broadly mirroring the slowdown in NSW. Consumption growth is also expected to ease sharply, from around 2.0% in FY2026 to just 0.7% in FY2027. Risks are more elevated in Victoria. Private investment has been noticeably weaker, particularly in dwelling construction, with forward indicators such as approvals lagging those in most other states (aside from Tasmania). While public demand should provide short term support ahead of the election, there is a risk that post election fiscal consolidation weighs on activity. We also expect some pause in private sector investment decisions as the November 2026 election approaches.

Employment outcomes are forecast to be like NSW in FY2027 and FY2028, though with greater downside risk, given employment growth had already begun to slow sharply even prior to the Middle East conflict.

Gross State Product per capita

Index: FY2023 = 100, Financial years



SA continues to punch above its weight

As highlighted in our March Coast to Coast report (see [here](#)), the SA economy is firing on all cylinders. Both private and public activity have firmed, supported by a substantial pipeline of

infrastructure and defence related spending. In per capita terms, defence investment and employment are among the strongest in the country, delivering a durable lift to incomes. Housing approvals are also relatively strong on a per capita basis, pointing to ongoing demand growth. Expansion in strategic industries, particularly defence and advanced manufacturing, provides a solid medium term foundation for growth.

That said, some slowing in employment growth is expected. After an exceptionally strong 3.7% in FY2026, employment growth is forecast to ease to 1.6% in FY2027 and 1.7% in FY2028.

Tasmania to continue to be the laggard

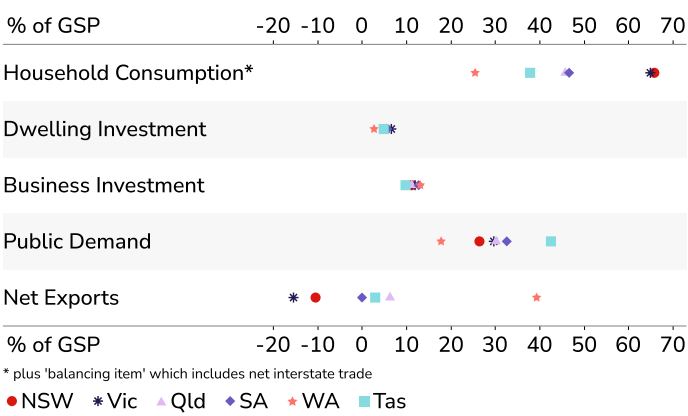
Tasmania continues to lag, with softer population growth limiting momentum in housing construction and consumer demand, leaving the state more exposed to the broader slowdown. The state also has the softest labour market and weakest consumer sentiment nationally, which is likely to weigh further on private demand. Employment growth is expected to remain subdued, easing from 1.1% in FY2026 to 0.9% in FY2027. Household consumption per working age population.

Bottom line

The period of state growth convergence seen in 2025 is over. As households are squeezed by higher rates and inflation, state outcomes will diverge sharply, led by the mining states and SA, and dragged by consumption heavy NSW and Vic. While rate cuts in 2028 should eventually stabilise conditions, the longer the global shock persists, the deeper and more uneven the adjustment across states is likely to be.

One liner: A slowing national economy, persistent inflation and higher interest rates will lead to state level divergences, with mining states resilient and the consumer-led states under pressure.

GSP Expenditure Components by State



Source: ABS, Macrobond, Westpac Economics

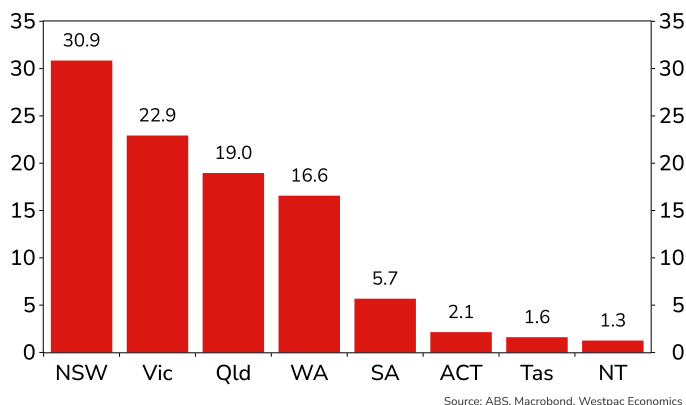
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Forecasts

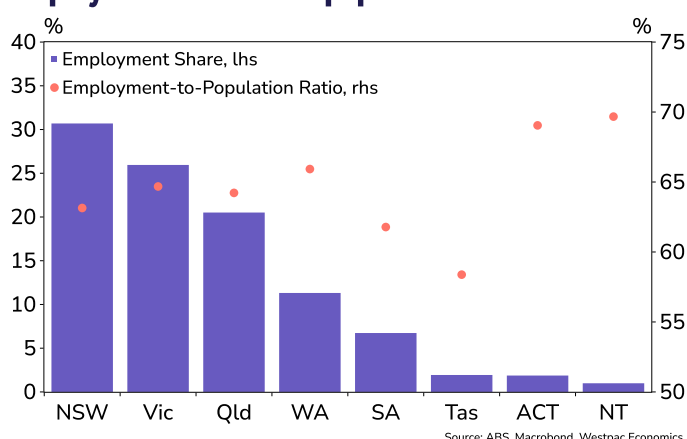
Variable	State	2024/25	2025/26	2026/27	2027/28
		Actual	Westpac f/c	Westpac f/c	Westpac f/c
GSP	Aust	1.4	2.3	1.1	1.8
year-average growth	NSW	0.9	1.9	0.8	1.5
	Vic	1.1	2.0	0.7	1.6
	Qld	2.2	2.6	1.7	2.0
	WA	1.3	2.4	1.8	2.1
	SA	1.0	2.3	1.3	1.9
	Tas	1.0	1.4	0.8	1.1
Household Consumption	Aust	1.1	2.2	1.3	2.3
year-average growth	NSW	0.8	2.0	0.8	1.9
	Vic	0.9	2.1	0.7	1.8
	Qld	1.3	2.5	2.1	2.6
	WA	2.4	2.8	2.2	2.5
	SA	0.7	1.9	1.5	2.2
	Tas	0.6	1.7	0.6	1.1
Employment	Aust	2.2	1.4	1.3	1.8
year-average growth	NSW	1.5	0.9	1.1	1.6
	Vic	2.5	1.5	1.1	1.6
	Qld	3.1	1.1	1.5	2.0
	WA	3.1	1.4	1.8	2.2
	SA	1.4	3.7	1.6	1.7
	Tas	-1.0	1.1	0.9	1.3
Population	Aust	1.6	1.5	1.4	1.4
year-average growth	NSW	1.2	1.3	1.1	1.0
	Vic	1.8	1.7	1.7	1.6
	Qld	1.9	1.7	1.6	1.6
	WA	2.4	2.1	1.8	1.7
	SA	1.1	1.2	1.3	1.2
	Tas	0.2	0.5	0.8	0.7
Dwelling Prices	Aust	8.6	3	3	–
through-the-year growth,	Sydney	6.2	1	2	–
calendar years	Melbourne	5.1	1	5	–
(2024/25 = Dec-25)	Brisbane	14.7	6	3	–
	Perth	16.7	8	5	–
	Adelaide	8.3	5	4	–
	Hobart	7.4	1	3	–

Shares of GSP

Real, Chain Volumes, 2024/25, Percentage



Employment shares and population ratios



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Federal Budget: On the upside of the revenue cycle, the challenge is policy timing

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By Pat Bustamante

Senior Economist, Westpac

10:10 April 28 2026

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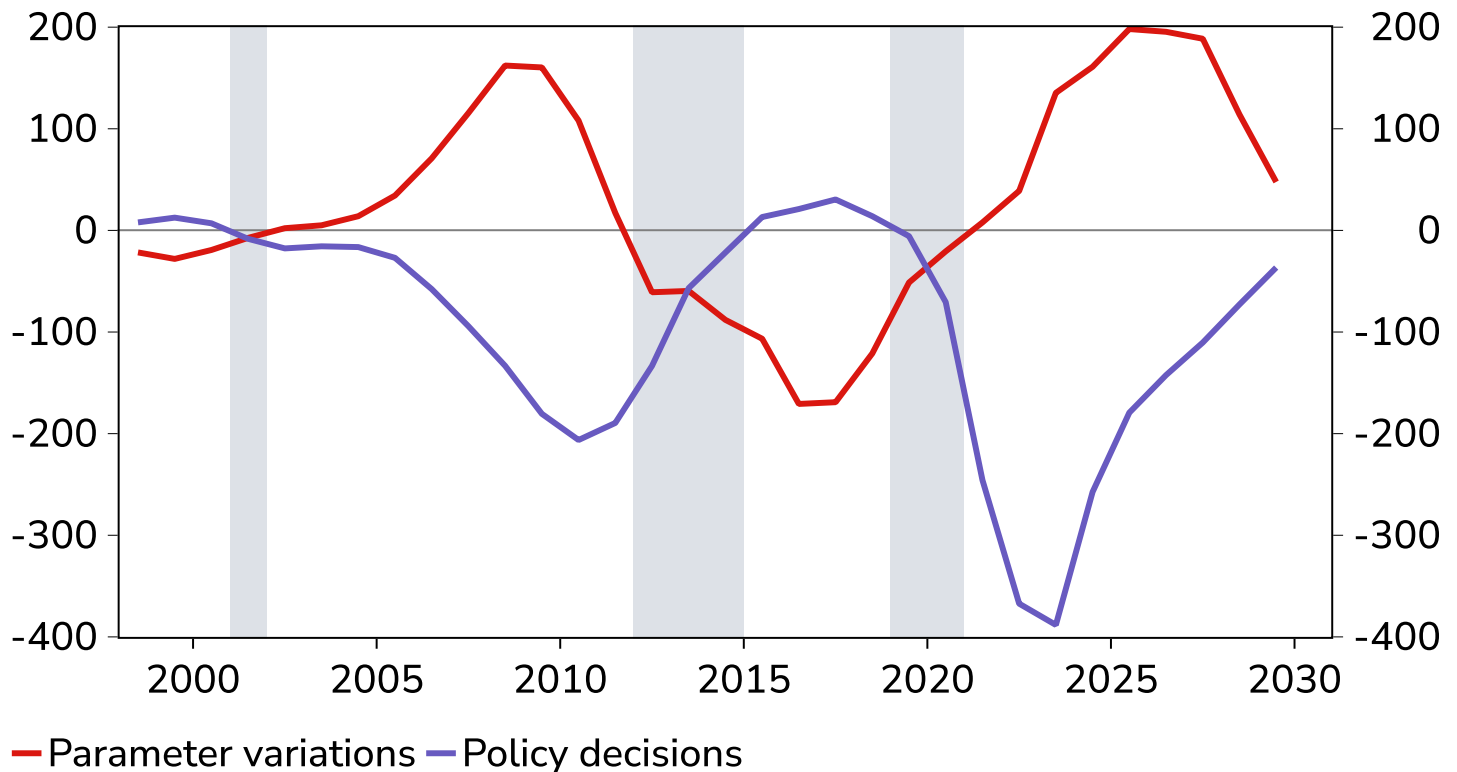
With only a modest budget windfall, changes in the Budget bottom line will hinge on discretionary decisions, which history shows are triggered once labour-market risks become material.



- Higher commodity prices and inflation – among the so-called “parameter variations” that drive government budget outcomes – are expected to deliver a net fiscal windfall, despite higher costs driven by elevated inflation, slower growth, and rising unemployment. Treasury is likely to publish a net improvement of around \$23bn across the forward estimates. This is less than the net improvement of \$55bn we expect will eventually be published based on our less conservative commodity price (and thus revenue) forecasts.
- Given this relatively small upgrade, the change in the published budget bottom line will largely be determined by discretionary policy decisions. Surprisingly, discretionary fiscal policy has been pro-cyclical over the past 30 years: discretionary measures tending to expand when the nominal economy delivers windfalls and to tighten when there are shortfalls.
- Only during major crises (such as the GFC and COVID) has discretionary fiscal policy played a significant counter-cyclical role. However, fiscal measures have tended to be late and slow to unwind, with the maximum ‘policy impact’ occurring when the recovery was under way and improving economic conditions were delivering revenue windfalls – a lesson perhaps for the current conflict.
- Our analysis also shows that discretionary fiscal policy is highly responsive to labour market risks. Policy has historically become much more activist once employment growth forecasts are downgraded by at least 0.35ppts across the forward estimates. A change of this magnitude is consistent with the economic downgrades we expect this Budget.
- As a result, the scale of any discretionary fiscal response is likely to depend critically on Treasury’s assessment of the labour market fallout from the conflict in the Middle East. **Given the nature of the current oil price shock, a response that is not targeted and temporary risks exacerbating the cycle.**

Economic variations and discretionary policy*

Impact on the UCB, Rolling 3 year sum, \$billions.



Source: PBO fiscal data, Macrobond, Westpac Economics

*shaded periods denote counter-cyclical policy where variations and discretionary policy work in opposite direction.

The Middle East crisis and associated global energy shock will have a complex and varied impact on Federal government finances. Higher-than-assumed commodity prices and elevated inflation will continue to lift nominal incomes and tax receipts. But the Budget impact of the Middle East conflict does not stop there. **In a shock like the current one, where economic and employment growth slow, unemployment ticks higher and inflation accelerates, welfare payments and the cost of government rise as well.**

We expect economic growth to slow materially through 2026 to just 1%yr, down from 2.6%yr in calendar 2025. The unemployment rate is forecast to drift higher to almost 5% by year-end, around ½ppt above our pre-conflict profile, and remain elevated through 2027. Combined with accelerating inflation, now expected to peak at around 5.4%yr in Q2 2026 (up from around 3.8%yr expected prior to the conflict), this will push government payments onto a permanently higher path in nominal terms.

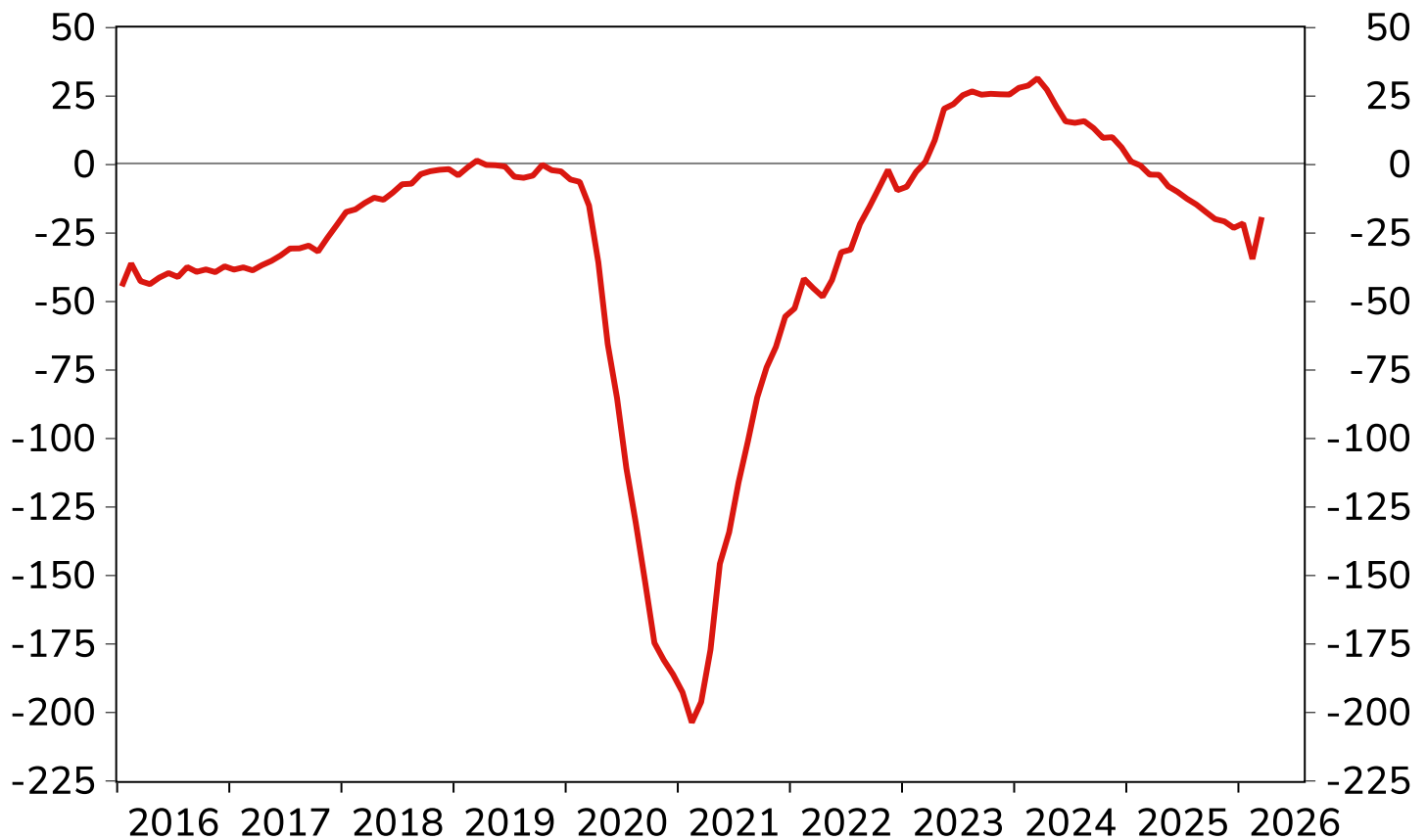
The Starting Position is Strong

On Friday 24 April the Department of Finance released the final set of monthly financial statements ahead of the May 12 Budget, and they did not disappoint. The underlying cash balance is currently running around \$17bn ahead of the profile set out in the December MYEFO, published only a few months ago. This upside has been driven by the cyclical upswing which is boosting tax collections and making it harder for the Government to get capital out the door because of capacity constraints in

certain industries (most notably construction). Looking at the rolling 12-month cash balance, the steady deterioration observed since March 2024 has now stabilised, and we expect an improvement from here.

Underlying Cash Balance

Rolling annual sum, \$billions



Source: Australian Department of Finance, Macrobond, Westpac Economics

Cash tax collections are running around \$7.2bn ahead of profile. This reflects stronger-than-expected personal income tax collections (around \$5bn) and company tax receipts (around \$2bn). We expect upside surprises to continue once miners make wash-up payments in May, reflecting higher commodity prices across the 2025 calendar year – particularly for gold.

The cyclical upswing is also making it harder for the government to get money out the door. Payments are running around \$10bn below forecast, including \$2bn in investment in non-financial assets (defence, IT and infrastructure) and \$4bn in grants and subsidies to the states, reflecting slower progress payments. In addition, the headline deficit is ahead of profile with off-budget spending (including CEFC and Housing Australia) coming in around \$3bn below profile.

Overall, this points to a meaningful improvement in the bottom line, with the deficit now tracking at close to half of what was previously expected.

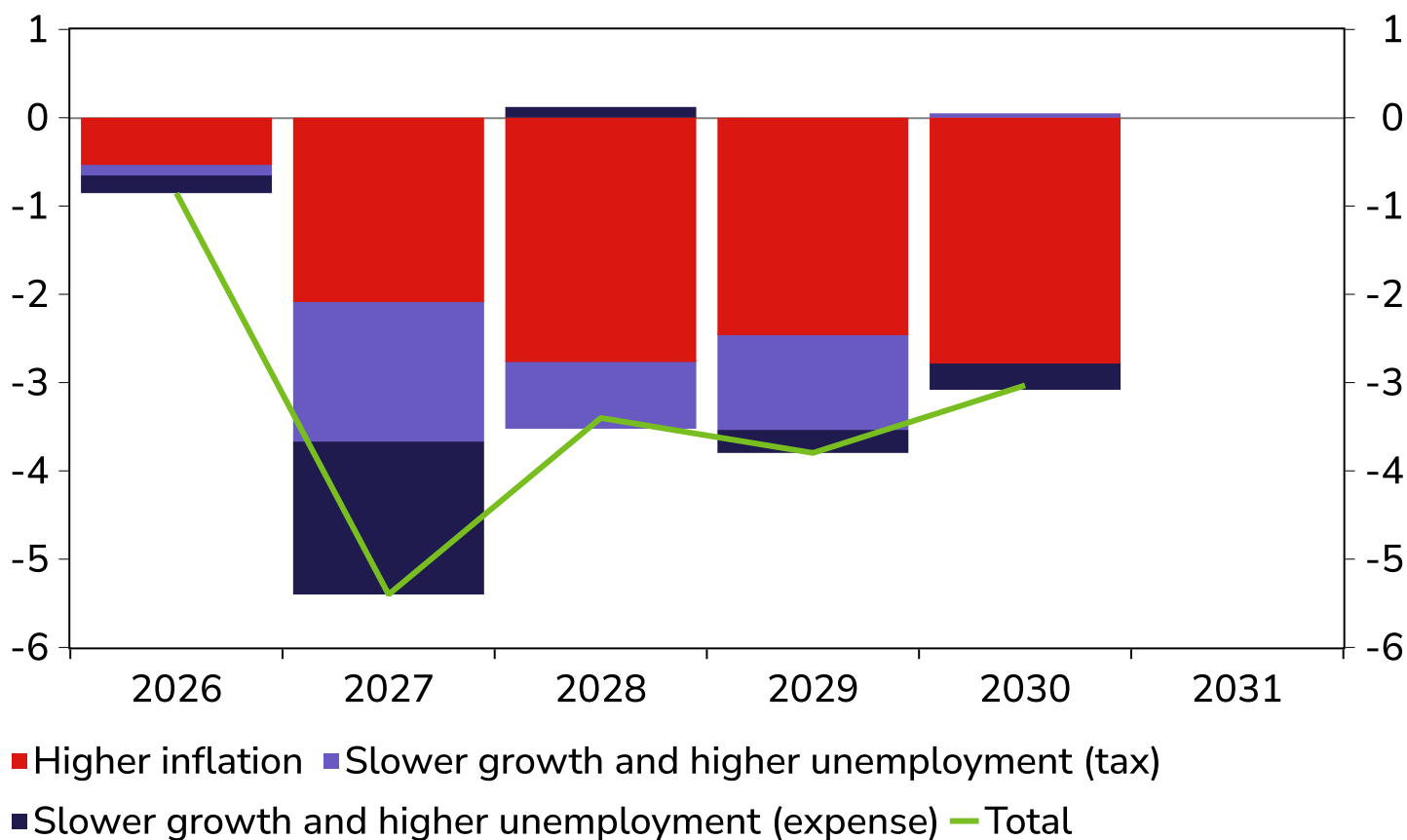
Payments Pressures Rise in a Stagflationary Environment

But the outlook becomes more challenging from here. Parameter variations will push payments higher mechanically, with inflation lifting both service delivery costs and the indexation of programs such as pensions and income support. **We estimate this will add roughly \$11 billion to spending over the five years to FY2030.**

In addition, slower activity and employment growth, alongside a higher unemployment rate, will raise social payments and reduce income-tax collections, at a cost of around \$6bn over the same period. **In total, these forces are likely to worsen the budget position by around \$17bn.**

Variations driven by changes to the outlook

Impact on the UCB, Financial years, \$billions.



Source: Macrobond, Westpac Economics

Commodity Revenues More Than Offset Higher Costs

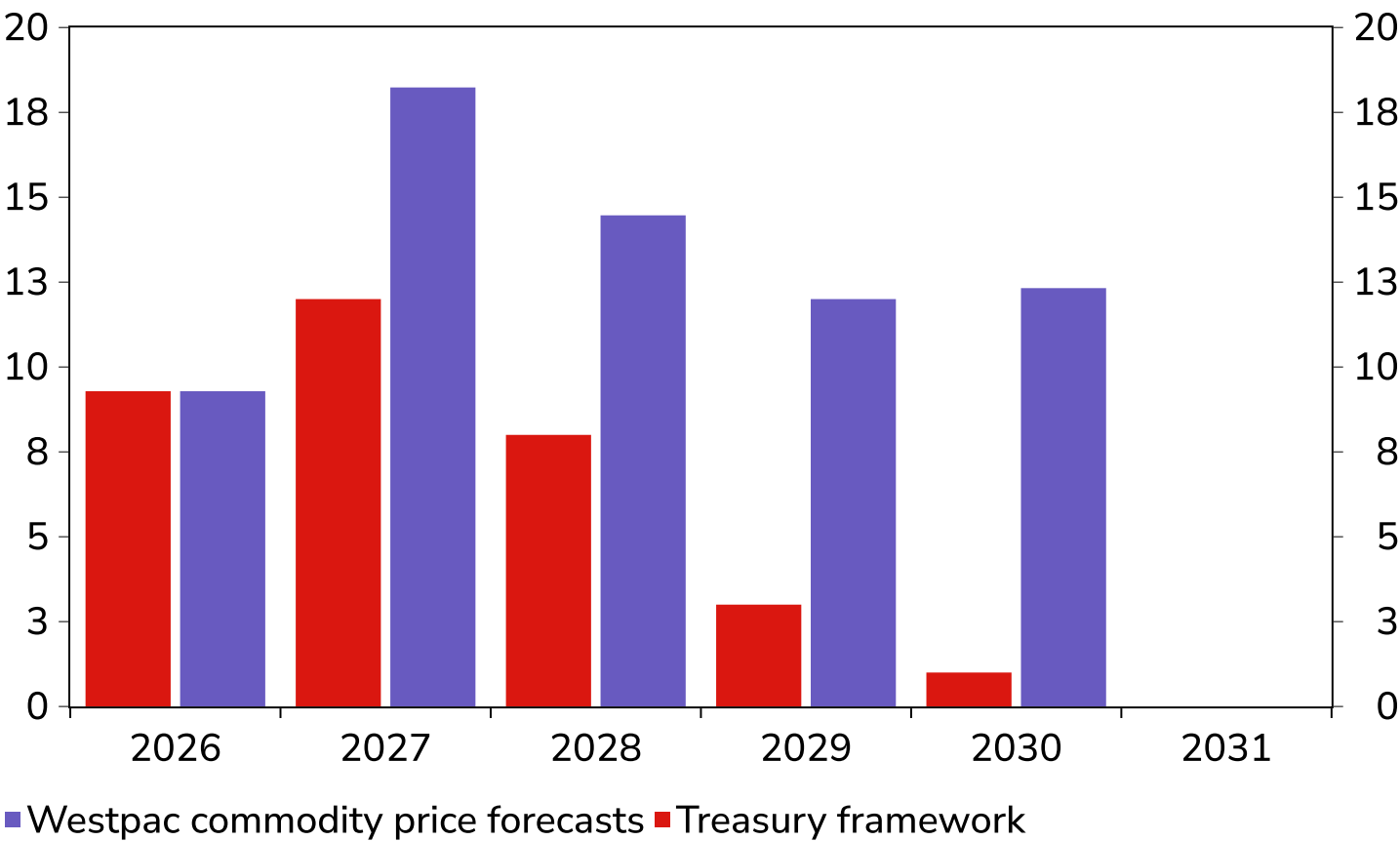
However, these costs are more than offset, at least initially, by higher tax collections. Higher gold prices, elevated inflation and direct spillovers from the Middle East conflict into global commodity markets are set to lift company tax receipts by around **\$60bn over the next five years, with roughly \$20bn attributable to conflict-driven commodity price gains.**

But much of that uplift is unlikely to appear in full in the 12 May Federal Budget. Treasury's standard approach assumes commodity export prices fall from current spot levels back toward long-run

fundamentals, typically over four quarters (and eight quarters for gold). On those more conservative assumptions, the implied windfall is lower at around \$29.5bn over five years, with the remainder only materialising in later budgets or final budget outcomes.

Tax upgrades driven by elevated commodity prices

Impact on the UCB, Financial years, \$billions.

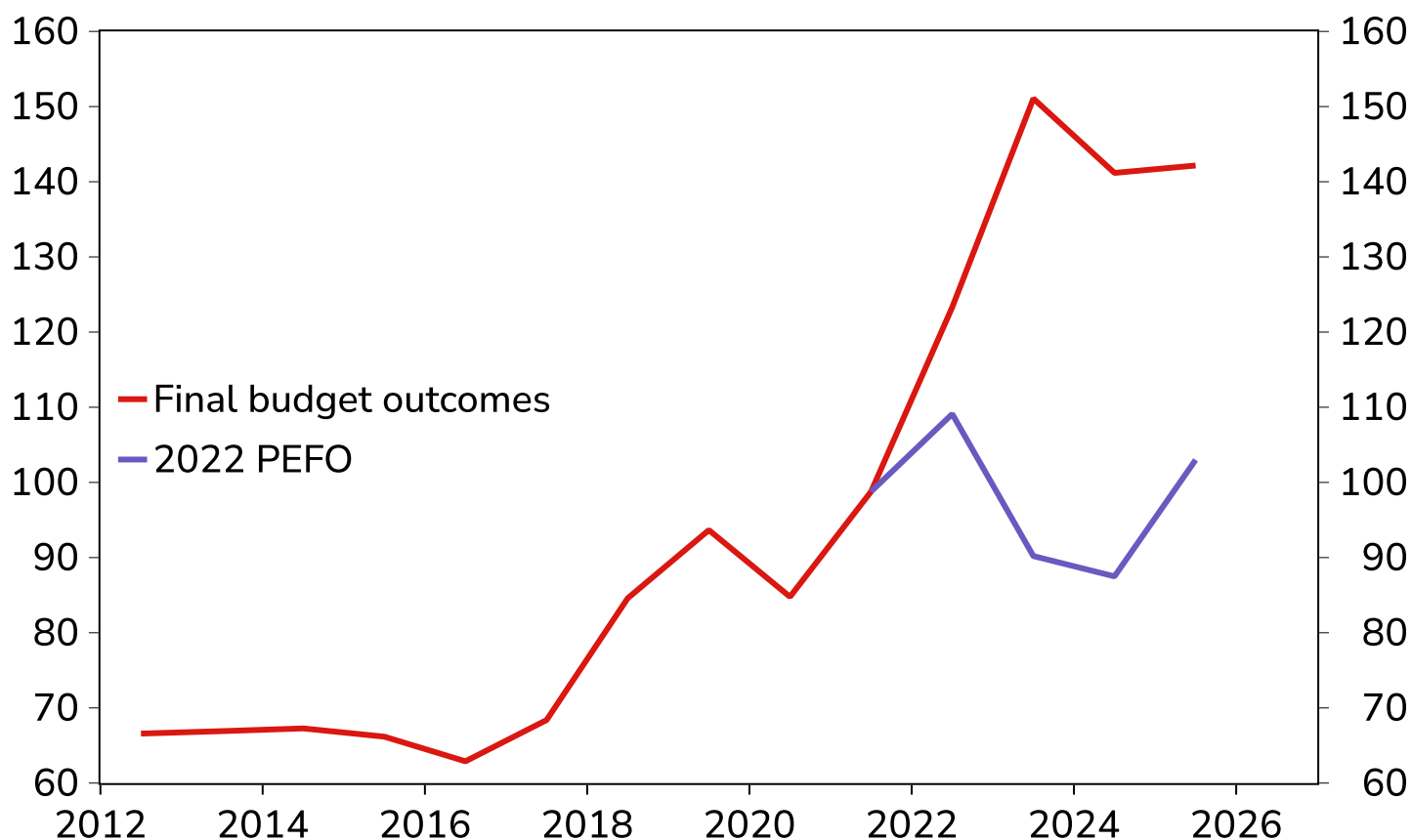


Source: Macrobond, Westpac Economics

This familiar pattern, conservative commodity price assumptions up front followed by stronger-than-expected company tax receipts down the track, has become a defining feature of Australia's recent fiscal narrative. **Over the four years to the end of FY2025, company tax receipts were a staggering \$168bn higher than projected in the 2022 Pre-Election Fiscal Outlook (or an average of \$42bn higher per year).**

Company tax forecast and outcomes

Financial years, \$billions.



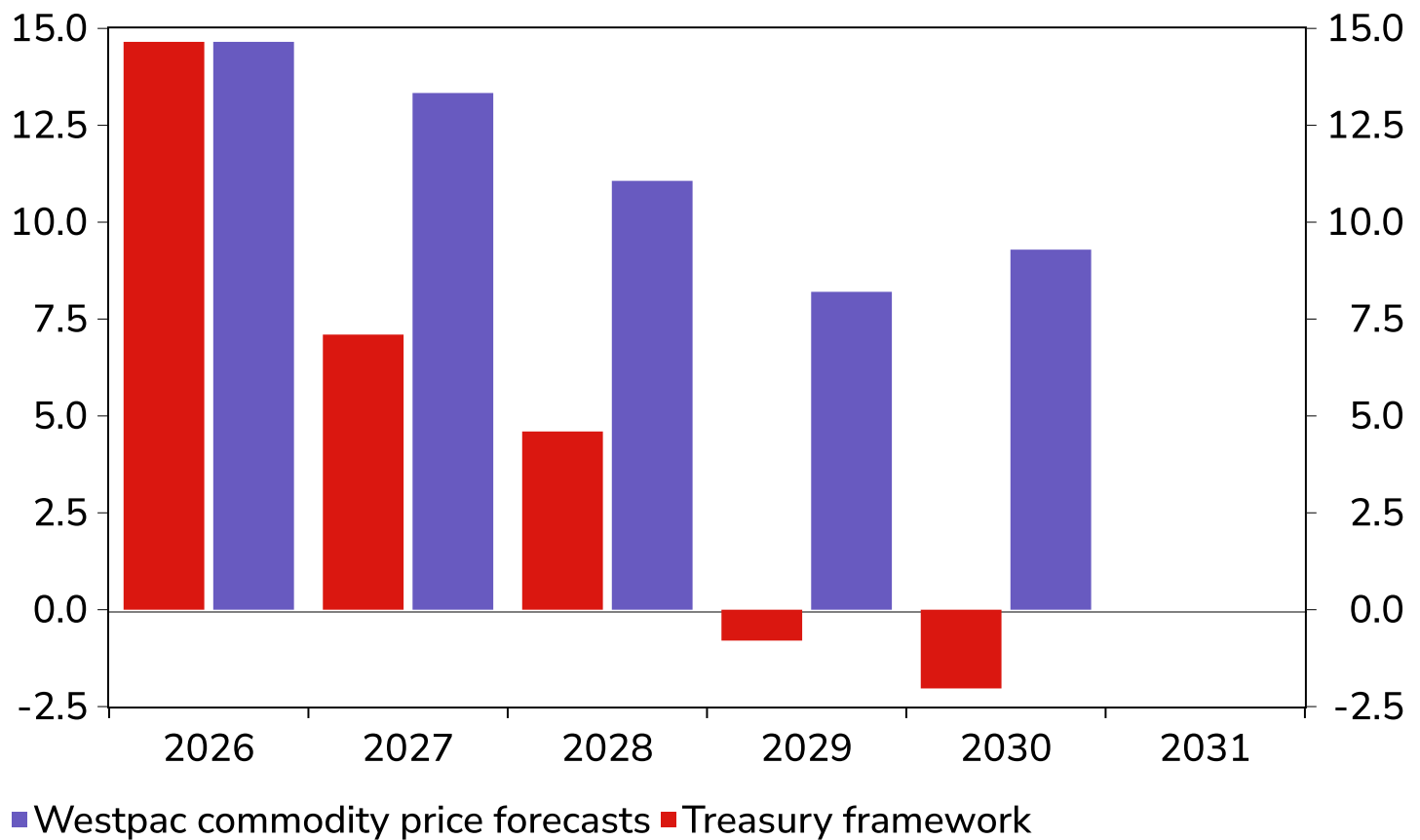
Source: Macrobond, Westpac Economics

Delivering the Budget a Temporary Windfall

Under Treasury's standard assumptions, what will be published on 12 May, the net gain to the Budget is closer to \$23bn over the next five years, with net gains frontloaded, shifting to negative over the final two years of the forward estimates. Under our less conservative commodity-price forecast, the windfall is materially larger, closer to \$55bn over the same period.

Net impact of changes to the economic outlook

Impact on the UCB, Financial years, \$billions.



Source: Macrobond, Westpac Economics

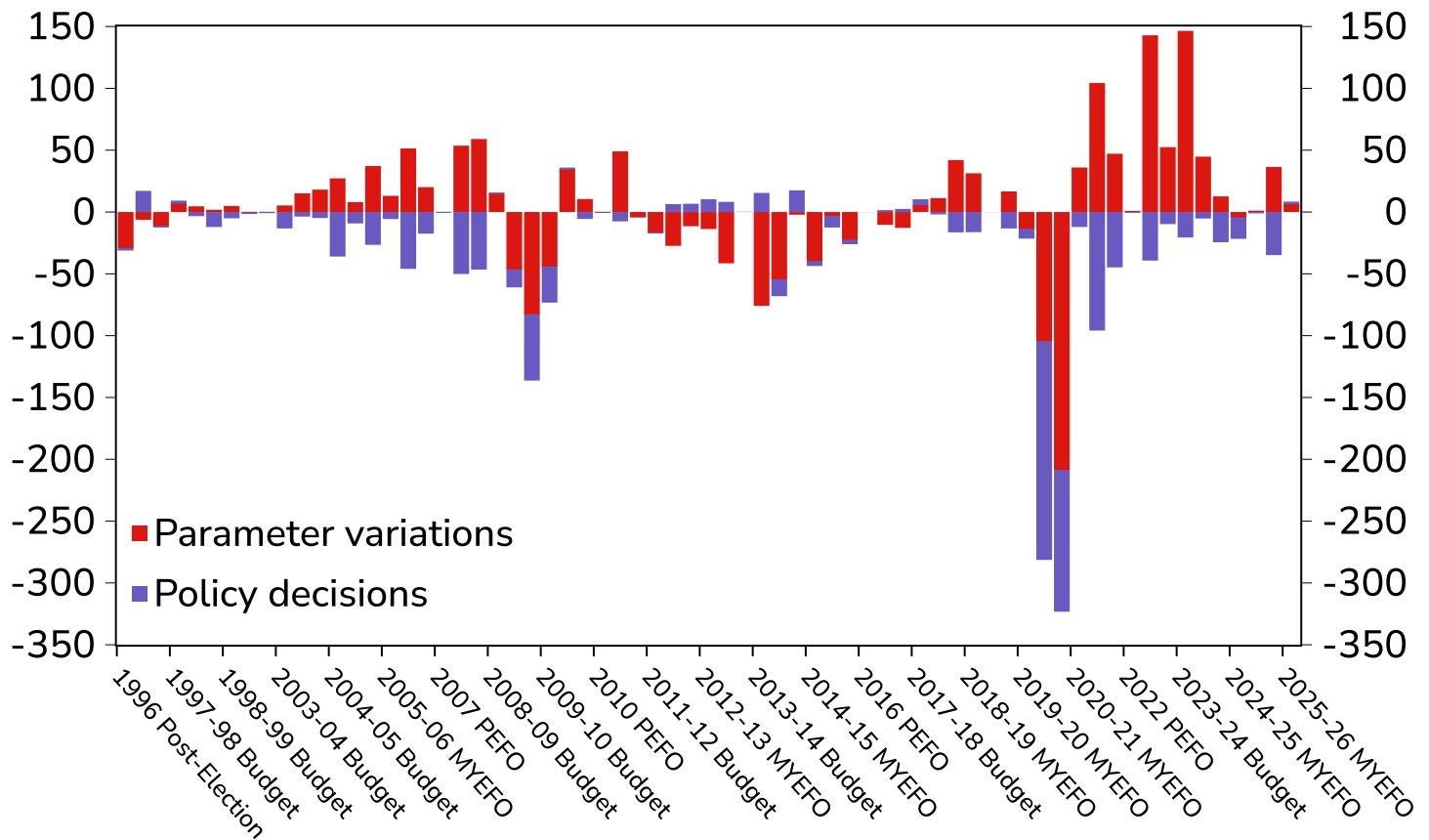
Discretionary Policy: The Key Swing Factor

The big unknown at this stage is how the government chooses to respond to the economic and social fallout from the conflict in the Middle East and how this is balanced against other reforms, most notably those aimed at reining in spending on the NDIS and promoting intergenerational equity. Given relatively small upgrades, **the Federal government will be navigating uncharted waters where policy decisions will determine whether the budget position ultimately improves or deteriorates.**

This is different from the historic norm where the impact of variations driven by changes to the economic outlook (red bars in the chart below) have been significantly larger than the impact of policy changes (purple bars).

Economic variations and discretionary policy by round

Impact on the UCB over relevant forwards, \$billions.



Source: PBO fiscal data, Macrobond, Westpac Economics

Looking at government behaviour over the past 30 years, several clear regularities emerge.

First, discretionary fiscal policy has generally been pro-cyclical. That is, discretionary government decisions add to the fiscal impulse when the nominal economy and commodity prices deliver a budget windfall and vice versa. This pattern was especially pronounced in the pre-pandemic decade and in the aftermath of COVID, with discretionary government policy adding materially to the overall fiscal impulse.

For example, immediately prior to the pandemic discretionary policy changes improved the budget while variations driven by the nominal economy were subtracting from the budget – in other words, the nominal economy was surprising on the downside. This combination of tighter policy when the economy and commodity prices underwhelm likely contributed to the period of sluggish growth and below RBA target underlying inflation recorded at the time.

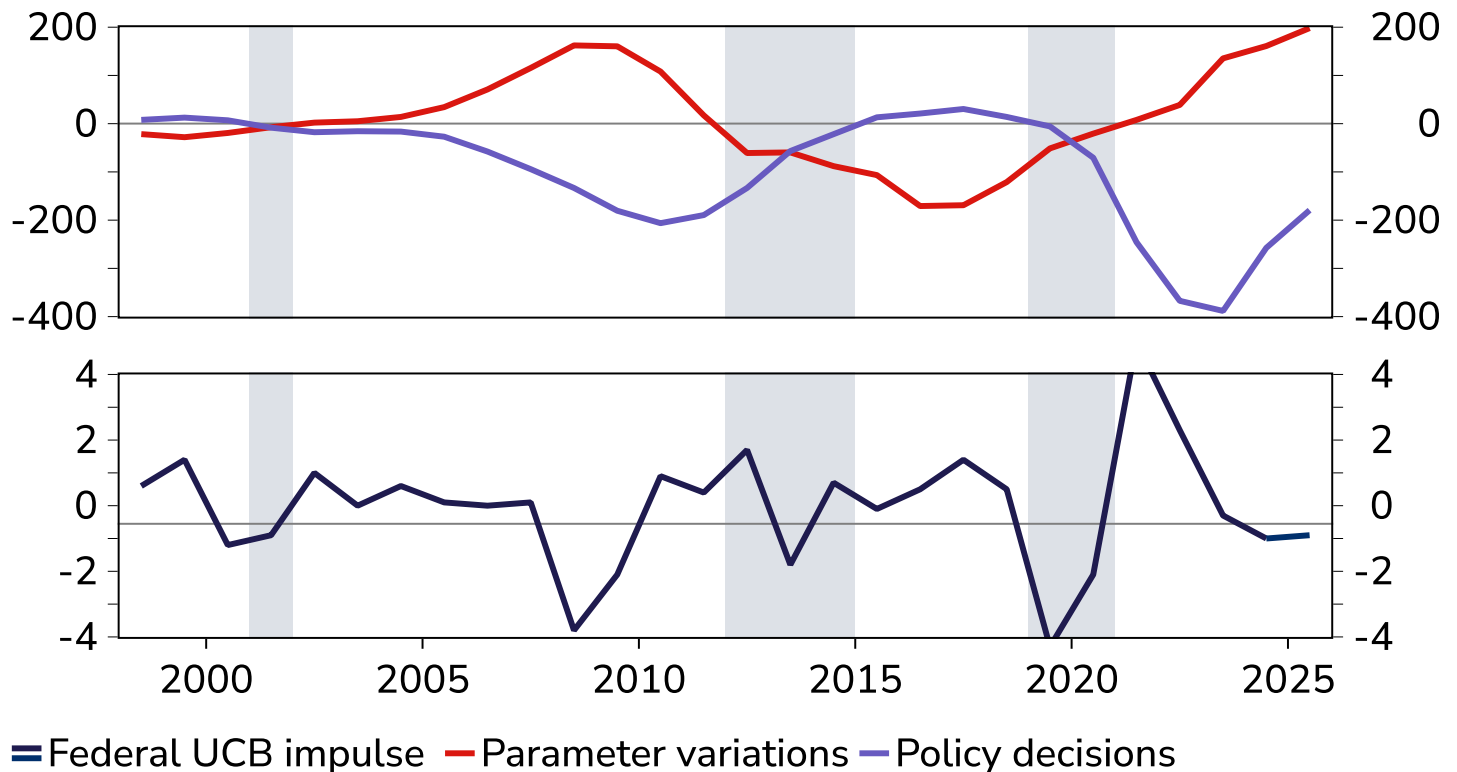
On average across the budget rounds since the 1996 post-election budget, around 75% of the budget windfalls have been spent.

Note that there are instances when the nominal economy could be growing more strongly than the real economy, such as when commodity prices are rising and inflation is elevated. In this world, “pro-cyclical” policy could be more justifiable, only where the real economy is softening.

Secondly, fiscal policy becomes counter-cyclical during crises, such as the GFC and COVID. Importantly, these episodes are typically characterised by a fiscal overshoot, with fiscal expansion persisting even as the shock dissipates and economic conditions improve. For example, peak policy impact around COVID was in the 2023FY, when a recovery was gaining traction and economic variations and nominal income growth were surprising to the upside.

Economic variations and discretionary policy*

Impact on the UCB, Rolling 3 year sum, \$billions.



Source: PBO fiscal data, Macrobond, Westpac Economics

*shaded periods denote counter-cyclical policy where variations and discretionary policy work in opposite direction.

Finally, discretionary spending has historically been highly responsive to labour market risks.

Our modelling of how fiscal policy responds to changes in economic conditions and forecasts shows that policy is particularly sensitive to expectations for employment growth and unemployment, and that this response is non-linear.

Using historical budget data, we find statistically significant threshold effects. When employment growth is downgraded by at least 0.35ppts in a single budget round, governments have tended to shift into a more activist fiscal regime. A downgrade closer to ½ppt (which is consistent with Westpac Economics' recent downgrades) has, in the past, been associated with discretionary fiscal packages of at least \$10bn over the forward estimates.

Taken together, this suggests that at least some of the windfall is likely to be spent, and possibly a large fraction of it. **The scale of any discretionary response will depend critically on Treasury's assessment of the labour-market implications of the conflict in the Middle East. While there is no sense of panic within government, policymakers are clearly alert to the downside risks.**

What next

Before the May 12 budget we will publish our final estimate of the bottom line including announced measures. As noted, unlike the most recent history, overall improvements will hinge on government policy rather than the economy. In addition, we will publish what this means for the national (federal and state) fiscal impulse going forward.

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By Luci Ellis

Chief Economist Westpac Group, Westpac

09:15 April 24 2026

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Speculation about tax reform in the upcoming federal budget abounds. That presumes a lot about the problems the budget should solve and whether the tax system is the right solution.



- Pre-budget speculation has tended to start from the presumption that more revenue is needed. The justification is sometimes the perceived need to fund spending priorities that are assumed – perhaps

erroneously – to be rising. In other quarters, minimising the deficit or government debt appears to be the objective. Whatever the objective, it should be scrutinised not assumed.

- Speculation about changes to the capital gains tax (CGT) regime highlight the potential to increase revenue, but there is no guarantee of this. For example, switching back to the pre-1999 regime or the simplified version of it we have previously suggested will only boost revenue if asset price growth exceeds 5%.
- There are many possible objectives that fiscal systems – tax and spending – can address, often different objectives in different parts of the system. “Boost revenue” is not the only possible goal, and tweaking the tax system is not the only solution to a policy objective.

Speculation is building as budget night approaches. While the government must deal with the immediate issues in front of it stemming from the Middle East conflict, many observers are focused on the maxim “never let a good crisis go to waste” and hoping for broader reforms – usually the same ones they were advocating before the conflict erupted. The question of what the budget should do rests, however, on the deeper question of what problems the government is trying to solve.

For example, recent discussion has been focused on an assumed need for extra revenue. Tax reforms are dissected for how much more they might raise, while revenue windfalls from higher commodity prices are downplayed. Underlying this view are other presumptions – seemingly widespread across different levels of government and the bureaucracy – that “people expect more from government nowadays” and that governments should strive to meet those expectations. Absent from these discussions are the questions of whether the government’s effort and resources are being deployed effectively, and whether it can stop doing some things altogether.

A related presumption underlying the search for more revenue is the belief that population ageing is shrinking the workforce, even though this is not true in Australia and most other advanced economies outside North America.

A separate pathway to the search for more revenue comes from a different premise: that the federal fiscal position is weak and large revenue measures (and/or spending cuts) must be found to reduce the deficit significantly. It is good to have strong public finances. It keeps government borrowing costs low and leaves plenty of space to spend in a crisis. Yet the presumption that government finances are parlous and in need of repair sits oddly with Australia’s actual federal fiscal position, which is stronger than many of its peers.

Take the recent speculation about removing the CGT discount. It has been touted as a revenue-raising measure, but there is no guarantee of this. One could consider moving back to the pre-1999 system of adjusting the gain for growth in CPI and applying the full marginal rate to the remainder. Alternatively, one could consider the simplified version we suggested in 2023, where the adjustment is 2.5% per year the asset is held – the midpoint of the RBA’s inflation target – regardless of actual inflation over the holding period.

Applying a full marginal rate to an adjusted return still taxes mobile capital more lightly than other income, as economic theory would suggest. It has an advantage over the current system of not privileging capital gains-producing assets over income-producing assets at the margin. Because assets that can be leveraged are especially advantaged by the current system, switching back to the pre-1999 system or our simplified alternative would also promote financial stability. It would increase the effective tax rate on capital gains during booms in real asset prices, and our simplified proposal would also lean against periods of high CPI inflation.

What it will not do, though, is necessarily boost revenue. If asset prices rise by less than 5% per year, revenue is lower. For example, a 4% rise, less 2.5% deduction, means tax is paid on 1½% of capital gains. The current system of half the marginal rate on the full gain would be the equivalent of taxing 2% of gains if asset prices rose 4%/yr. Revenue is only higher than the current scheme if asset prices rise by more than 5%. And even in that case, the increase in revenue might only be small once people have adjusted to the change and the other possible design decisions associated with it, such as grandfathering and limits on the number and type of assets eligible for the discount.

Absent from the current discourse is any discussion of the proper role and size of government, or the level of government that is best placed to take on the functions required. As Westpac Economics colleague Pat Bustamante has previously shown, the size of government in Australia has increased substantially over the past decade. When private demand indirectly induced by public spending is included (think legal work for construction companies working on public infrastructure projects), the footprint of public demand has risen from 27% to 35% of GDP over the past decade.

Much of this expansion is desirable. We should want to care for disabled and elderly Australians properly and have high-quality childcare available at an affordable price. That takes resources, and private markets alone are unlikely to deliver enough of these services. Likewise, with population growth running around 1½%, both pre-pandemic and currently, we will always need more public infrastructure. Both types of spending also have positive spillovers. Social care spending allows those who were providing informal care to enter paid employment. And done well, infrastructure spending can boost skills and productivity and open up new opportunities through better logistics.

The question of what should or will happen in the budget boils down to which of the many possible objectives government wants to prioritise. Is it addressing the growing income tax burden in a system of fixed tax brackets, or minimising the deficit, or making the tax system more responsive to the economic cycle, or providing more services to meet the public's expectations, or doing so more efficiently? What about national and economic security? The budget is a complex beast and different design decisions can address different objectives. This is not like monetary policy, where there is only one instrument and at most two objectives, inflation and full employment, which are in any case correlated at least some of the time.

Global economic and geopolitical developments pose challenges, while new technology and an expanding, ageing workforce create opportunities. We should not assume that tweaking the tax system

is the answer to every issue. Your fiscal priorities should relate to your public policy objectives.

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By Pat Bustamante

Senior Economist, Westpac

07:00 May 04 2026

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Today's economic developments and market movements.



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Key themes:

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- Bond markets saw only modest moves, while the US dollar firmed slightly during the session.
- Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

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Cliff Notes: conflict in the Middle East to cast a long shadow

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By [Elliot Clarke](#) & [Ryan Wells](#)

11:38 April 17 2026

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Key insights from the week that was.



The first detailed look at the mindset of Australian consumers and businesses amidst the Middle East conflict proved sobering. Our [Westpac-MI Consumer Sentiment Index](#) posted its largest fall since COVID-19, down 12.5% to a deeply pessimistic reading of 80.1. The impact from the surge in fuel prices was acute, leading to a more pronounced deterioration in the sub-indexes tracking current conditions – namely ‘family finances vs a year ago’ (–16.7%) and ‘time to buy a major household item’

(−15.0%). There were also significant hits to the year-ahead outlook for family finances (−13.9%) and the economy (−12.4%), suggesting households are bracing for enduring pressure.

The tone of the March NAB business survey was no better, business confidence collapsing 29pts from a neutral reading in February. This came alongside a notable lift in purchase cost pressures, up 1.7ppts to a quarterly pace of 3.0%. That final producer prices lifted +0.4ppts emphasises the rapid pass-through of surging fuel costs, but also that businesses are currently absorbing most of the increase in costs via margins, impacting profitability. Note though, the readings for current trading conditions and employment were positive, enabling business conditions to hold around its long-run average. This suggests the underlying health of the economy can be maintained if risks subside quickly.

This week we also received the March Labour Force Survey. It showed the Australian labour market was in good health prior to the Middle East conflict and the RBA's most recent rate hike. Employment growth continued to strengthen from its trough in March, from 1.0%yr to 1.5%yr on a three-month average basis, reflecting the economy's momentum through the second half of 2025 and into 2026. The unemployment rate has also held at 4.3% over the past two months, a similar level to the second half of last year. It now looks increasingly like the 4.1% prints at the turn of the year were due to temporary weakness in participation, not a sustained re-tightening.

However, given the hit to business confidence and the expectation of further policy tightening, the Middle East conflict looks set to cast a long shadow over the labour market. We expect a combination of lower average hours worked and slower employment growth, seeing the unemployment rate lift to 5.0% in early 2027. Tracking industries most exposed to the fuel shock will provide an initial take on the scale of the impact. Manufacturing, construction, transport/logistics and travel/tourism are the sectors to watch.

Offshore, an abrupt end to the first round of in-person talks between the US and Iran and the US' Navy's subsequent blockade of Iranian ports and associated vessels was the main point of conversation for markets this week. The market's take has been sanguine, the price of Brent oil retreating below US\$100 and global equities rallying back to historic highs during the week. Comments made by both sides imply negotiations are ongoing and another round of in-person talks will occur before the two-week ceasefire ends in coming days. There is also the option to extend the ceasefire, if necessary.

Effectively cut off from global shipping, Iran's need for a deal is clear. But arguably this is also the case for the US economy, University of Michigan consumer sentiment falling to a record low this week, 43% below the average of the survey since 1978. Price pressures are currently limited to first-order effects, headline CPI inflation printing at 0.9% against a core reading of just 0.2% in March; but, should the conflict persist, it is highly likely second-round effects will permeate through the US economy, materially increasing the likelihood of inflation holding well above target and term interest rates trending higher. FOMC members who spoke this week all showed confidence in the underlying health of the US economy but also concern over the potential for an lasting imbalance between growth and inflation.

In contrast, China's economy showed strength this week, annual GDP growth accelerated from 4.5%yr in Q4 2025 to 5.0%yr in Q1, matching the full-year outcome for 2025. From the monthly partial data,

China's Q1 momentum was principally due to the strength of exporters and associated investment, both of which are likely to receive a lasting boost from increased demand for green technology given the Middle East's impact on energy prices and supply. There is reason for guarded optimism over the outlook for property investment as well, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years would provide a material boost to aggregate growth through 2026.

External demand and investment's support for GDP masks the still-troubled state of consumer demand, however. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment. Without broadening the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years, even with a significant benefit from global demand for green technology.

A full update of our expectations and assessment of risks for the global economy and markets will be made available today in the April edition of Market Outlook on [Westpac IQ](#).

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By Pat Bustamante

Senior Economist, Westpac

07:00 May 04 2026

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Today's economic developments and market movements.



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Key themes:

- There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.
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By Pat Bustamante

Senior Economist, Westpac

07:00 May 04 2026

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Cliff Notes: policy perspectives from across the globe

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By [Elliot Clarke](#), [Illiana Jain](#), [Ryan Wells](#) & [Mantas Vanagas](#)

09:42 May 01 2026

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Key insights from the week that was.



In Australia, the [Q1 CPI](#) report provided the first official estimate of the impact on local prices of the Middle East conflict. Headline inflation accelerated sharply to 1.4% (4.1%yr) in Q1 on the back of a 33% surge in auto fuel prices in March alone. Fortunately, a large portion of this spike has since unwound following the fuel excise cut, although fuel prices remain materially above the pre-conflict level.

While there were some signs of price pressures across home-building, vehicle repair and insurance, it is too early to detect, let alone accurately assess, evidence of pass-through. That said, underlying trimmed mean inflation still rose 0.8% in Q1, with annual growth at 3.5%yr, a full percentage point above the mid-point of the target. Notably, March's data pre-dates the wide range of price increases reported anecdotally for building products and other items which came into effect in April.

Following the CPI release, Chief Economist Luci Ellis reaffirmed our call for the RBA to increase the cash rate by 25bps to 4.35% at the May policy meeting. The combination of an elevated starting point for inflation and imminent risk of pass-through will compel the RBA to act pre-emptively to contain inflation expectations. Next week's voting split, updated staff forecasts and the tone of communications will be informative on the baseline policy outlook and risks. For now, we retain our base case of another two hikes beyond May, in June and August, taking the cash rate to a peak of 4.85%.

The combination of higher inflation, slower growth and rising unemployment is also fostering a complex macroeconomic backdrop for the 2026/27 Federal Budget, due May 12. A full preview will be published next week, but our preliminary note sets out our central expectation that commodity price windfalls are likely to more than offset spending pressures and result in a net improvement in the budget's bottom line over the forward estimates.

Offshore, at the beginning of the week the Bank of Japan held its policy rate at 0.75% in a 6-3 vote. Updated forecasts highlight the risk of stagflation, with FY26 growth revised sharply lower to 0.5% (from 1.5%) and core inflation now expected to remain above 2% through to FY28. With Japanese firms increasingly willing to pass on costs, the Middle East conflict risks amplifying domestic inflationary pressures.

The BoJ remains focused on restoring the policy rate as an effective policy lever. Further hikes were signalled, but the timing left open. With policy settings still considered accommodative and a weak yen threatening import inflation, we anticipate the next hike to occur in June, though there is a risk it is delayed to July. The Financial Statements Statistics update due on 1 June will be an important release to gauge firms' response to the crisis and the implications for both inflation and activity.

In the US, the FOMC then kept the stance of policy unchanged at its April meeting. The tone of the statement was balanced, with a sanguine view on GDP growth and the labour market and inflation simply characterised as "elevated". The statement also noted that "the Committee is attentive to the risks to both sides of its dual mandate", while Chair Powell remarked in the press conference that, in his view, policy is in a good place to take time to monitor conditions, being at the "high end of neutral, perhaps mildly restrictive". Governors Hammack, Kashkari and Logan also showed greater concern over inflation than the labour market at this meeting, wanting to maintain the target range for the federal funds rate and signal that a hike was as likely as a cut on current information.

The Bank of Canada also kept its policy stance unchanged. The conflict in the Middle East and US trade policy were called out as sources of uncertainty for the global economy. But overall, the outlook for Canada's economy was viewed as little changed from January. Assuming a protracted resolution to the Middle East conflict into 2027, GDP growth is expected to strengthen through 2027-2028 and

inflation to turn back towards the 2%yr target from 3%yr in the near term, allowing the Bank of Canada to remain on hold.

Thereafter in Europe, the ECB Governing Council opted to maintain its current policy stance. The ECB acknowledged that “upside risks to inflation and downside risks to growth have intensified” and the merits of a rate hike were discussed, but developments to date were not sufficient to convince the Governing Council to take immediate action – the decision to hold was unanimous. At its previous meeting in March, the ECB presented two downside scenarios alongside its baseline. In the April press conference, President Lagarde was reluctant to discuss the details of those scenarios, noting simply that conditions are diverging from March’s baseline and the upcoming six weeks “will be the right time” to assess the economy “in order to make an informed decision”. Her comments appeared carefully chosen to signal openness to a rate increase in June. Therefore, barring any major changes in the dynamics of the Middle East conflict, we continue to believe that a 25bp policy rate hike is the most probable outcome at the next meeting.

The Bank of England’s April meeting also unfolded broadly as expected, the MPC voting 8-1 to keep the policy rate at 3.75%. Chief Economist Hew Pill was the sole dissenter, preferring “a prompt but modest hike in Bank Rate” to contain the risk of second-round inflationary effects. The policy statement maintained a hawkish bias, however, emphasising the potential impact of the energy price shock – its scale and duration – on UK inflation and the committee’s readiness to act to ensure inflation returns to the 2% target. Policy makers also showed concern over economic growth and the labour market, with slack increasing prior to the conflict.

Risks to the economic outlook were illustrated using three alternative scenarios, differentiated by oil and gas price assumptions and the persistence of second-round inflation effects. In the first two scenarios, the Brent oil price averages \$108 in Q2 2026 then decreases at different speeds. Both scenarios showed headline inflation peaking above 3.5%yr this year before easing in 2027. Importantly, the Governor emphasised that, if the economy evolves in line with these scenarios, further policy tightening may not be required – the removal of the circa 50bp of easing priced before the conflict potentially sufficient to bring inflation back to the 2% target. The committee judged that the most severe scenario – where Brent averages \$127 this quarter and remains above \$100 well into 2028 – would likely require “a forceful tightening in monetary policy”, however. The Governor declined to specify what interest rate changes this would entail, but noted the need to act quickly to minimise second-round effects. Bank Rate hikes this year are therefore not guaranteed, but with Brent Oil surging as much as 20% this week to a peak around USD126 (now USD114) as the US and Iran remained at an impasse, conditions may eventually become too close to the BoE’s most severe scenario for the MPC to ignore. We continue to expect a Bank Rate hike at the next policy meeting in June, with further tightening possible, but dependent on evolving circumstances.

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By Pat Bustamante

Senior Economist, Westpac

07:00 May 04 2026

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Today's economic developments and market movements.



 Morning Report PDF (PDF 265KB)

Key themes:

- There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.
- US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.
- Bond markets saw only modest moves, while the US dollar firmed slightly during the session.
- Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

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10 April 2026

HORMUZ HIT CPI & CORE INFLATION

The magnitude of the shock has significant implications

Key points

- The Iran conflict is the largest energy shock since the oil crises of the 1970s/80s. For more details on the scenario underpinning these projections please refer to [Middle East Crisis Update](#).
- Westpac is forecasting a 1.5%qtr/4.2%yr gain in the March quarter CPI. The Trimmed Mean is forecast to lift 0.9%qtr/3.5%yr.
- Headline inflation is now peaking at 5.4%yr in the June quarter before easing back to 4.6%yr by end 2026.
- Core inflation peaks around 4%yr in the second half of 2026 and does not return to 3%yr till the end of 2027.
- The monthly CPI to rise 1.3% in March and April with the annual pace peaking at 5.8%yr in May.
- The Trimmed Mean is set to rise 0.2% in March followed by 0.5% increase in April; the annual pace peaks around 4%yr in June and holds this pace till year end.

Breakdown of near term inflation forecasts

	Mar-26	Mar-26	Apr-26	May-26
	Qtr fcs	Mth fcs	Mth fcs	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	1.0	0.6	0.9	0.5
of which, bread & cereals	0.6	0.9	-0.1	-0.2
of which, meat & seafood	1.2	0.3	0.0	0.9
of which, dairy prod.	0.3	0.9	0.3	-0.1
of which, fruit & vegetables	1.9	2.8	4.1	0.5
of which, food products	1.0	0.0	0.8	0.3
of which, non-alcohol bev.	1.1	0.5	-0.5	1.8
Alcohol & tobacco	1.1	0.3	0.2	0.8
of which, alcohol	1.1	0.4	-0.2	1.2
of which, tobacco	1.2	1.4	1.0	-0.2
Clothing & footwear	1.6	-4.2	4.8	-1.9
of which, garments	1.3	-3.7	5.5	-1.7
Housing	3.0	0.2	0.2	0.1
of which, rents	1.0	0.4	0.3	0.3
of which, house purchases	0.8	0.2	0.3	0.3
of which, electricity	21.9	0.0	0.0	0.0
of which, gas & other fuels	1.0	-0.1	-0.6	-2.0
H/hold contents & services	-0.3	-1.2	0.4	-0.3
Health	2.3	-0.1	2.1	-0.3
Transportation	2.2	9.7	1.1	2.0
of which, auto fuel	5.9	34.9	1.8	5.6
Communication	-0.2	-0.1	0.6	0.3
Recreation	-1.0	0.2	4.0	-2.3
of which, holiday travel	-3.2	0.7	7.3	-5.2
Education	4.3	0.0	0.0	0.0
Financial & insurance	0.9	0.4	0.2	0.1
CPI: All groups	1.5	1.3	1.3	0.0

Sources: ABS, Westpac Banking Corporation

- Pass-through to construction inputs has been reported by Tradelinks to be greater than usual.

A crude shock, surcharges may change expectations



Justin Smirk
Senior Economist

A materially bigger and more persistent shock ...

As noted in our [Middle East Crisis Update](#), a prolonged disruption in the Gulf is sustaining higher energy prices. We now have Brent averaging around US\$120/bbl in the June quarter. This is based on our assessment of unfolding infrastructure damage and a slow recovery in shipping traffic through the Strait of Hormuz.

So despite the announced cut in fuel excise, we expect CPI inflation to peak at 5.4%yr in the June quarter, while the monthly measure, which the ABS highlights as the main indicator and can be significantly more volatile than the quarterly series, may peak close to 6%yr in May.

Westpac expects core inflation, as measured by the quarterly Trimmed Mean, peaking around 4% in the second half of year; food, household services and even new dwelling prices, alongside broader non-energy pass-through, are key risks to our estimates. We also note that the monthly TM spikes a bit faster hitting a 4.0%yr pace by June.

In response, the RBA is now expected to deliver three rate hikes (May, June, August), taking the cash rate to a peak of 4.85%. As the combined supply shock and tighter policy weigh on demand, GDP growth is expected to trough at 1%yr in 2027 while unemployment peaks around 5% at end 2026. A deeper dive into these issues are summarised in the video by the Westpac Economics Team led by Luci Ellis "[Longer conflict, higher inflation and cash rate](#)"

This was, of course, before the announcement of a two-week ceasefire on the 8th of April (Asian time). This is obviously welcome and a positive risk scenario relative to the baseline we outlined last week and underpins our current inflation forecasts. Should the ceasefire hold – and that is a big if – a faster opening up of the Strait of Hormuz would result in energy prices tracking between the profile we currently have and the one underpinning the forecasts in the [March](#).

Monthly inflation profile

		Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26
CPI	Index	102.6	103.9	103.9	104.0	104.8	104.9	105.1	105.1	104.8	105.7
	(%mth)	1.3	1.3	0.0	0.1	0.8	0.1	0.2	0.0	-0.3	0.8
	(%yr)	4.7	5.3	5.8	5.7	5.2	5.4	5.1	5.1	4.8	4.7
Trimmed mean	(%mth)	0.2	0.5	0.4	0.3	0.4	0.4	0.2	0.4	0.2	0.3
	(%yr)	3.3	3.6	3.8	4.0	3.9	4.0	3.9	4.0	3.9	3.9
	(6mth ann'd)	3.2	3.7	4.1	4.1	4.3	4.6	4.6	4.4	3.8	3.7

Source: ABS, Westpac Economics.

Revision to the March quarter CPI estimate

	Feb 24, 2026		Apr 10, 2026	
Item	% qtr	contrib	% qtr	contrib
Food	1.2	0.21	1.0	0.17
of which, Fruit & vegetables	4.2	0.09	1.9	0.04
Alcohol & tobacco	1.2	0.08	1.1	0.08
of which, Tobacco	1.9	0.04	1.2	0.02
Clothing & footwear	-1.0	-0.03	1.6	0.05
Housing	2.7	0.58	3.0	0.64
of which, Rents	1.1	0.07	1.0	0.07
of which, House purchases	1.2	0.09	0.8	0.06
of which, Utilities	9.6	0.42	12.2	0.55
H/hold contents & services	0.3	0.02	-0.3	-0.02
Health	2.9	0.20	2.3	0.15
of which, Pharmaceuticals	5.8	0.06	2.9	0.03
Transportation	-1.3	-0.15	2.2	0.25
of which, Car prices	-0.2	-0.01	0.9	0.03
of which, Auto fuel	-5.1	-0.16	5.9	0.20
Communication	-0.1	0.00	-0.2	0.00
Recreation	-1.1	-0.14	-1.0	-0.13
of which, Audio visual & comp.	0.1	0.00	1.6	0.03
of which, Holiday travel	-2.8	-0.17	-3.2	-0.19
Education	5.2	0.25	4.3	0.21
Financial & insurance services	0.9	0.05	0.9	0.05
CPI: All groups	1.1	-	1.5	-
CPI: All groups % year	3.8	-	4.2	-

Sources: ABS, Westpac Economics.

Quarterly inflation profile

		Mar-26	Jun-26	Sep-26	Dec-26
CPI	Index	101.8	103.8	104.7	105.0
	(%qtr)	1.5	1.9	0.9	0.3
	(%yr)	4.2	5.4	5.0	4.6
Trimmed mean	(%qtr)	0.9	1.0	1.0	0.9
	(%yr)	3.5	3.9	4.0	4.0
	(6mth ann'd)	3.7	4.0	4.2	4.0

Source: ABS, Westpac Economics.

[Market Outlook](#) (which was based on a one-month closure of the Strait with little infrastructure damage). For further background on the unfolding risks to our current scenario see Luci Ellis's note "[On hoping you are wrong](#)".

In this bulletin we also release a forward profile of the Monthly CPI. This process is still at a preliminary stage but given the extreme surge we expect to see in the Monthly CPI, we thought it would be timely to provide some guidance out to December 2026.

March and April headline CPI set to surge

The Israel/US assault on Iran began in the morning of the 28th of February. We expect the resulting surge in oil prices to have the largest hit to the CPI in the months of March and April before flattening out in May and June. Auto fuel is set to increase again in July but this is due to the expiration of the recent temporary reduction in fuel excise.

Westpac is forecasting a 1.3% increase in March on the back of a 35% increase in auto fuel. At two decimal points the increase is 1.26% but we warn that given the current volatility in prices, there is a greater than usual degree of uncertainty so these finer estimates should be used with even more caution than usual.

The annual pace lifts from 3.7%yr to 4.7%yr in March.

Our current scenario has auto fuel lifting a further 2% and 6% respectively in April and May. The April CPI will also be boosted by a seasonal bounce in clothing & footwear and holiday travel & accommodation plus the annual increase in health insurance premiums. The annual pace of CPI inflation is expected to peak at 5.8%yr in May (so there is a risk it could peak as high as 6%yr) and then slowly moderate to 4.7%yr by December 2026.

Core inflation is higher for longer

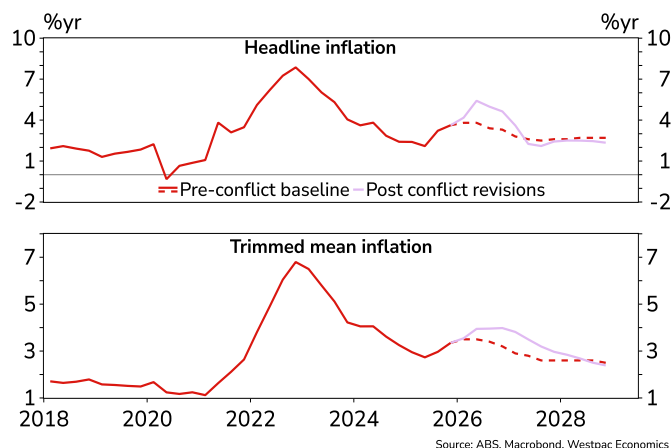
We estimate a 0.23%*mt* rise in the Monthly Trimmed Mean (TM) in March holding the annual pace steady at 3.3%yr. The six-month annualised pace is also steady at 3.3%yr which down from a 3.7%yr pace in December. We were expecting the pace of core inflation to moderate from here but with the conflict in Iran disrupting shipping out of the Gulf, and the resulting surge in fuel prices, we now see fuel prices remaining higher for longer resulting in a greater degree of pass-through to core inflation.

The TM is set to lift 0.5%*mt*/3.6%yr in April, 0.4%*mt*/3.8%yr in May and 0.3%*mt*/4.0%yr in June. The forecast peak in the annual TM inflation is 4.0%yr in June then holding between 3.9%yr and 4.0%yr to year end; in six-month annualised terms the peak pace is 4.6%yr in September.

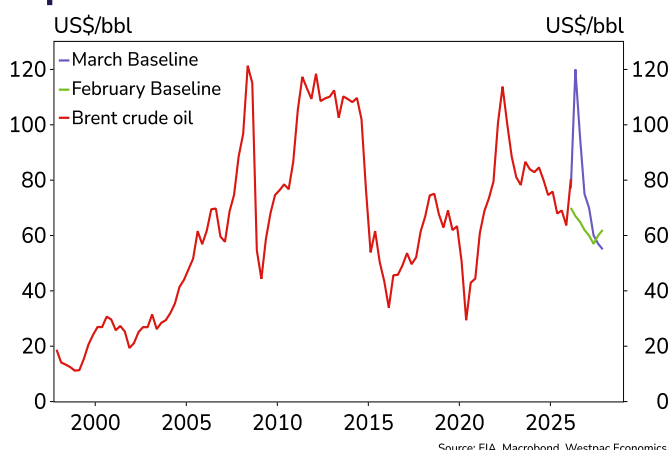
Quarterly inflation less volatile

The Monthly CPI is the focus of the ABS CPI release, and as such, it gains the most media attention. However, at least for now given the short history of the complete Monthly CPI, the quarterly measures of inflation will remain the focus of both the RBA and the Australian government when setting both monetary and fiscal policy, particularly when it comes to core inflation as measured by the Trimmed Mean.

Middle East conflict forecast revisions

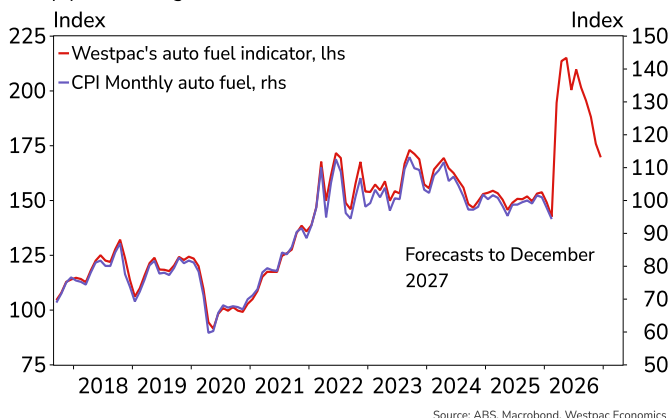


Oil price scenarios



Auto fuel prices

Pump price average for unleaded and diesel



As the current conflict started in the last week of February, we have only see one month of higher fuel prices so the auto fuel is expected to rise just 5.9% in the March quarter. However, starting from a high base in the June quarter means fuel prices to continue to rise solidly and we estimate a 24% surge in the fuel prices component in the June quarter.

Overall, we estimate a 1.5% increase in the March quarter taking the annual pace from 3.6%yr to 4.7%yr. As noted earlier, we expect this momentum to continue into the June quarter with a further 1.9% surge in the CPI taking the annual pace to 5.4%yr. While we think this should be the peak in the annual pace, it is nevertheless the fastest pace since June 2023 when it was reported to be 6.0%.

Core inflation is not immune to this boost as we are forecasting a 0.93% increase in the March quarter, matching the 0.9% increase in the December quarter and it is a prelude to the step up to a 1.0% increase in both the June and September quarters. This will see the annual pace peak at 4.0%yr in the second half of the year.

The Trimmed Mean estimate starts from a low of 0.2% to a high of 2.2%. Significant expenditure items trimmed off the bottom includes vegetables (-1.2%), international travel & accommodation (-0.7%) and other non-durable household products (-0.7%). Trimmed off the top are secondary education (2.3%), tobacco (2.4%), furniture (3.3%), women's garments (3.5%), auto fuel (5.9%), electricity (118.3%).

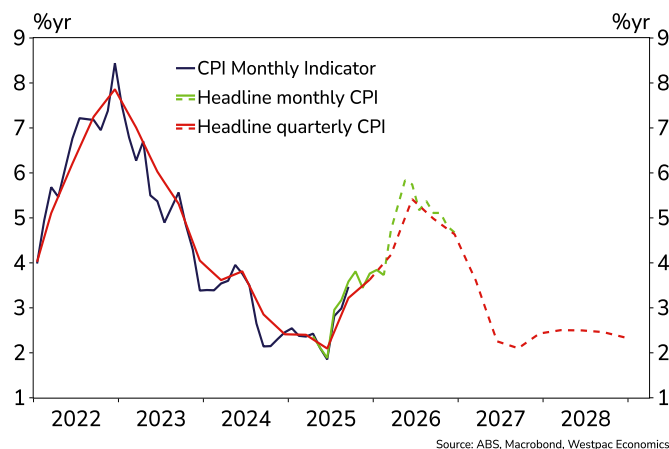
As we have noted in earlier bulletins, until the ABS has a better understanding of the seasonality of the new monthly CPI, they [will continue publishing](#) quarterly underlying inflation measures in a manner consistent with the history of price collection frequency. We have replicated this process and found it represents a small downside risk to our March quarter estimate but it still rounds to 0.9%qtr. As such we just note the risk and do not adjust our overall forecast.

Signs of faster pass-through

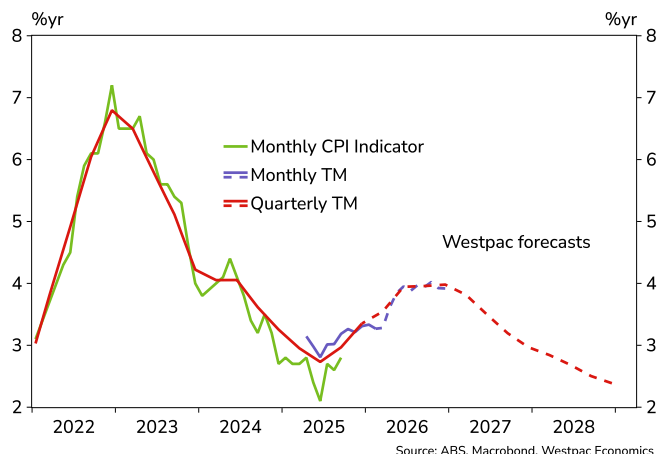
We have received many anecdotal reports of increases in input costs, often as a fuel surcharge or levy. Some of these were adjusted downwards when the Australian government cut the fuel excise but remain significant. We have also heard of restaurants, cafés and even hairdressers adding a fuel levy to prices but these are yet to be confirmed.

It has also been reported that rising input costs could add as much as 10%, or \$50,000, to the cost of building an average detached home. Using input price increases as reported by Tradelink this estimate seems fair. Tradelink data suggests an average increase of 16% in April, the largest increase in the data we have back to January 2020; not all products will see price increases in any given month, but the number of notifications of price increases on the Tradelink website has also risen. The proposed average increase for May increases to 17% before easing back to around 7% in June and July so it will be interesting to see how these estimates are adjusted as actual prices are posted.

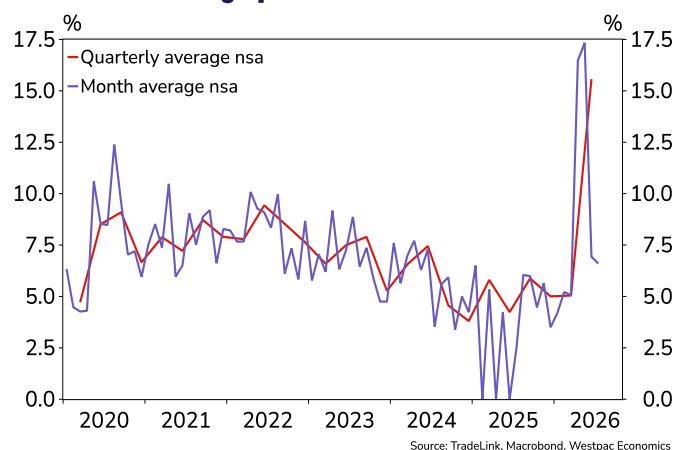
Headline inflation in three series



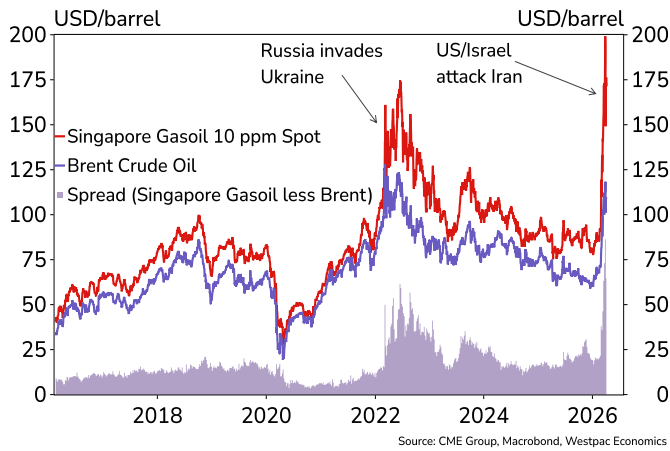
Trimmed Mean inflation in three series



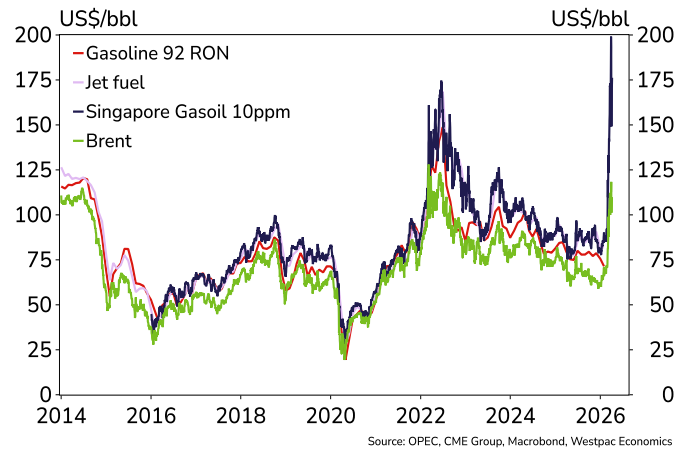
Tradelink - average price increase



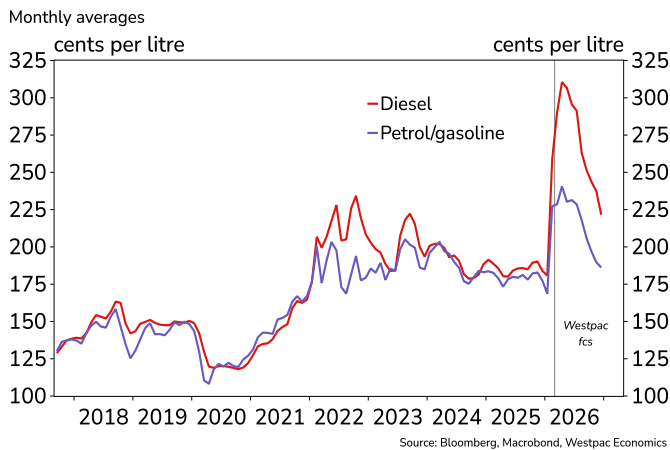
Brent Crude vs Singapore Gasoil 10ppm



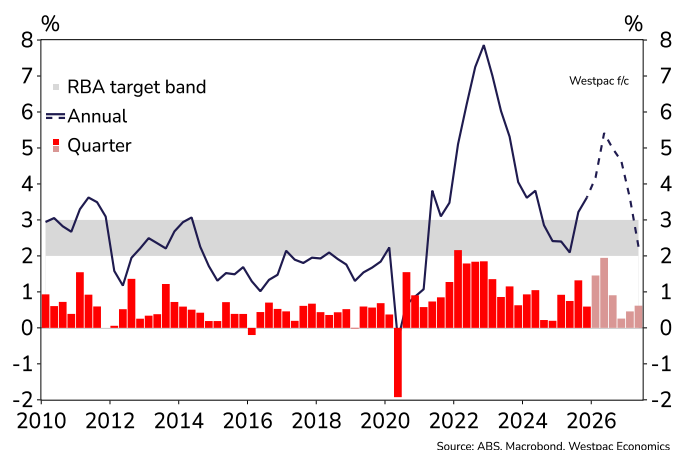
Singapore refined fuel prices



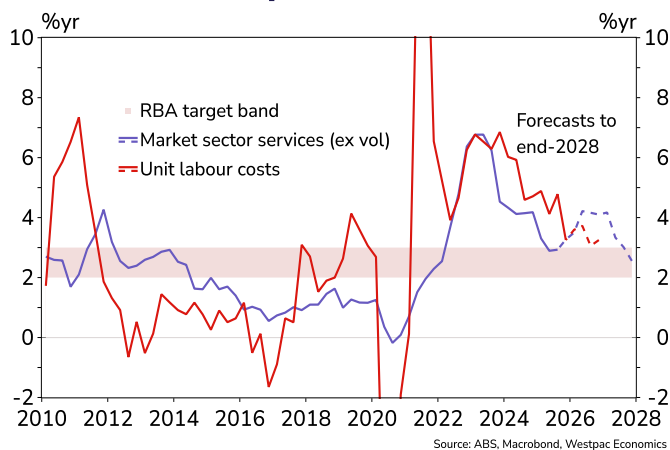
Australian pump prices for auto fuel



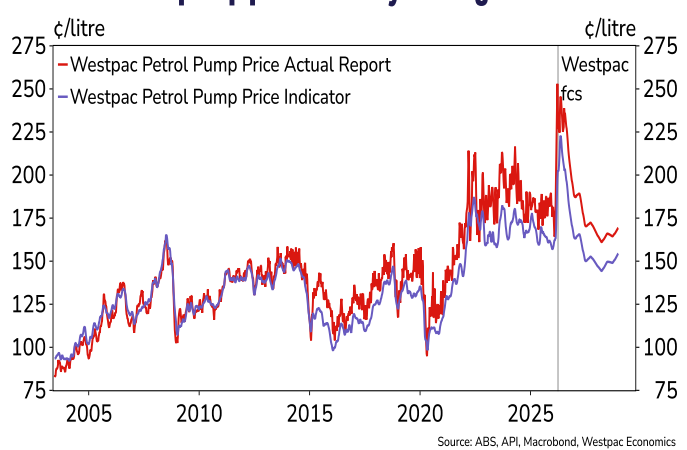
Headline CPI Inflation



Market sector underpins rise in core inflation



Unleaded fuel pump price weekly average





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Cliff Notes: Middle East conflict seemingly at an impasse

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By [Elliot Clarke](#) & [Illiana Jain](#)

10:56 April 24 2026

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Key insights from the week that was.



Regarding the Middle East conflict, the week began with the expectation of a second round of in-person talks between the US and Iran. The start of the negotiations was initially pushed from Tuesday to Wednesday; but President Trump then announced on Truth Social that the meeting had been postponed at the request of Pakistani and Iranian officials to allow time for a "unified proposal" to be developed to be put to the US. Thankfully, having been stretched by both sides at the weekend, the

expiring two-week ceasefire was extended indefinitely.

Since Wednesday, there has been no concrete evidence of progress towards a deal, the Iranians seemingly refusing to come to the table while the US' blockade remains in place, and the US refusing to end the blockade until a deal is agreed. Both sides have halted and seized ships within their area of operations, but this has not triggered a ceasefire breach – although it must be noted that President Trump overnight ordered the US Navy to strike any vessel laying mines in the Strait of Hormuz, making clear the risk of further military conflict.

With no clear way out of the stalemate, or timeline for formal talks, the price of Brent oil has rebounded back to around USD106 having (very briefly) fallen as low as USD86 late last week. The longer the impasse persists, the greater the chance of a sustained period of high oil prices and refinery margins, with all costs eventually met by businesses and households across the world.

Central banks remain focused on the degree and persistence of price passthrough to domestic consumer inflation, the risk being that inflation persists well above target into 2027 on second-round effects and an uplift in inflation expectations. ECB President Lagarde this week noted that the staff currently view conditions in the Euro Area as between their baseline and adverse projections from the last meeting, and will act “as the situation demands” ahead. Next week’s run of central bank meetings across the northern hemisphere will provide a more detailed view on the balance of risks and the implications for monetary policy across the developed world.

In the US meanwhile, President Trump’s pick for the next FOMC Chair, Kevin Warsh, appeared before the Senate Banking Committee as part of the confirmation process. Warsh again made clear he believes several aspects of the FOMC’s communications and processes should change, but also showed a clear commitment to central bank independence. The next steps in Warsh’s confirmation remains highly uncertain, with Republican Senator Tillis refusing to approve the appointment at the Committee stage until the Department of Justice close their investigation into the Federal Reserve and Chair Powell. If Senator Tillis holds out until year end, the Administration may face an additional challenge in 2027 as their Senate majority is at risk in the mid-term election. Chair Powell will remain in place in the interim, giving the FOMC continuity and capacity to manage the US economy.

On data front this week, US retail sales rose 1.7% in March, beating expectations. The control group, which feeds into GDP, also surprised to the upside, 0.7%. For the quarter overall, however, the consumer pulse has been weak, and record-low confidence points to downside risks for Q2. The outlook for US business investment is also increasingly uncertain. Across the pond, the UK unemployment rate fell from 5.2% in January to 4.9% in February, though this reflected a decline in participation. Despite the softer labour market print, wages still rose 3.8%yr in February. A spike in energy prices also saw inflation rise 0.7% in March and 3.3% over the year. While the headlines focus on energy prices, sticky services inflation also remains an issue for the UK, 4.5%yr.

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By Pat Bustamante

Senior Economist, Westpac

07:00 May 04 2026

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Today's economic developments and market movements.



 Morning Report PDF (PDF 265KB)

Key themes:

- There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.
- US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.
- Bond markets saw only modest moves, while the US dollar firmed slightly during the session.
- Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

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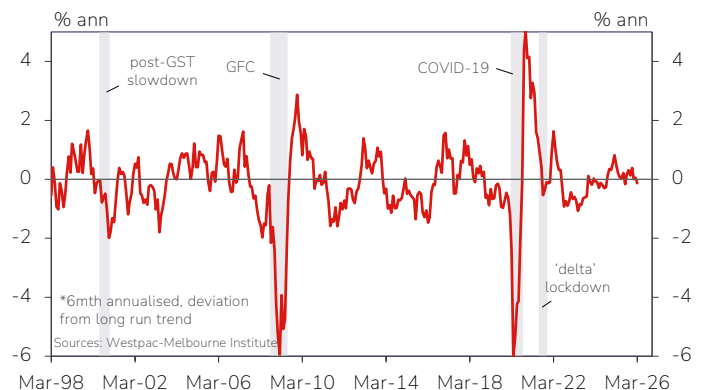
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate declines to -0.13% in March.
- First below-trend pace since August last year.
- Interest rates and global energy shock clearly impacting.

Westpac-MI Leading Index



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Leading Index momentum dips back below trend



Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, declined to -0.13% in March from $+0.05\%$ in February.

The Australian economy has lost momentum over the first few months of the year with more weakness likely to emerge in the months ahead. The March Index already points to a period of below-trend growth over the remainder of 2026. While the growth pulse is not overly weak, it is the first below-trend read since August last year and, prior to that, since the extended period of weakness during the 'cost-of-living' crisis of 2022–2024.

The Leading Index growth rate has now swung from $+0.31\%$ in October last year to -0.15% currently, a 0.44ppt deterioration. The detail shows clear drags from the shifting interest rate backdrop and the global energy shock associated with the conflict in the Middle East.

Component-wise, the biggest negative shifts have come from: the Westpac–Melbourne Institute Consumer Expectations Index (a 20% drop over the last six months effectively taking 0.27ppts off the headline growth rate); a sharp sell-off in the Australian sharemarket in the March month (-0.24 ppts); and a flattening yield spread as short-term interest rates have moved higher (-0.15 ppts). Some of these declines may not be sustained though, with a notable recovery in sharemarket in the first three weeks of April. If it sustains, the move will be reflected in next month's index.

Roughly speaking, about 60% of the drag on the six month growth rate coming from these three components looks to be due to the conflict in the Middle East. All of sharemarket fall and about half of the sentiment decline since October has occurred after the conflict began. Most of the yield gap shift however can be attributed to monetary policy developments prior to the war.

Other components have provided partial offsets. Most notably, higher commodity prices (up 11.9% in Australian dollar terms over the last six months) have added 0.09ppts to the Index growth rate over the same period. Dwelling approvals have added a further 0.11ppts although this is likely being exaggerated by a very choppy monthly profile (approvals jumped 30% in February after dropping 20% through December–January). The contribution from the remaining three components has seen no net change since October.

The Westpac–Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

The Reserve Bank Monetary Policy Board (MPB) next meets on May 4–5. The latest Leading Index update confirms that higher interest rates and the spike in fuel prices associated with the conflict in the Middle East are starting to weigh on growth momentum, albeit fairly mildly. However, the MPB's main concerns are likely to be around inflation with underlying measures already above the RBA's 2–3% target range and set to move higher as the effects of energy price rises come through. On balance we expect the risk of this feeding into a lift in inflation expectations will over-ride the downside risks to growth. As such, we expect the MPB to raise the cash rate by another 25bps in May with further moves likely in subsequent months.



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17 April 2026

WESTPAC NOWCAST Q1 2026: SECOND ESTIMATE

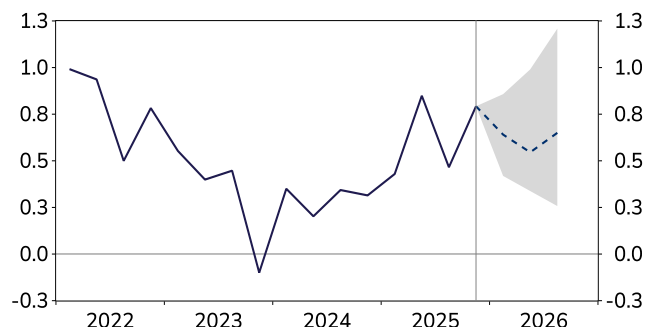
The cyclical upswing is maturing

Key points

- Consistent with our [first estimate](#), Westpac Now points to GDP growth of around 0.6%qtr in Q1 2026 (range: 0.55–0.75%qtr), lifting year ended growth to 2.8%yr.
- Our monthly activity index edged lower in March after moving sideways through January and February. Overall, activity was flat across the March quarter, ending an upswing that began in May 2025 even before the recent tightening in monetary policy could take effect.
- Recent sharp falls in [consumer](#) and [business confidence](#) were largely ‘looked through’; our framework would take more signal from a sustained drop.
- While growth appear to have remained resilient in Q1, a prolonged Middle East conflict increases the risk that weak confidence spills over into a broader set of indicators (many of which have already softened), exacerbating supply chain dislocations and lower real incomes.

Quarterly GDP Growth*

Quarterly % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics
*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q1 2026) relies on the actual Westpac monthly activity index to March 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

- Our framework suggests growth will ease to around 0.5%qtr in Q2, before returning to 0.6%qtr in Q3 2026, but these estimates by design do not allow for the wider effect of the conflict and differ from our actual GDP forecasts.
- Westpac Now updates are released monthly, with details in Appendix A.

The Upswing Is Maturing, Even Before Rate Hikes Bite



Pat Bustamante
Senior Economist

In November 2025, we introduced [Westpac-Now](#), a real time measure of current activity in the Australian economy. Westpac-Now draws on more than 60 high frequency economic and financial variables, using advanced statistical techniques to provide a timely pulse check on economic momentum. It is the first Australian model to incorporate internal banking data, enhancing its predictive power.

This note provides the second estimate of growth for the March quarter 2026, using domestic and international data released up to and including the March Labour Force Survey (released 16 April 2026). Future updates will be published monthly (see Appendix A for the release schedule).

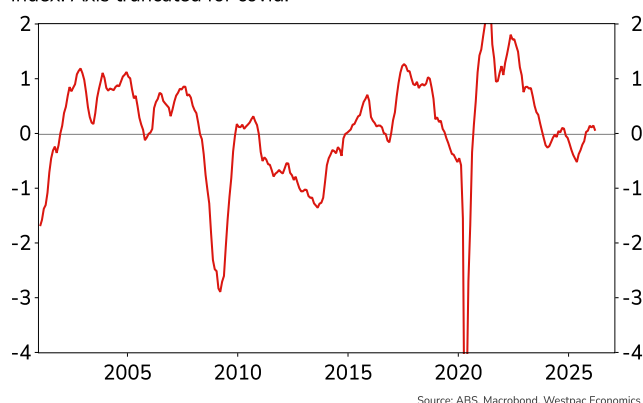
Monthly activity index declines over March

Our monthly activity index edged lower in March after moving sideways through January and February. Overall, activity was flat across the March quarter, ending a steady upswing that began in May 2025 even before the recent tightening in monetary policy could take effect. The monthly activity index is now sitting around the levels recorded in September 2025.

Importantly, there is greater than usual uncertainty around the monthly activity estimate amid heightened inflationary pressures. Faster price growth can cause nominal indicators, such as consumer spending, to rise strongly even though 'real', inflation adjusted spending may be soft. The inclusion of 'real' indicators, such as employment and banking transaction volumes, helps manage some of this uncertainty but it remains higher than usual given above average inflationary pressures.

Westpac Monthly Activity Index

Index. Axis truncated for covid.



Confidence: More noise than signal for now

At this stage, our framework largely looks through the recent sharp falls in consumer and business confidence. Historically, these measures can be volatile, and other indicators have not yet moved in the same direction. In that sense, the decline in confidence is inconsistent with broader domestic economic conditions.

This interpretation is intuitive: the shock triggering the confidence response appears exogenous, or linked to the conflict in the Middle East, rather than arising from domestic economic fundamentals. As such, the declines are currently treated as large idiosyncratic shocks.

That assessment would change if the fall in confidence were sustained or if other high frequency indicators, such as banking transaction data, began to corroborate the signal. In that scenario, the model would revise its treatment and place greater weight on the information coming from confidence measures.

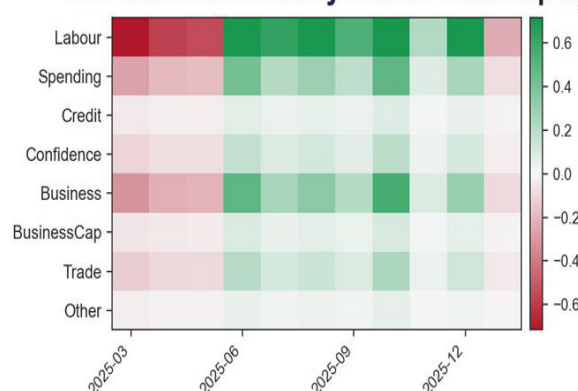
But there are risks with key indicators shifting to neutral

While growth remained resilient in Q1, the longer the Middle East conflict persists, the greater the risk that the weakness evident in confidence starts to show up in a broader set of indicators, such as investment and consumer spending.

Our indicator heatmap decomposes changes in the monthly activity index into group level contributions, allowing us to assess which components drove the recent moderation. For ease of interpretation, indicators are grouped into broad categories. For example, the labour market category includes both official ABS Labour Force Survey outcomes and more timely survey based measures of labour demand and job advertisements.

The heatmap shows that labour market conditions, consumer spending and credit growth lost momentum and shifted to neutral in March, after ending 2025 strongly.

The Common Activity Factor Heatmap by Groups



Westpac Now: Growth moderating even before the recent tightening in monetary policy take effects

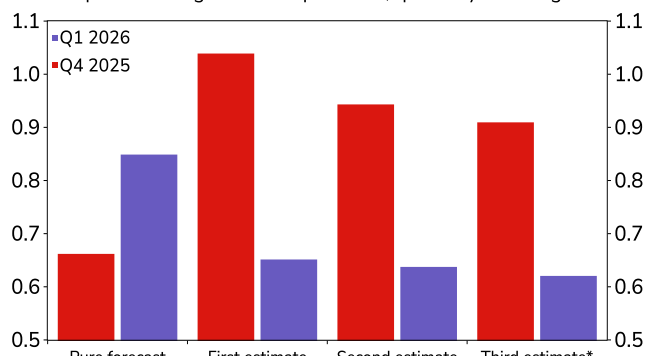
Recall that the Westpac-Now estimate is a more refined indicator that combines our monthly activity indicator using advanced econometric techniques to produce point estimates of GDP growth. As previously noted, the fit is not expected to be exact, as measured GDP includes components that are not well captured by other activity measures, such as imputed rents for owner occupiers, public and business inventories, and the depreciation of buildings and equipment. To bridge monthly and quarterly data, we employ a MIDAS framework, which allows us to combine mixed frequency data and incorporate partial information for the current quarter when producing GDP forecasts.

Based on our current forecast equations, the Westpac-Now Q1 2026 second estimate points to GDP growth of 0.6%qtr (range: 0.55–0.75% qtr), lifting year ended growth to 2.8% yr.

Projections further out, based on the indicator's internal dynamics, suggest growth will ease to 0.5%qtr in Q2, before returning to 0.6%qtr in Q3 2026. However, these projections should be treated as tentative, with heightened uncertainty given the reliance on projected inputs rather than realised data. The potential impact of the Middle East conflict implies that these forward projections are even more uncertain than usual.

Evolution of Westpac-Now

Within quarter changes to Westpac-Now, quarterly % change



Source: ABS, Macrobond, Westpac Economics

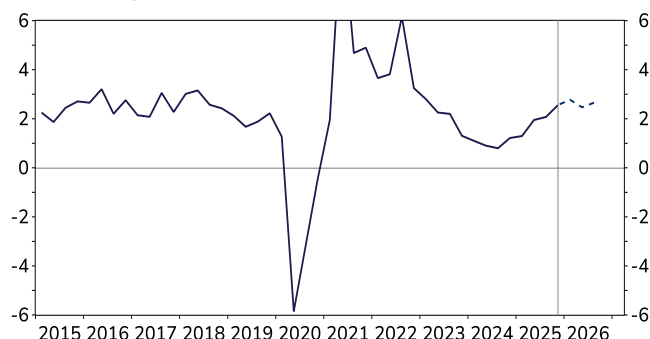
*Preliminary third estimate, to be updated when the full suite of monthly March data becomes available

Bottom line

Westpac Now points to moderating growth, with GDP tracking at around 0.6%qtr in Q1 2026. While recent sharp declines in confidence are currently being 'looked through', momentum has softened across key indicators, including labour market conditions, consumer spending and credit growth, even before the RBA's rate hikes took effect on the economy. Growth remains resilient for now, but a prolonged Middle East conflict raises the risk that weak confidence and supply chain disruptions reinforce each other, posing a more material downside risk over coming quarters.

Westpac-Now Estimates and Projections*

Year-ended % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics

*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q1 2026) relies on the actual Westpac monthly activity index to March 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

March quarter data signal a moderation in growth

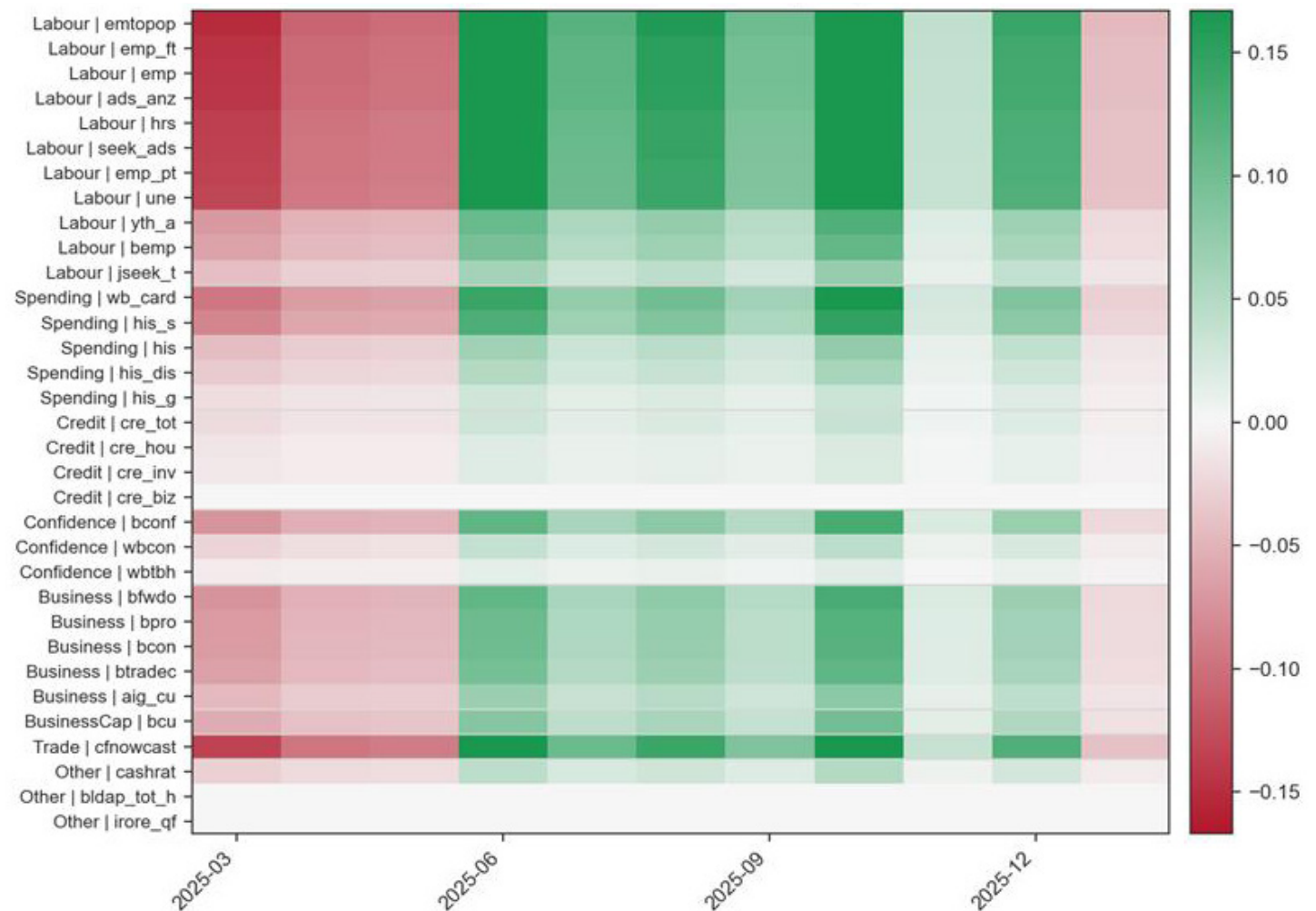
Data released over the March quarter point to growth moderating from the previous quarter. Once data released through the quarter are incorporated, our nowcast estimates Q1 growth at 0.6%qtr. This contrasts with the 0.8%qtr 'pure forecast' estimate that we obtain using only data available up to and including December. The pattern of softer estimates once actual data for the quarter begin to be included in the nowcast also contrasts with Q4 in that the nowcast for that quarter remained higher than the 'pure forecast' estimate as more data were included in successive estimates.

Appendix A: Westpac Now Release Schedule (2026)

Going forward, Westpac Now will be published on the Friday following each ABS Labour Force Survey (LFS) release, at 11:30am AEDT/AEST (Canberra time). Each release incorporates the latest labour market data alongside other high frequency indicators and provides an updated nowcast for quarterly GDP growth. As the quarter progresses, each update should be interpreted as a progressively more complete estimate of that quarter's economic performance.

Release date (Friday)	LFS reference month	Quarter focus	Interpretation
22 May 2026	April 2026	Q1 2026 – final estimate	Near complete read on Q1 activity
19 June 2026	May 2026	Q2 2026 – first estimate	Initial assessment of Q2 momentum
17 July 2026	June 2026	Q2 2026 – second estimate	Refined Q2 signal as activity data accumulate
21 August 2026	July 2026	Q2 2026 – final estimate	Near complete read on Q2 activity
18 September 2026	August 2026	Q3 2026 – first estimate	Initial assessment of Q3 momentum
16 October 2026	September 2026	Q3 2026 – second estimate	Refined Q3 signal as activity data accumulate
20 November 2026	October 2026	Q3 2026 – final estimate	Near complete read on Q3 activity
18 December 2026	November 2026	Q4 2026 – first estimate	Initial assessment of Q4 momentum

Appendix B: The common activity factor heatmap by indicators



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



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By Pat Bustamante

Senior Economist, Westpac

07:00 May 04 2026

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Today's economic developments and market movements.



 Morning Report PDF (PDF 265KB)

Key themes:

- There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.
- US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.
- Bond markets saw only modest moves, while the US dollar firmed slightly during the session.
- Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

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First Impressions: NZ labour market surveys, March quarter 2026

#labour

#newzealand



By Michael Gordon

Senior Economist, Westpac NZ

08:55 May 06 2026

 Share

The unemployment rate ticked down to 5.3% in the March quarter, better than the flat outcome that we and the market expected. Employment and hours worked were up, while wage growth was subdued.



Unemployment rate: 5.3% (prev: 5.4%, Westpac: 5.4%, RBNZ: 5.3%, mkt: 5.4%)

Employment change: +0.2% (prev: +0.5%, Westpac: -0.1%, RBNZ: +0.4%, mkt: +0.3%)

Participation rate: 70.4% (prev: 70.5%, Westpac: 70.3%, RBNZ: 70.5%, mkt: 70.5%)

Labour costs (private sector): +0.4% (prev: +0.5%, Westpac: +0.4%, RBNZ: +0.4%, mkt: +0.4%)

The March quarter Household Labour Force Survey (HLFS) provided a modest positive surprise with the unemployment rate ticking down from 5.4% to 5.3%, the first decline since December 2021. This was better than the flat outturn that we and the market were expecting, but it was in line with the Reserve Bank's (now somewhat dated) February Monetary Policy Statement forecasts.

The fall in unemployment stemmed from the unusual combination of a rise in employment along with a fall in labour force participation, splitting the difference in terms of our somewhat out-of-market view on the composition. We felt that the jump in the participation rate in the previous quarter was overstated, having been concentrated among young people during the school holidays, and would unwind this time. That did happen to some degree, but was balanced out by stronger employment among older groups than we expected.

The other employment measures in the HLFS and the Quarterly Employment Survey (QES) painted a fairly consistent picture of a lift in activity over the March quarter. The HLFS recorded a 0.8% rise in the total number of hours worked, while the QES recorded a 0.7% rise in full-time equivalent workers and 0.6% gains in filled jobs and hours paid. All of these are broadly supportive of our forecast of a 0.8% rise of GDP for the quarter (which we expect will be partly boosted by seasonal distortions).

Wage growth remained subdued at this stage of the cycle, and was broadly in line with expectations. The Labour Cost Index (LCI) for all sectors rose by 0.5% for the quarter, although this appears to be a quirk of rounding, with the private and public sectors each recording 0.4% gains. On an annual basis the LCI held steady at 2.0%. The distribution of pay rises (for those roles that saw any increase) continues to converge on the 2-3% range, though there has been a rise in the number of employers citing the cost of living as a reason for increasing pay rates.

The unadjusted analytical LCI, which includes pay increases that are related to higher productivity, rose by 0.7% for the quarter. This measure has continued to cool off on an annual basis, slowing from 3.3% to 3.1%, the smallest rise since March 2021.

Overall, we don't think the labour market surveys will give the RBNZ much to ponder ahead of its 27 May policy review. There's a range of evidence that the economy was starting to regain some momentum in the early part of this year, but subsequent events in the Middle East have clouded the outlook for both activity and inflation pressures in the months ahead. At the least, the RBNZ can conclude that we came into this shock with a labour market that was starting to improve but still had a substantial degree of slack, a notable contrast with our Australian cousins.

Michael Gordon, Senior Economist

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Monthly household spending indicator: Fuel dominates the narrative

#consumer

#housing

#inflation



By [Luka Belobrajdic](#)
Economist, Westpac

20:20 May 05 2026

Share

Q1 real household spending: 0.7%qtr, 2.8%yr



Read full report **Household spending indicator - March (PDF 504KB)**

Household spending rose 1.6%_{mt} in March, the strongest monthly gain in two years. However, Q1

spending was more subdued, with nominal growth of 1.0%qtr. Volumes increased 0.7%qtr, pointing to a surprisingly soft price gain in the quarter.

Goods spending surged, while services spending lost momentum. Non-discretionary spending outperformed as discretionary categories remained more restrained.

In real terms, spending growth over the quarter was uneven across categories but remained positive across all states, with transport and non-discretionary components driving volumes.

Ahead of the Q1 national accounts (due 3 June) we maintain a 0.6%qtr/2.5%yr forecast for consumption.

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4 May 2026

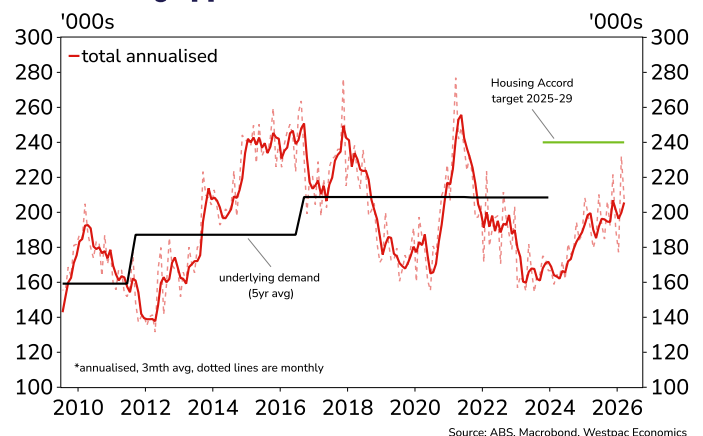
AUSTRALIAN DWELLING APPROVALS BULLETIN

Unit approvals reverse course

Key points

- Total dwelling approvals partially unwound February's sharp gains, falling 10.5%*mth* in March. The annual pace eased to 9.0%*yr*, though the large lift in the previous month continues to leave approvals at an elevated level.
- As in recent months, private unit approvals drove the headline outcome, declining 26%*mth* following February's 101%*mth* surge. Private detached house approvals rose 0.9%*mth*. On a rolling three-month basis, house approvals increased 5.1%*qtr*, signalling a continued upswing in detached housing momentum.
- State-level outcomes remain uneven on a rolling three-month basis, with approvals strongest in Qld and WA, while NSW, Vic and SA recorded declines.
- Looking ahead, further expected RBA cash rate rises throughout 2026, alongside softer dwelling price growth are likely to temper the near-term recovery.

Dwelling approvals



**Total dwelling approvals
-10.5%*mth*,
9.0%*yr***

Detached dwelling approvals in a clearer upswing



Luka Belobrajdic
Economist

Total dwelling approvals partially unwound the sharp gains recorded last month, falling 10.5%*mth* in March. The result was below our expectation but broadly in line with the market expectation. The annual pace eased to 9.0%*yr*, although the large rise in last month's result continues to leave approvals at an elevated level. Indeed, the key takeaway looks to be of a clearer upswing emerging in the detached houses segment.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

As in recent results, private unit approvals continued to drive volatility, declining 26%*mth*, following a 101%*mth* rise in February. The March outcome does not fully unwind last month's gains, with private unit approvals remaining above their average level over the past 12 months. Units accounted for just over 39% of private approvals in the month, down from the 47% high in February. High rise unit approvals again drove the headline move, with Westpac's seasonally-adjusted estimates across both private and public sectors falling 21%*mth*, while low mid rise approvals declined 7.5%*mth*. As a result, the annual growth rate for high rise units eased to 15%*yr*, while low mid rise approvals moved into contraction (-2.7%*yr*).

Private detached dwelling approvals rose 0.9%*mth*, with February approvals revised sharply higher to 2.0%*mth* (+1.8ppts). On a rolling three month basis, total house approvals increased 5.1%*qtr*, the strongest result since October 2023, and signalling a continued upswing in detached dwelling approvals.

Dwelling approvals remain strongest in states experiencing the most robust dwelling price growth (see [here](#)). On a rolling three month basis, gains are concentrated in Qld (27%*yr*) and WA (23%*yr*), led primarily by unit approvals, although detached dwellings are providing more balanced support in WA. In contrast, approvals declined in Vic (-1.5%*yr*), SA (-5.1%*yr*) and NSW (-11%*yr*). In NSW and Vic, declines were driven primarily by units, with house approvals continuing to post gains.

In value terms, residential building approvals fell 16%*mth*, an 18% decline in new residential approvals partially offset by a 0.8% rise in renovation activity. The value of non residential approvals fell sharply (-25%*mth*), led by a significant fall in the data centre dominated 'other commercial' segment (-93%*mth*). The total value of buildings approved declined 19%*mth*.

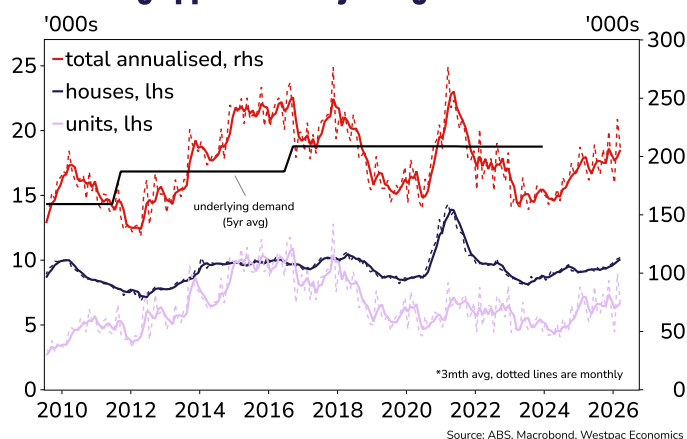
Looking ahead, further expected RBA cash rate increases across May, June and August, alongside softer dwelling price growth, are likely to temper the near term recovery in dwelling approvals. While detached housing momentum has improved, volatility in unit approvals and broader affordability constraints suggest the recovery is likely to remain uneven.

Building approvals – March 2026

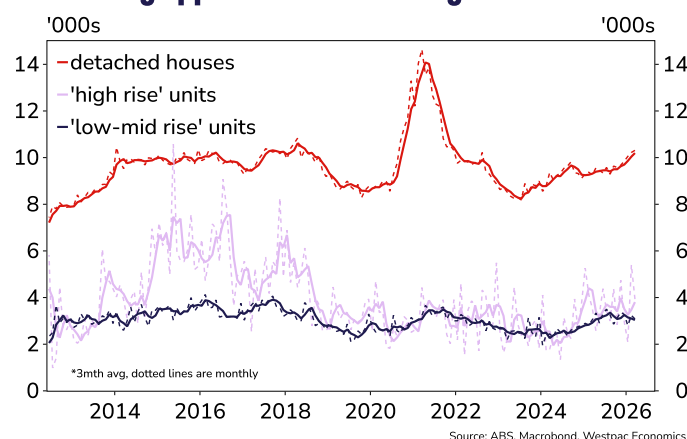
3mth avg	3mth %chg*			%yr	
	latest	Feb	Mar	Feb	Mar
Private houses	10,070	4.6	5.3	8.7	10.0
Private units	6,686	-12.5	-2.8	-9.8	-6.8
Public dwellings	379	-23.3	9.9	7.4	26.2
Total dwellings	17,135	-3.4	2.1	0.7	3.1
Total dwellings, mthly*	17,300	31.0	-10.5	16.1	9.0
– units in 'high rise'^	3,686	-17.9	0.8	-21.2	-12.0
– units in 'low rise'^	3,040	-1.3	-5.9	10.0	3.0
Renovations, \$bn	1.324	6.4	5.8	10.7	13.4
Non-res., \$bn	7.402	8.4	1.6	29.4	34.2

*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

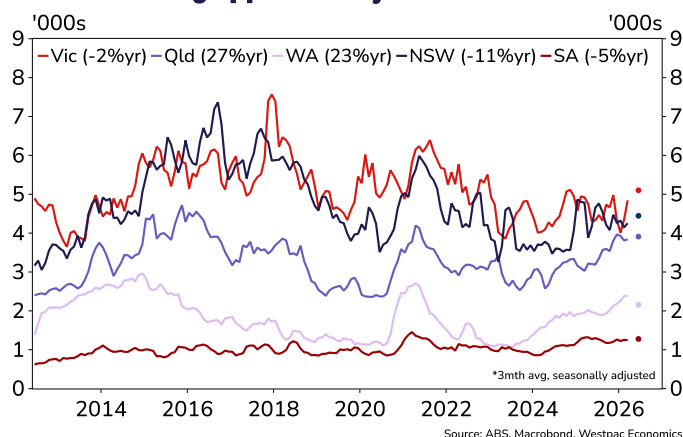
Dwelling approvals: major segment



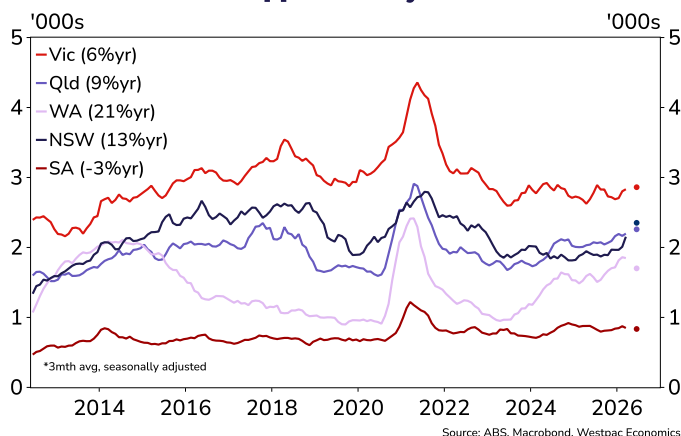
Dwelling approvals: detailed segment



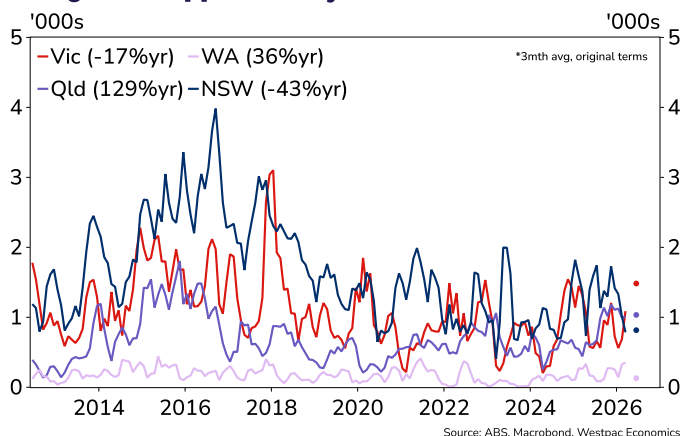
Total dwelling approvals: by state



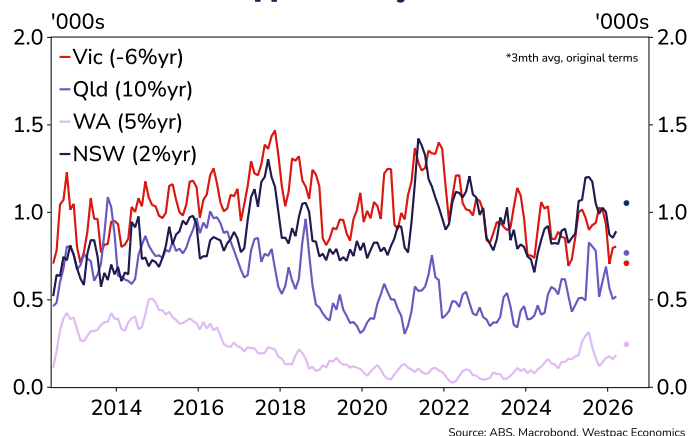
Detached house approvals: by state



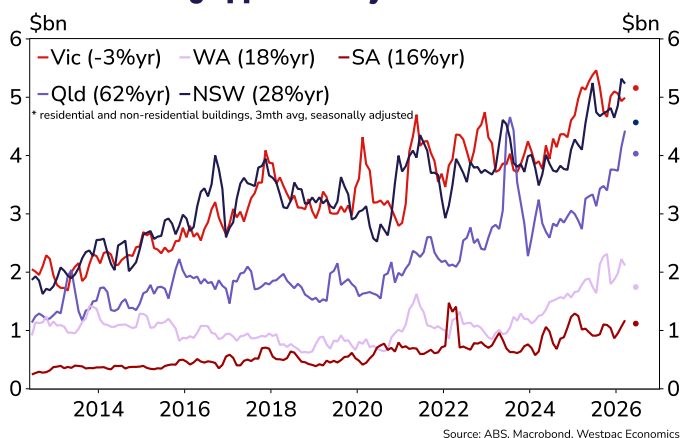
'High rise' approvals: by state



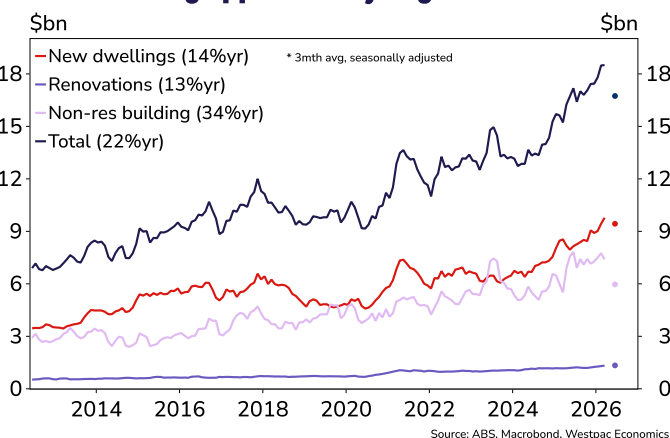
'Low-mid rise' approvals: by state



Total building approvals: by state



Total building approvals: by segment





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Australian dwelling prices: price growth slows across all capital cities

#housing

#housing



By [Luka Belobrajdic](#)
Economist, Westpac

14:55 May 01 2026

Share

March Cotality home value index: +0.2%mth; +9.1%yr



Read full report **'Australian dwelling prices March' (PDF 440KB)**

The Cotality home value index rose 0.2% in April - the weakest monthly outcome since January 2025 -

following revised gains of 0.4%*mth* in March and 0.5%*mth* in February. Annual growth eased to 9.1%*yr*.

The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop.

The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply. In contrast, price growth across other capital cities has eased only modestly and remains robust.

With further interest rate increases expected over coming months, alongside heightened global uncertainty, additional headwinds are likely, and the risk of a further deceleration in dwelling price growth has increased.

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First Impressions: NZIER Quarterly Survey of Business Opinion, March quarter 2026

#businessconditions

#newzealand



By Michael Gordon
Senior Economist, Westpac NZ

08:15 April 21 2026

Share

Business confidence fell sharply after the Iran conflict, with the gloom deepening over the course of March.



Key results (seasonally adjusted)

General business situation: +1 (Prev: +39)

Trading activity, past three months: 0 (Prev: -3)

Trading activity, next three months: +13 (Prev: +22)

Average selling prices, past three months: +22 (Prev: +13)

Average selling prices, next three months: +43 (Prev: +25)

Business confidence has unsurprisingly taken a knock since the Iran war kicked off at the end of February. Indeed, given the fast-moving situation, the headline results of the Quarterly Survey of Business Opinion understate the degree of the shock. Firms noted ongoing cost pressures, and a growing number of them are intending to raise their prices, but their ability to do so remains mixed. Overall, today's survey probably underscores rather than deepens the dilemma that the RBNZ will be facing in the coming months.

Sentiment about the general business situation fell from +39 to +1, the lowest reading since September 2024 – and that doesn't come close to telling the full story. Surveying began on 6 March, and the initial batch of responses was a net 34% positive. After the first reminder in mid-March, the next batch was a net 7% negative, and the last batch at the end of March was a whopping net 57% negative. NZIER didn't provide this breakdown for the other survey questions, but we can reasonably assume that there was a similar deterioration over the course of the month.

The own-activity measure for the last quarter actually picked up a little compared to the December survey, emphasising that the economy was regaining some momentum before the Iran war. Expectations for the next quarter fell from +22 to +13, though again the picture is likely to have looked significantly worse by the end of the survey period.

A net 37% of firms reported a rise in their costs, unchanged from last quarter. Expected costs for the next quarter were a net 45%, up from 39% in December – not a big increase, but this measure was already at elevated levels.

A net 22% of firms increased their prices last quarter, compared to 13% in December. More notably, a net 43% plan to raise their prices in the next quarter, the highest reading since September 2023. Firms' ability to raise their prices remained mixed across sectors though: for instance, builders reported a sharp rise in costs but a net 25% lowered their own prices last quarter.

Employment was down a net 5% past quarter, after a brief pickup in December, and hiring intentions also turned negative again. That said, there is evidence of labour shortages emerging again for skilled roles, though not for unskilled ones.

Michael Gordon, Senior Economist

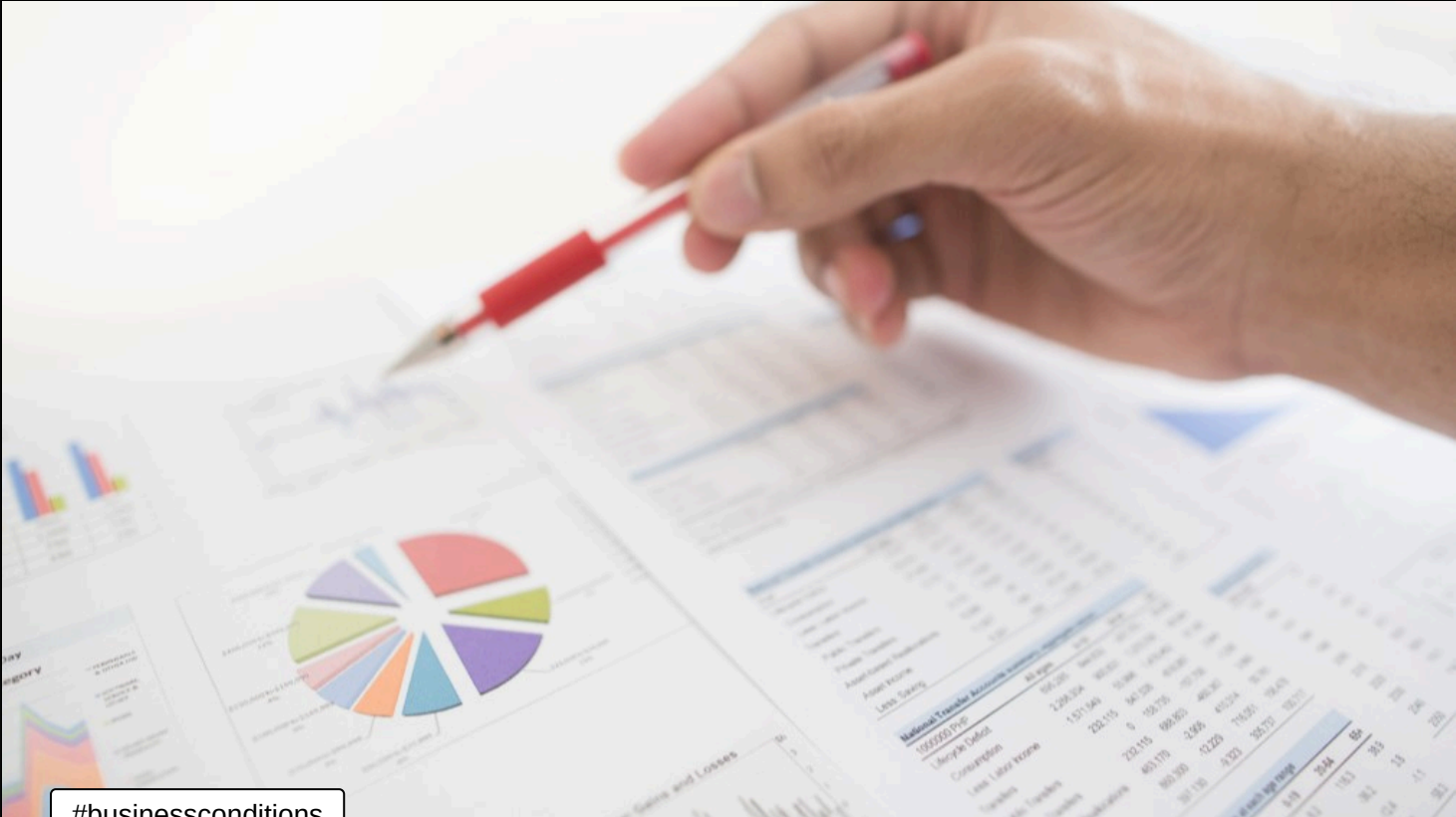
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April 14 2026 • ⌚ 5 mins

By Luka Belobrajdic

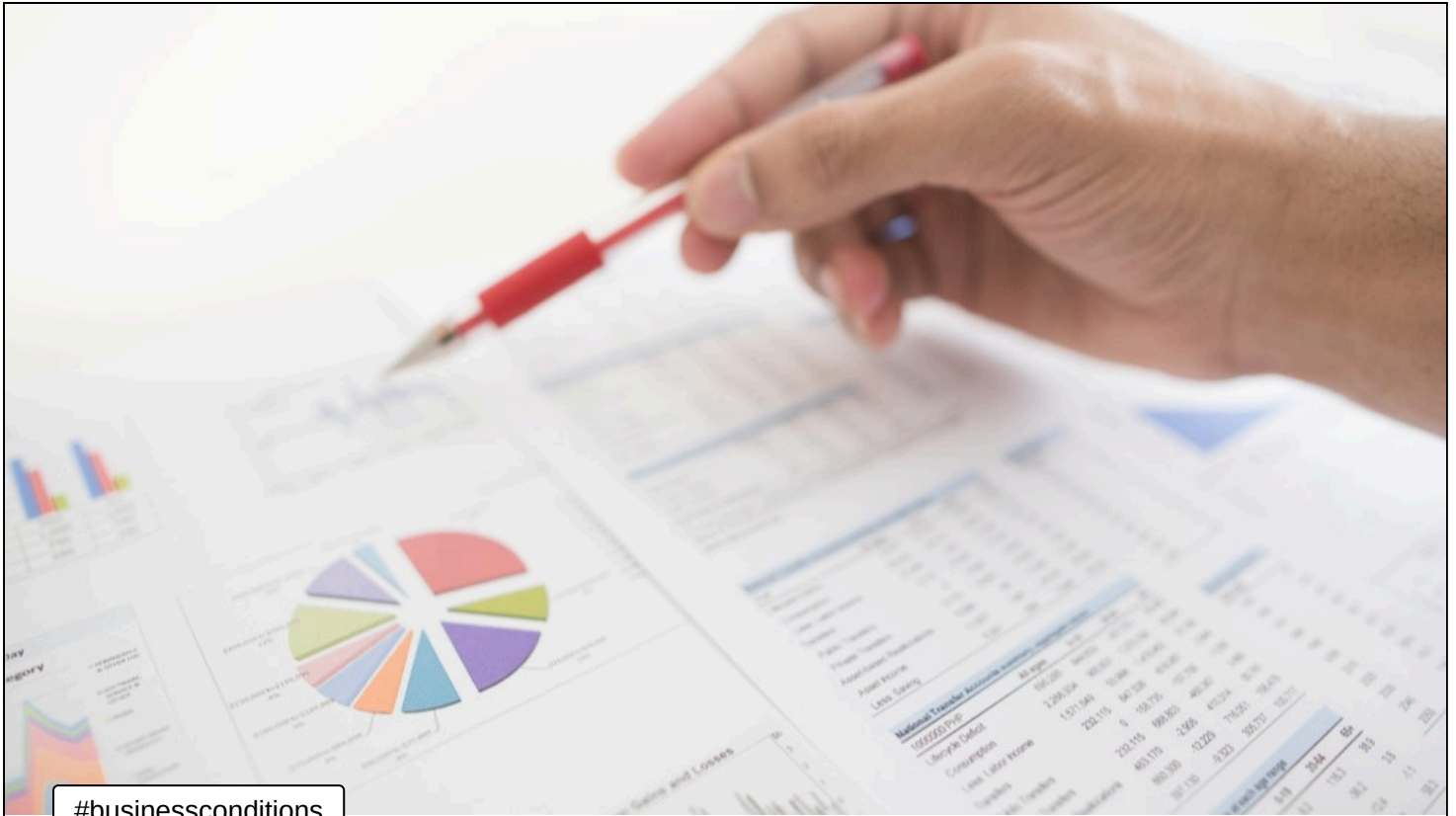


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ECONOMIC BULLETIN

Preview of Q1 labour market surveys:
6 May, 10:45am.



29 Apr 2026 | **Michael Gordon**, Senior Economist | +64 9 336 5670 | michael.gordon@westpac.co.nz

Steady for now

- We expect the unemployment rate to hold steady at 5.4% for the March quarter.
- Higher-frequency indicators have pointed to a modest lift in jobs in recent months, though not outpacing the growth in the working-age population.
- While we expect to see a small downward correction in the HLFS employment measure, this doesn't alter the general picture.
- Wage growth is likely to have remained subdued, given the existing slack in the labour market.
- Our forecasts are a little softer than what the RBNZ expected in its February statement. However, the fast-moving developments in the Middle East mean that the RBNZ's forward view on the labour market will likely have shifted since then.

	Q4 actual	Q1 forecast	
	Quarter	Westpac	RBNZ
Household Labour Force Survey			
Unemployment rate	5.4	5.4	5.3
Employment growth	0.5	-0.1	0.4
Participation rate	70.5	70.3	70.5
Labour Cost Index			
All sectors, ordinary time	0.4	0.5	-
Private sector, ordinary time	0.5	0.4	0.4

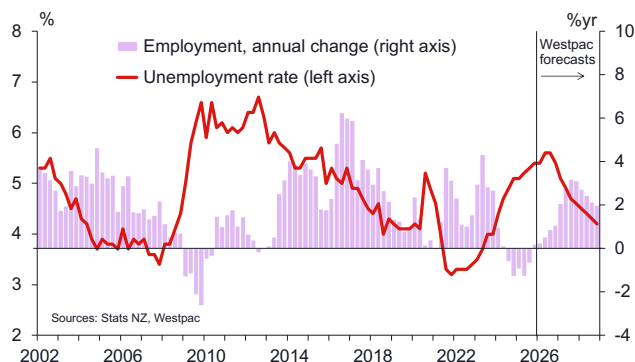
We expect next Wednesday's labour market surveys to show a steady in the jobs market over the March quarter. There's a growing range of evidence that the economy was starting to find its footing again in the early part of this year, at least up until the Iran conflict. But with the labour market tending to lag the broader economic cycle, we should expect jobs growth and wage demands to remain muted at this stage.

We're forecasting the unemployment rate to hold steady at 5.4% for the March quarter. We do expect a small drop in employment and participation this time, reversing a surprising jump in the previous quarter, but we're less wedded to that part of the forecast; the unemployment rate is the key variable to watch. We expect wage growth to continue running at about 2% annualised, reflecting the degree of slack in the jobs market and the moderation in inflation in recent years.

Our picks are a little softer than the Reserve Bank's February *Monetary Policy Statement* forecasts, which assumed faster jobs growth and a decline in the unemployment rate by this point. At the margin, a result in line with our forecasts would strengthen the case for caution before lifting the OCR. But the bigger issue for the RBNZ will be what has happened since the *MPS*: the Middle East oil shock will hinder the economic recovery,

potentially leading to delays in hiring, layoffs and business failures. We've moved away from our pre-conflict view that 5.4% would mark the peak in the unemployment rate for this cycle.

Employment growth and unemployment rate



Details.

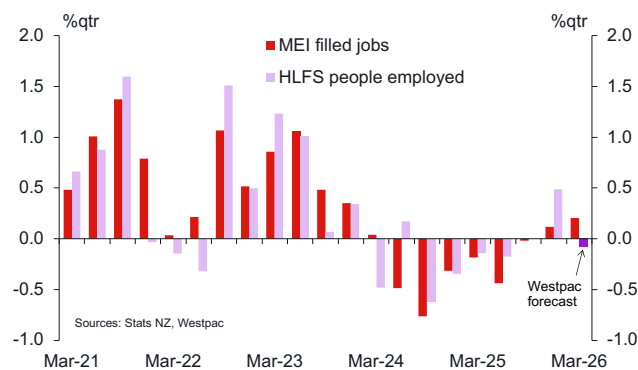
A range of indicators have pointed to the labour market stabilising in recent months:

- The Westpac-McDermott Miller Employment Confidence Index improved in the March quarter.
- Jobseeker benefit recipients were broadly stable in seasonally adjusted terms.
- Job advertisements have been ticking up and are around 10% higher than a year ago, although they remain well below their pre-Covid levels.

The best evidence comes from the Monthly Employment Indicator (MEI), which is drawn from income tax data and provides a comprehensive record of the number of jobs. There are some conceptual differences between the MEI and the quarterly HLFS, but in most cases any gap between the two is likely to reflect sampling error.

The MEI on its own suggests around a 0.2% rise in employment over the March quarter, which would be about in line with the growth in the working-age population. However, we're expecting to see a small dip in employment in the HLFS, accompanied by a drop in the participation rate. The reason is that the December quarter HLFS showed a surprisingly strong 0.5% rise in employment and a lift in participation, even as the unemployment rate also rose. Looking closer, most of the surprise was driven by a sharp rise in employment among the under-25s, which wasn't apparent in the MEI. We suspect that the HLFS captured an unusually large number of students who were working during the summer holidays, which should then return to normal as the new academic year begins. We generally recommend focusing on the unemployment rate as the key metric from the HLFS, as it's less vulnerable to sampling errors.

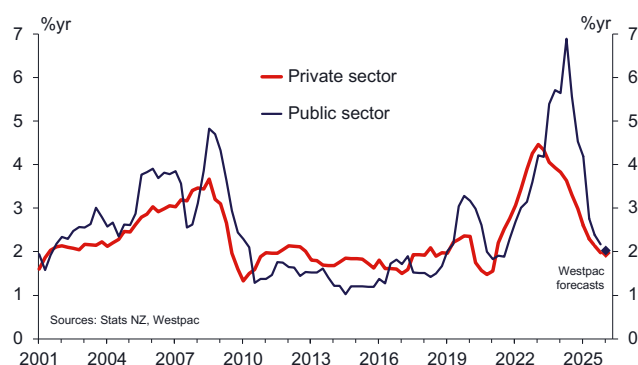
Quarterly employment change



While cost-of-living pressures are rearing up again as a concern for households, the existing degree of slack in the labour market means there's little room to negotiate larger pay increases. Business surveys have suggested that skilled workers are getting harder to find again, which may reflect the more subdued net migration trends in recent times. But unlike in the post-Covid boom, there's little evidence that employers have been willing to bid up to attract or retain workers.

We expect a 0.5% rise in the Labour Cost Index (LCI) for the March quarter, leaving annual growth at around 2%. Our forecast for private sector wage growth is slightly more subdued at 0.4%, in line with the RBNZ's forecast. The public sector tends to see larger pay increases in March quarters – we've pencilled in a 0.8% rise, though this would still see it slowing from 2.2% to 2.0% on an annual basis.

Labour Cost Index wage growth forecasts



The fast-moving developments in the Middle East mean that the labour market surveys will already be somewhat dated on their release. We'll be looking to higher-frequency data in the coming months, such as the MEI (and the weekly snapshots provided by Stats NZ) to gauge whether the conflict is affecting firms' hiring decisions. Unfortunately there's no equivalent high-frequency data on wages; while workers would no doubt like to see cost-of-living adjustments, it may be difficult to secure them in the current environment.

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WESTPAC WAVE

FIJI ECONOMIC UPDATE AND OUTLOOK

April 2026



Fiji will get through this crisis

Shamal Chand

Senior Economist, Westpac Pacific Economics

The Strait of Hormuz remains closed as the Middle East conflict enters its 53rd day. At the time of this publication, prospects for a second round of US–Iran negotiations appear to be fading in Pakistan, as Iran declines to attend. On 22 April, Trump said the US would extend the ceasefire indefinitely until a new proposal is submitted and talks conclude, while maintaining the blockade over the Strait.

Fiji finds itself in a difficult position through no action of its own. The energy market crisis triggered by the conflict is widely regarded as the largest since the 1970s oil shock, with its effects already reverberating through the Fijian economy.

Domestic fuel prices rose sharply in April, following panic buying and hoarding ahead of the official price announcement. Further fuel price increases are likely in coming months as the Fiji Competition and Consumer Commission (FCCC) reassesses global refined fuel prices, shipping/insurance costs and exchange-rate movements. Given fuel remains price-controlled, the pass-through to consumers has so far been partially muted, though pressures are clearly building.

If the conflict is prolonged, Fiji could face significant challenges to economic activity and foreign-reserve holdings, stemming from both higher import costs and potential disruptions to tourism export earnings. Airline route consolidation, driven by rising operating and jet fuel costs, poses a particular risk. Despite tourism performing strongly in the first three months of 2026, with visitor arrivals rising 7.0%/y, we expect a flatter tourism profile for the remainder of the year in our baseline scenario, given its high exposure to the fuel-dependent transport sector. Elevated jet fuel prices and the risk of supply disruptions present downside risks, especially from the perspective of high intermediate costs. Fiji Airways has already begun consolidating operations, explicitly citing high jet fuel prices as a key driver.

Accordingly, we have downgraded Fiji's 2026 growth forecast to 2.0%, from a pre-conflict projection of 3.3%. Even if the conflict ends soon, our baseline scenario suggests a stalling recovery, with full normalisation unlikely before mid-2027. Headline inflation could rise to around 6.4% by Sept-2026.

While no physical disruptions to Fiji's fuel imports have been observed so far, cost pressures are already being felt, particularly by Energy Fiji Limited (EFL), which still relies on thermal generation for around half of national electricity demand. EFL is now urging consumers to conserve electricity amid rising fuel costs. Electricity rationing is on card now for if diesel supply is disrupted.

Fiji received a major fuel shipment on 4 April, according to IMF ports data, with another major tanker arriving on 21 April, followed by a further shipment expected in early May, based on live shipping-tracking data. On 19 April, Singapore's Foreign

Minister assured Fiji that fuel shipments would not be affected.

Beyond energy, the industrial sector, including mining, faces rising input costs that will dampen real output. Manufacturers are expected to pass higher costs on to consumers over time, while agriculture is expected to see declining value addition due to higher fuel and fertiliser costs. These developments are reflected in our downgraded growth outlook. We continue to monitor and assess the ongoing conflict and will update our forecast accordingly.

The Fiji Government has repeatedly confirmed that fuel stocks remain adequate. More recently, the Government activated the four-phase Fiji National Fuel Emergency Action Plan to manage fuel and cost-of-living risks linked to the conflict. In a nationwide address, Prime Minister Rabuka announced parallel fiscal and household measures under consideration, including a proposed 20% salary cut for Ministers and MPs subject to approval, an immediate halt to overseas travel, a freeze on new civil service hiring, diesel subsidies for EFL, relief measures for bus operators, and potential temporary reductions in FNPF contribution rates to support take-home pay. With the national budget due in June, further support measures may be announced, dependent on fiscal space.

Crisis is an opportunity

History shows crises often force economies to reassess systems, behaviour and policy choices. While short-term shocks are painful, the medium- to long-term outcome often includes greater efficiency, stronger institutions and enhanced resilience. For Fiji, the conflict underscores long-recognised vulnerabilities, most notably dependence on imported fossil fuels. The COVID-19 experience offers a useful parallel: while deeply disruptive, it accelerated digital payments and improved financial inclusion.

Energy security is therefore likely to move higher on the policy agenda with this conflict. Renewable investment may accelerate, electric vehicles and plug-in hybrids could gain traction, and businesses may diversify suppliers, hold larger inventories and invest in more fuel-efficient capital. Even if this conflict proves shorter than feared, another shock will eventually emerge. For Fiji, this episode is both a warning about fuel dependence and an opportunity to build lasting energy resilience before the next crisis strikes.

Finally, expectations of a structurally weaker US dollar could provide some relief under Fiji's fixed exchange-rate regime. A firmer FJD against the USD could help contain imported inflation, particularly fuel. The FJD is expected to remain broadly stable versus the AUD, supporting tourism competitiveness, while weakening modestly against the NZD, EUR and JPY and slightly reducing export competitiveness to the US.

The fragile ceasefire extended indefinitely...

It is now 53 days since the Middle East conflict began, leading to the complete closure of the Strait of Hormuz and causing significant disruption to energy markets. The global economy has been extremely volatile since then.

The Strait of Hormuz sits at the centre of these concerns. Before the conflict intensified, more than 100 vessels transited the Strait each day. Recent data suggest that traffic has dropped to only a handful of ships. Given that close to one-fifth of the world's oil and LNG supply passes through this single chokepoint, the impact on global markets has been severe. The Strait remained closed at the time of publication.

On 22 April, President Trump said the United States had indefinitely extended the ceasefire, maintaining its naval blockade of Iranian port traffic until Iran agrees to US terms and submits a new proposal. The ceasefire, initially agreed for two weeks from 7–8 April, has come under increasing strain as military blockades persist. While large-scale air and missile strikes have paused, both sides continue to accuse each other of violating the spirit of the ceasefire.

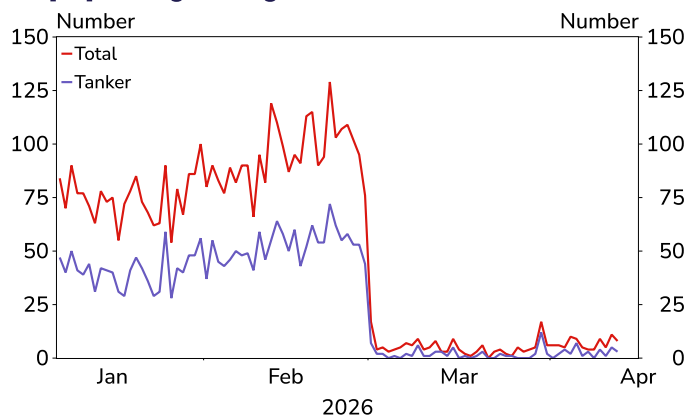
Despite US reassurances and the formal ceasefire, insurance coverage for transit through the Strait of Hormuz remains difficult to obtain, and major shipping companies remain reluctant to resume normal passage. A 10-day Israel–Lebanon ceasefire began on 16 April, easing fighting in southern Lebanon, but this has not resolved broader US–Iran conflict dynamics or maritime tensions. The US naval blockade of Iranian ports remains in place.

After Iran briefly stated that the Strait of Hormuz was fully open to commercial vessels, restrictions were re-imposed over the weekend of 18–19 April, with Tehran citing continued US violations of the ceasefire through its blockade of Iranian ports. Iran has stated that access through the Strait will remain constrained until the blockade is lifted. The US maintains that it is blockading Iranian port traffic rather than the Strait itself, but overlapping instructions and operational uncertainty have sharply reduced transit volumes.

US–Iran talks remain ongoing but inconclusive, with Pakistan acting as the main intermediary after earlier negotiations in Islamabad failed to secure a longer-term ceasefire. Reportedly, progress has stalled over three key issues: Iran's uranium enrichment and stockpiles, the US naval blockade, and rules governing Hormuz shipping access and coordination.

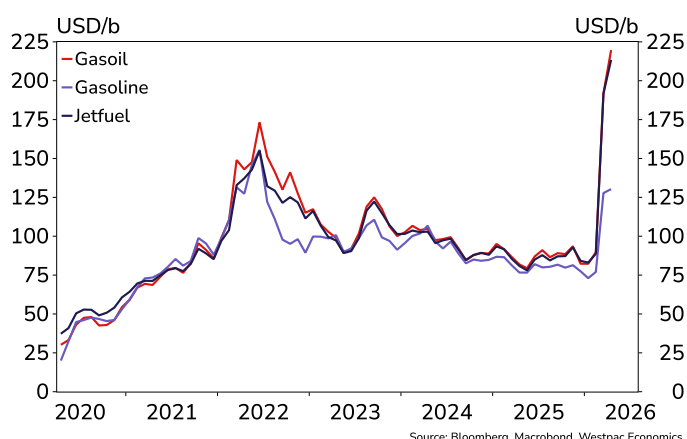
Oil prices remain extremely volatile, falling sharply following ceasefire announcements and rebounding after renewed Hormuz closures. Physical markets remain tight due to tanker congestion, re-routing, and insurance constraints. Since the onset of the conflict, tanker freight costs have surged, with Baltic Exchange dirty and clean tanker indices rising sharply. On average, global refined product prices have increased sharply, with Singapore gasoline up 169%, gasoil up 244%, and jet fuel also up 244% from pre-conflict levels.

Ships passing through Strait of Hormuz



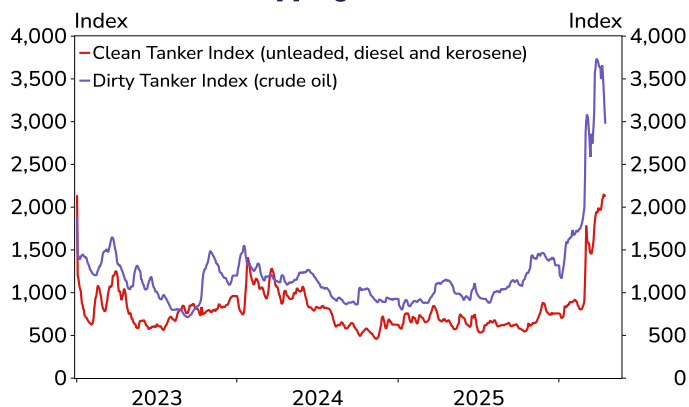
Source: IMF, Macrobond, Westpac Economics

Global Refined Fuel Price



Source: Bloomberg, Macrobond, Westpac Economics

Oil & fuel tankers shipping cost



Source: Baltic Exchange, Macrobond, Westpac Economics

... keeping Fiji's economy at risk

Fiji's economy faces significant downside risks from the ongoing Middle East conflict, leading to higher fuel prices, transport and shipping costs plus a higher import bill. Any potential disruptions to fuel supply could meaningfully hamper domestic economic activity, which is already facing significant strain from higher prices. The tourism sector faces elevated risks from higher jet fuel prices and, in a more severe scenario, the unavailability of jet fuel that could ground long-haul flights. High fuel prices, and their second-round effects transmitted through other channels, are expected to add materially to intermediate costs across all economic sectors.

[Westpac's baseline assumption](#) is that the Strait of Hormuz will be effectively closed for around 8 weeks, through to late April, followed by a slow and incomplete reopening. Full normalisation is not expected until late-2026 to mid-2027. The two-week ceasefire announced on 7 April reduced the risk of escalation, but did not materially alter near-term oil or shipping flows. Tanker traffic remains severely constrained, and Iranian exports (around 1.6 mb/d) remain largely offline. Even under a relatively optimistic ceasefire scenario, initial reopening would lift shipping capacity to only around 20–30% of pre-conflict levels, with both production and shipping recovering only gradually.

Brent oil is expected to average around US\$105 per barrel in Q2 2026, easing to approximately US\$75 per barrel by end-2026. However, physical oil and refined product prices are expected to remain elevated for longer due to logistics, insurance, and refinery constraints. Even if the conflict were to end in April under an optimistic scenario, the recovery is expected to be slow.

After factoring in these risks, we have downgraded Fiji's growth forecast for 2026 to 2.0%, from our pre-conflict outlook of 3.3%. Growth is expected to rebound to 3.2% in 2027. Higher input costs are expected to erode value-addition across key sectors, resulting in a broadly flatter growth profile for industries heavily reliant on fuel and transport inputs. We expect visitor arrivals to be flat this year, despite a very strong Q1 outcome, reflecting downside risks from higher fuel prices and the likelihood of jet fuel supply disruptions

affecting flights. The primary sector, especially agriculture is at risk from higher fuel and fertiliser prices. Government spending is expected to provide some support in 2026. We expect cost-of-living support measures to be announced in the upcoming June Budget ahead of the General Election later this year.

Further, these domestic risks are compounded by the threat of a broader slowdown, or recession, across Fiji's major trading and tourism markets, particularly Australia, New Zealand, and the US. Higher inflation and weaker growth in these economies could constrain their household budgets, reducing outbound travel and dampening tourist arrivals to Fiji.

Westpac Economics, in its latest [April Market Outlook](#), expects the Middle East conflict to remain a major global shock in 2026 with Australia expected to experience a slight slowdown, with GDP growth averaging around 1.8% in 2026, trimmed-mean inflation peaking near 4%, and unemployment rising towards 5%. The Reserve Bank of Australia is expected to deliver three further 25bp rate hikes (in May, June, and August) to contain second-round inflation pressures.

New Zealand is also entering a period of slower growth of 1.5% and elevated inflation, with higher oil prices acting as a negative terms-of-trade shock. In the US, growth had already slowed prior to the conflict. The Federal Reserve is expected to remain on hold, tolerating energy-driven headline inflation while closely monitoring labour-market risks.

Asia remains highly exposed given its reliance on energy and food imports. Inflation pressures are expected to keep policy settings tighter for longer, though outcomes remain uneven. China is relatively insulated, with Q1 2026 growth at 5.0%y/y and longer-term support from rising global demand for green technologies.

Overall, there is an upside risk to our growth outlook if the tourism sector sees minimal impact from the conflict, beating our underlying assumption. However, this would depend on flights continuing to operate as normal and the national airline being able to absorb higher operating costs through efficiency gains, without any disruptions.

Medium-term economic growth forecast

Sectors	2020	2021	2022	2023	2024	2025	2026	2027	2028
Primary	-3.8%	9.1%	3.0%	3.8%	4.4%	4.0%	2.4%	4.6%	3.8%
Industry	-15.3%	-8.8%	10.2%	0.3%	2.4%	1.1%	0.2%	1.6%	1.0%
Service	-20.9%	-6.9%	25.1%	13.5%	3.6%	3.3%	2.3%	3.2%	3.0%
Net taxes	-17.2%	-4.3%	17.7%	9.4%	3.5%	3.1%	2.0%	3.2%	2.9%
Real GDP	-17.2%	-4.3%	17.7%	9.4%	3.5%	3.1%	2.0%	3.2%	2.9%

Source: Westpac Pacific Economics

Fuel prices will rise further

Fuel prices rose sharply nationwide from 1 April, with motor spirit increasing to \$2.93 per litre (from \$2.44), diesel to \$2.89 per litre (from \$2.14), and kerosene to \$2.40 per litre (from \$1.69). These increases were broadly in line with our expectations. As expected, gas prices saw no major change due to their contractual pricing arrangements. However, rising shipping costs could place upward pressure on LPG prices in the near-term.

So far, the full impact of global energy price increases has not yet been fully felt domestically in Fiji, largely due to fuel price controls.

Fuel prices are expected to rise further in May, with additional adjustments likely to be announced by the FCCC in the coming days, adding to the price increases experienced in April. Our fuel price forecasts are presented in the table below.

Fuel prices are expected to exceed levels experienced during the Russia–Ukraine war in upcoming months, reflecting much wider refinery margins, damage to oil and gas infrastructure in the Middle East, and the prolonged closure of a major global chokepoint.

Even before the March price adjustments took effect, there were early signs of panic buying and fuel hoarding locally, placing additional pressure on logistics and supply chains.

Higher fuel prices are expected to feed through into input costs across all sectors. Given Fiji's heavy reliance on imports and shipping for food supply, higher fuel and insurance costs have raised shipping costs, placing upward pressure on the prices of food and other essentials.

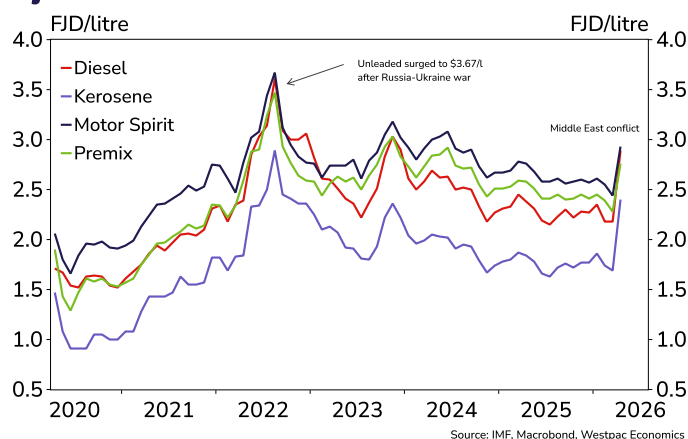
Headline inflation is expected to peak at around 6.4% by September 2026, averaging 3.4% for the year, with upside risks should the conflict extend beyond April under our baseline scenario and the Strait of Hormuz remain closed.

The Fiji Government imposes a 46c per litre fiscal duty on motor spirit and around 20c per litre on diesel, together with 12.5% VAT. FCCC accommodates a retail margin of 10c per litre on motor spirit and 9.5c on diesel. The Fiji Government's fiscal space to respond to incoming inflationary pressures is extremely limited. While reducing fiscal duties could be

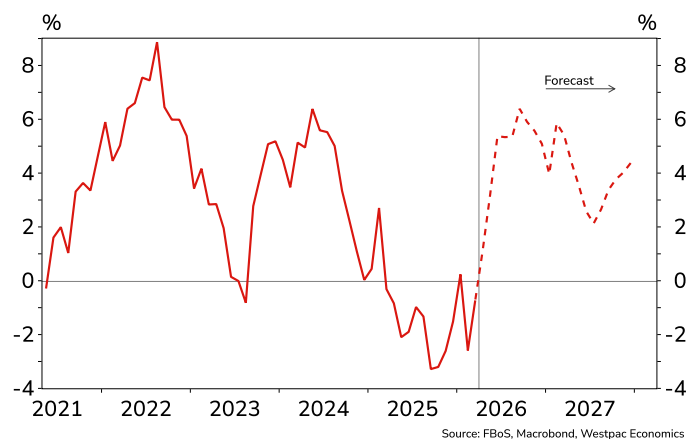
considered, this would not be best practice.

As with the VAT cut in the last budget, fuel duty reductions are unlikely to be fully passed through to consumers. Targeted income support for vulnerable households would be a more effective option.

Fiji Domestic Fuel Price



Headline inflation forecast



Westpac Pacific Fuel Price Forecast

Date	Motor Spirit (\$/L)	Premix (\$/L)	Diesel (\$/L)	Kerosene (\$/L)
April-26 (Current Price)	2.93	2.76	2.89	2.40
May-26	3.33 [3.10-3.56]	3.10 [2.89-3.32]	3.55 [3.29-3.81]	3.03 [2.80-3.27]
June-26	3.36 [3.13-3.60]	3.04 [2.82-3.25]	3.68 [3.41-3.94]	3.16 [2.92-3.39]

Note: 95% confident that prices will fall within the stated confidence range in [...]. There is 5% margin for error in this forecast given uncertainties around the assumptions and daily developments regarding the conflict. These are price forecasts, see disclaimer.

Source: Westpac Pacific Economics

Fiji's fuel supply remains unaffected

Global oil market

[The Energy Information Administration \(EIA\), in its April report](#), estimates that around 7.5 mb/d of crude oil production was shut in during March, rising to about 9.1 mb/d in April, largely across Iraq, Saudi Arabia, Kuwait, the UAE, Qatar and Bahrain. These shut-ins have forced consuming regions to draw down inventories rapidly.

Global observed oil inventories fell by 85 mb in March. Outside the Middle East Gulf, stocks declined by 205 mb, while oil on water fell sharply by 107 mb. Meanwhile, inventories have been building in the Middle East, with around 100 mb added to floating storage and about 20 mb added to onshore crude stocks. China added 40 mb of crude in March, acting as a partial buffer for the global system, with some of these barrels supplying Singapore refineries. The EIA has downgraded its near-term global oil demand outlook. Even after the conflict ends, demand destruction from sustained high prices and the continued structural shift away from oil are expected to remain a constraint on the global oil market over the long-term.

Robert Rennie, Westpac's Head of Commodities and Carbon Strategy, notes in a recent [Energy Market Report](#) that the market is materially under-pricing the physical impact of the US–Iran conflict. He estimates that around 12 mb/d of crude and refined product exports have been disrupted, implying roughly over 550 million barrels removed from global supply.

Fiji's fuel supply

At present, fuel shipments are en route to Fiji, with the Shan Gang Fa Xian vessel (45,841 DWT) arriving on 2 May. The Morning Glory tanker vessel (50,322 DWT) arrived on 21 April. Importantly, deliveries scheduled for both April and May remain secured, and no disruptions to fuel shipments to Fiji have been observed to date.

On 19 April, Singapore's Foreign Minister also assured Fiji that Singapore will not impose restrictions on fuel exports and will continue to ensure the free flow of energy supplies through diversification, resilience and open international trade routes.

In March, Fiji imported approximately 85,861 tonnes of fuel, of which about 11,585 tonnes were re-exported to other Pacific Island countries. This left roughly 74,276 tonnes available for domestic use, adding an estimated 26 days of fuel cover to national reserves. According to IMF port data, Fiji imported 56,085 tonnes of fuel as of 17 April, while re-exported 19,410 tonnes of fuel, resulting in a net import of 36,675 tonnes. Comparatively, Fiji imported over 100,000 metric tonnes of fuel in April last year. In 2025, Fiji imported about 1.3 million tonnes of fuel, with around 170,000 tonnes re-exported to neighbouring Pacific economies.

The domestic fuel market is supplied by Mobil, Pacific Energy and TotalEnergies Fiji, with bulk storage terminals located at Walu Bay in Suva and Vuda Point in Lautoka. Dedicated

LPG facilities are located in Lami and Malau. Nationwide fuel storage capacity exceeds 100 million litres, while average daily fuel consumption is close to 2.5 million litres, placing Fiji's standalone fuel cover at roughly 40 days under normal operating conditions. When scheduled deliveries are incorporated, effective fuel cover typically extends to two to three months.

Fiji imports 100% of its refined fuels, including petrol, diesel, Jet A-1 and kerosene, predominantly from Singapore, while LPG is sourced from Australia under longer-term supply arrangements.

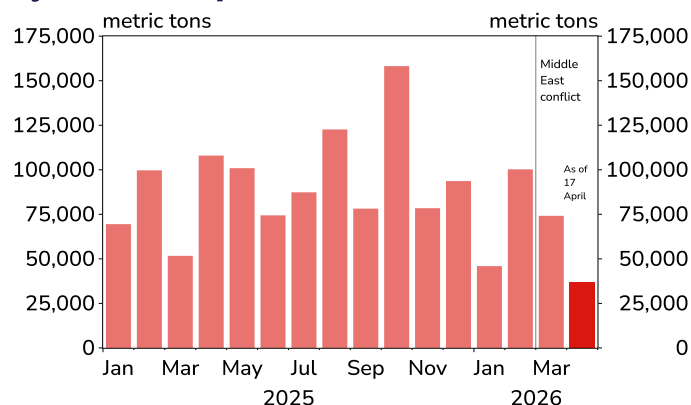
Why is the diesel price so high?

Historically, the price of diesel has been below that of unleaded petrol. However, this trend is now changing. The key reason lies in tightness within refined fuel markets, particularly for diesel and jet fuel. The EIA highlights that refining systems are globally less flexible than crude supply, and refinery operations have been disrupted by both crude availability constraints and direct infrastructure risks.

Diesel is also a globally traded fuel, critical for shipping, trucking and industrial activity worldwide. Diesel powers freight transport, heavy machinery, power generators and military vehicles. Even in war-driven price spikes, trucks must continue hauling goods, ships must keep sailing, and backup generators must remain operational. Refineries cannot instantly shift production to increase diesel output. Diesel is derived from specific crude fractions, which are particularly exposed during geopolitical disruptions. This is why diesel prices have gone up quickly.

Elevated diesel prices have significant implications for electricity generation in Fiji, where Energy Fiji Limited (EFL) continues to rely on thermal generation to meet around half of total electricity demand.

Fiji's net fuel import



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Tourism is still the X-factor

We expect visitor arrivals to remain broadly flat in 2026, despite a strong start to the year. Visitor arrivals in Q1 2026 increased by 7.0%/y, supported by robust outcomes across all three months. Arrivals totalled 70,993 in January, dipped seasonally to 54,219 in February, before rebounding sharply to a record 71,765 in March. This lifted total Q1 arrivals to 196,977 visitors, compared to 184,119 in 2025.

Monthly growth strengthened through the quarter, rising from 0.3%/y in January to 9.6% in February and 12.4% in March. March recorded the highest visitor arrivals ever for the month, suggesting demand regained momentum following the seasonal slowdown in February.

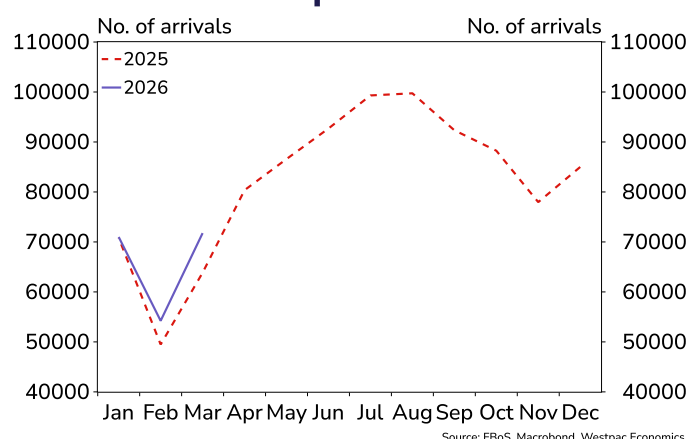
While tourism sector momentum was strong in early 2026, the outlook for the remainder of the year is becoming more challenging. Elevated jet fuel prices, coupled with risks of fuel supply disruptions linked to the ongoing Middle East conflict, present significant headwinds for airline operations and the wider tourism sector.

These pressures have already begun to affect flight capacity. Fiji Airways has announced the temporary suspension of four services across two international routes, including selected services on the Nadi–Brisbane route from late April and Tuesday services on the Dallas–Nadi route between May and mid-June. With fuel remaining its single largest cost, the airline is preparing for a prolonged period of elevated operating expenses. Management has signalled a cautious approach, focusing on efficiency gains, route optimisation, and prioritising core Australia and New Zealand markets, while seeking to limit fare increases where possible. The national airline is expected to face higher operating costs, which will weigh on its margins. The national airline may pursue further route consolidation if access to jet fuel at offshore airports becomes constrained, as countries increasingly prioritise domestic supply.

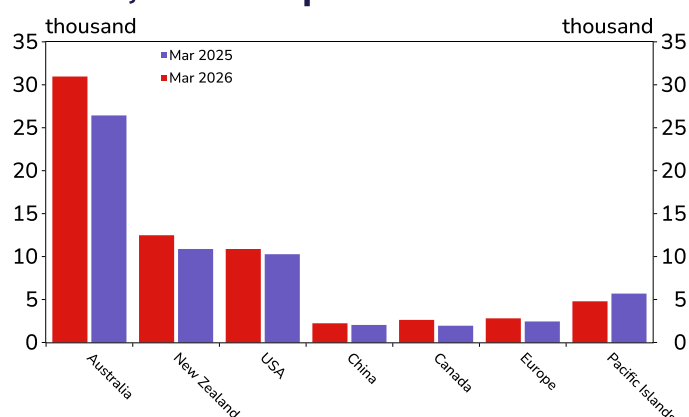
Australia remained Fiji's largest source market in Q1 2026, with arrivals totalling 86,445 visitors, up 8.5%/y, although its share of arrivals softened in February before recovering in March. New Zealand arrivals rose 5.1%/y to 33,506 visitors, providing steady support across the quarter. Arrivals from the US continued to perform strongly, increasing 5.2%/y to 26,189 visitors, with the US share of arrivals rising steadily through the quarter. Visitor arrivals from China spiked in February before easing in March, pointing to early signs of a gradual recovery from Asian markets, albeit still below pre-pandemic levels. Overall, Fiji's major source markets continued to account for around 82–90% of total arrivals.

Working-age travellers remained the dominant visitor cohort, with 65.2% aged 25–64, while holiday travel continued to account for around 75–80% of arrivals each month. Under our baseline scenario, these factors point to flat visitor arrivals for 2026, with upside risk should fuel prices ease and operational disruptions prove limited.

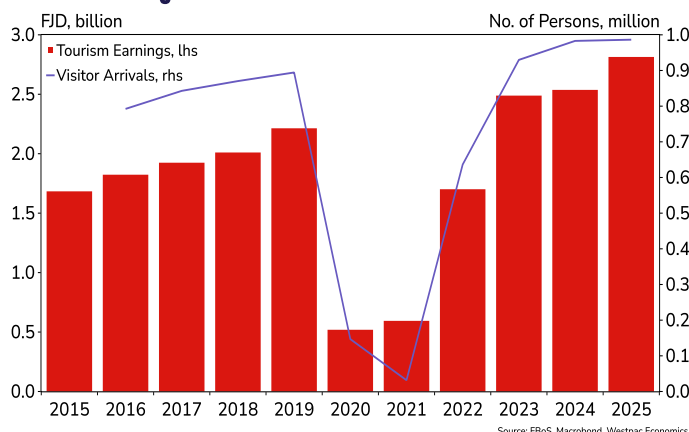
March visitor arrivals up 12.4%



Australia, NZ and US top markets



Tourism Earnings



Fiji dollar risks contained

Westpac Economics, in the latest [April Market Outlook](#), expects the US dollar to weaken structurally over the medium term as its safe-haven appeal fades, despite ongoing Middle East risks. USD gains have remained capped during the conflict, with markets increasingly willing to look through geopolitical shocks amid expectations of a gradual reopening of the Strait of Hormuz and improving global growth prospects outside the US. The DXY index is expected to fall from around 98 to 96.8 by end-2026 and to 94.0 by end-2027.

The Australian dollar is expected to outperform, supported by Australia's relatively tighter policy stance. The RBA is set to deliver three additional rate hikes, lifting AUD back to multi-year highs. AUD strength is described as being rate-driven, assisted by a positive terms of trade shock, rather than purely risk-on sentiment, with AUD/USD forecast to trade around 0.73–0.74 through 2027.

The New Zealand dollar is also projected to recover gradually as the USD weakens, though energy-related income shocks and slightly later RBNZ tightening cash rate. NZD/USD is forecast to rise toward 0.62 by end-2026 and 0.67 by end-2027.

The Euro is identified as a key beneficiary of USD depreciation as the ECB shifts from expected cuts to rate hikes in response to higher energy-driven inflation. Westpac projects EUR/USD to rise toward 1.20–1.22 by 2027.

The Japanese yen, starting from very weak levels, is forecast to strengthen materially as Japanese policy normalises and global risk conditions stabilise, with USD/JPY falling toward the low-140s by 2028.

As such, under Fiji's basket-peg exchange rate regime, the RBF target stability in the trade-weighted FJD. The projected path implies the FJD strengthens against the USD, remains broadly

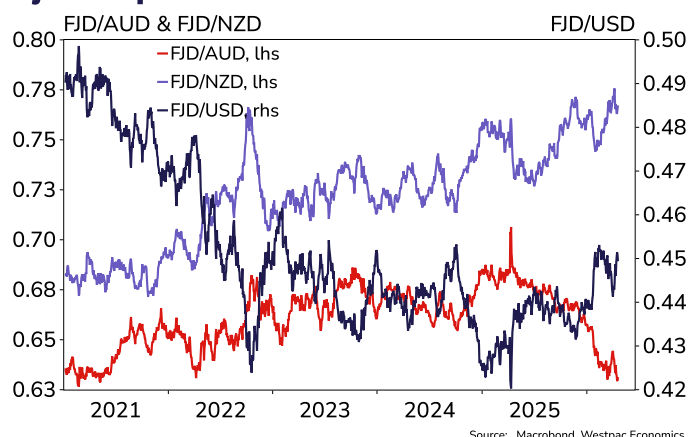
stable versus the AUD, and weakens modestly against the EUR, JPY and NZD over time.

This aligns with our expectation that the US dollar increasingly lacks support, even amid Middle East tensions. A firmer Fiji dollar against the US dollar could help contain imported inflation pressures, particularly for USD-invoiced imports such as fuel and freight-intensive goods. This means Fiji exports to the United States, especially mineral water could become slightly more expensive for US consumers.

From a tourism competitiveness perspective, the largely stable FJD/AUD relationship implies Fiji's price competitiveness for Australian visitors remains broadly unchanged. However, a weaker FJD against the NZD suggests Fiji becomes marginally more affordable for New Zealand visitors.

FJD weakness against the Japanese yen raises the local currency cost of Japan-sourced goods and services, like Japanese vehicles.

Fiji dollar performance



Exchange rate forecast

Majors	Latest	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
FJD/USD	0.4409	0.45	0.46	0.46	0.46	0.47	0.47	0.47	0.47	0.47
FJD/AUD	0.6298	0.63	0.60	0.63	0.63	0.63	0.63	0.63	0.64	0.64
FJD/EUR	0.3838	0.38	0.39	0.39	0.39	0.39	0.38	0.38	0.38	0.38
FJD/JPY	71.85	71	72	71	70	70	69	69	67	66
FJD/NZD	0.7642	0.76	0.76	0.74	0.72	0.71	0.70	0.70	0.70	0.70
AUD/USD	0.7153	0.72	0.77	0.73	0.73	0.74	0.74	0.74	0.73	0.73
EUR/USD	1.1740	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
USD/JPY	159.41	158.0	156.0	154.0	152.0	150.0	148.0	146.0	144.0	142.0
NZD/USD	0.5893	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67

Source: Bloomberg, Westpac Economics Market Outlook, Westpac Pacific Economics

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Energy investment is critical for Fiji's future

There was considerable discussion around the Fijian Competition and Consumer Commission's (FCCC) proposed electricity tariff changes in late December 2025. The announcement attracted country-wide criticism from households and businesses concerned about the potential economic impact, prompting a 21-day public consultation period in January.

Now that the initial reaction has eased, it is timely to revisit this issue. This discussion has become even more relevant in the context of the ongoing Middle East conflict, which has once again exposed Fiji's vulnerability to global energy price shocks and supply disruptions. The Minister for Finance, Esrom Immanuel had indicated that the final increase in electricity tariffs is expected to be lower than the initially proposed 24.2%, following public consultation feedback. Even so, tariff rates are still expected to rise.

Revisiting the proposed changes, under the FCCC's 2025 tariff determination Fiji was set to transition from a single flat tariff to an inclining block (tiered) structure for domestic customers, although this has since been put on hold.

More than half of residential customers were to fall within the 0–100 unit band and would therefore see no change in their electricity bills. For commercial customers, the FCCC approved a move from a flat tariff to a stepped inclining block structure, with rates ranging from around 43c to 63c per unit and an average increase of 24.2%. As with households, higher consumption attracts higher marginal tariffs. Notably, electricity tariffs were last revised in October 2019.

This note outlines why an eventual increase in electricity tariffs remains justified and important for Fiji's future, despite short-term inflationary pressures, especially in a world where geopolitical risks are once again driving fuel price volatility.

The global AI revolution is driving large-scale investment into energy supply, grid systems and supporting infrastructure to meet electricity-intensive digital demand. In larger economies, deep capital markets and competitive pricing frameworks support this transition.

Fiji, however, faces different realities. Electricity supply in Fiji is a natural monopoly. Generation and grid systems require large, long-lived upfront investments that cannot be efficiently duplicated in a small market. When tariffs are held below the cost of reliable supply, investment is delayed, outage risks rise, and the system becomes increasingly reliant on ad-hoc public support, an approach that becomes more problematic when fiscal pressures are rising due to higher global fuel and import costs linked to conflicts such as those in the Middle East.

For Fiji to position itself as a regional trade and digital connectivity hub, sustained investment in energy infrastructure is essential. Electricity demand has already risen

to the point where additional diesel generators are required during peak periods, exposing Fiji directly to global fuel price movements. At the same time, Google has begun constructing a major ICT facility in Natadola, including a new subsea cable landing station. This strengthens Fiji's role in regional digital connectivity but also raises the importance of a reliable, expandable and modernised power system. Fiji still relies heavily on fossil-fuel generation, and meeting rising demand sustainably will require an accelerated shift toward renewable energy.

Stronger grid investment and renewable energy development are also critical for Fiji's core economic sectors. Tourism, which accounts for nearly 70% of services activity, depends on stable electricity for hotels, airports and transport systems. Agriculture (13.5% of GDP) relies on electricity for irrigation, cooling, milling and packaging, while manufacturing (17.4% of GDP) depends on reliable power to remain competitive. In an environment of global energy uncertainty, a weak grid would amplify economic shocks rather than absorb them.

Energy Fiji Limited (EFL) has outlined more than FJ\$1.7 billion in planned investment over the next decade, aligned with Fiji's target of achieving 100% renewable electricity by 2035. EFL has reported electricity demand growth of around 9% in 2024 and expects annual demand growth of about 5%. At current tariff levels, EFL has indicated it would be unable to adequately fund new generation capacity, transmission upgrades and system-wide resilience, increasing the risk of future power disruptions.

Financing these investments cannot rely on syndicated banking alone. Small Island Developing States face high capital costs, limited economies of scale and long payback periods, making energy projects less attractive to private financiers, particularly when tariffs are tightly constrained. EFL has stated that tariff revenue is the only stable and predictable cash flow available to service debt and unlock long-term financing.

While higher electricity tariffs will have a measurable short-term impact on inflation, the effect is likely to be smaller than feared and should ease over time. The longer-term benefits including reduced diesel imports, lower exposure to global energy price shocks, and stronger energy security are especially valuable during periods of geopolitical instability. Higher tariffs may also encourage greater uptake of rooftop solar, strengthening energy independence further.

The experience of the Water Authority of Fiji offers a cautionary lesson. Persistently low tariffs, chronic under-investment and reliance on public support have led to frequent service disruptions. Fiji cannot afford to repeat this mistake in the energy sector.

Fiji Government yields

Month	3 mths	6 mths	12 mths	10 yrs	15 yrs	20 yrs
Mar-26	0.20	0.45	1.12	3.90	4.15	5.75
Feb-26	0.20	0.45	1.12	3.90	4.15	5.75
Jan-26	0.20	0.45	1.12	3.90	4.15	5.75
Dec-25	0.20	0.45	1.12	3.90	4.15	5.75
Nov-25	0.20	0.45	1.12	3.90	4.15	5.75
Oct-25	0.20	0.45	1.13	3.90	4.15	5.46
Sep-25	0.20	0.45	1.13	3.90	4.15	5.50
Aug-25	0.20	0.45	1.15	3.90	4.15	5.50
Jul-25	0.20	0.45	1.19	3.90	4.15	5.00
Jun-25	0.20	0.45	1.19	3.90	4.15	5.00

Source: Westpac Pacific

Interest rate forecast

Economies	Latest	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Australia										
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.31	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
10 Year Bond	4.68	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10

Source: Westpac Economics Market Outlook

Economic growth forecasts (year average)

Country	2021	2022	2023	2024	2025	2026	2027	2028
World	6.7	3.8	3.3	3.4	3.4	3.1	3.2	3.3
United States	6.2	2.5	2.9	2.8	2.1	1.5	1.6	1.8
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Japan	3.6	1.3	0.7	-0.2	1.2	0.6	0.8	0.9
India	9.7	7.6	7.2	7.1	7.6	6.5	6.7	6.6
Europe	6.4	3.7	0.5	0.9	1.5	0.8	1.3	1.6
Australia	5.4	4.2	2.1	1.0	2.0	1.8	1.2	2.4
New Zealand	5.5	2.6	2.2	-0.3	0.2	1.5	3.5	3.3

Source: Westpac Economics Market Outlook

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The US dollar increasingly lacks support

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By [Elliot Clarke](#)

Head of International Economics, Westpac

11:10 April 21 2026

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Key themes for the US dollar and global FX markets.



Last month we highlighted that US dollar gains in the lead-up to March Market Outlook had been narrow and capped around 100 for the DXY index. Since then, despite a material escalation in the Middle East conflict, the ceasefire being threatened by a complete breakdown of the first round of in-person negotiations between the US and Iran, and the US subsequently blockading Iranian ports, the

US dollar has continued to struggle for upward momentum. On rumours of a resumption of negotiations, the past few days have seen it edge lower against numerous currencies across developed and developing markets.

In our view, there is a degree of hope in current market pricing. That said, typically the market impact of a crisis such as this begins to unwind long before a formal peace agreement is disclosed. And, in this particular instance, the short-term workarounds for supply and the intent shown by world leaders excluding the US to restore shipping capacity are also helping alleviate anxiety.

While certainly not a panacea for the conflict's ill effects, if we are right in expecting a slow-but-steady resumption of shipping through the Strait of Hormuz in coming weeks, which continues to year end, then the US dollar is likely to weaken further, to the benefit of currencies most affected by the crisis – Euro and Sterling being developed world examples – and of nations set to benefit from improving global growth opportunities – China being the obvious example, particularly given their market share for equipment related to renewable energy and the green transition more broadly.

Our base case to June 2028 is largely unchanged from last month for the US dollar, the DXY index projected to fall from 98.1 today to 96.8 at end-2026, then 94.0 come end-2027, where it is forecast to settle. Gains for Euro and Sterling are key contributors, respectively rising from USD1.18 and USD1.35 at present up to USD1.22 and USD1.41 by end-2027.

Starting from such weak levels, the anticipated gains for Japan's Yen and Canada's dollar are also powerful supports for the US dollar downtrend. We expect USD/JPY to fall from JPY159 currently to JPY142 by mid-2028, as USD/CAD declines from CAD1.36 to CAD1.30.

If second-round inflation risks can be managed effectively without a material hit to economic growth or the labour market, further out, these currencies could experience sustained opportunities to outperform our base expectation.

It is not just core developed world currencies that are set to benefit from this turn, however. China's Renminbi has been remarkably resilient during the crisis, only edging up from around CNY6.85 at end-February to a high of CNY6.91 during March, then steadily moving lower to CNY6.82. This makes sense given China's strategic energy reserves and access to Russian and Iranian oil, among other relationships. But, once the scale and depth of China's manufacturing base across green technologies is taken into consideration, and the acute need for these goods recognised by the world ex-US, this appreciation seems likely to only be the start. To mid-2028, we therefore look for USD/CNY to fall to CNY6.35, and suspect the risks are skewed in one direction – in the Renminbi's favour.

While China's Renminbi is likely to outperform many other US dollar bilaterals over the period, seeing a rise in the currency on a trade-weighted basis, this appreciation is unlikely to upset the nation's competitive advantage. The rest of Asia in particular are likely to use the technology and know-how imported from China to improve their own capacity and lower production costs, aiding their economic performance and attractiveness to foreign capital. Each of the currencies of the region have their own starting points – Singapore's dollar is strong, Indonesia's Rupiah weak as examples – and domestic narratives to play out. But, over the course of two years, all are likely to gain against the US dollar and,

to a lesser extent, other cornerstone currencies of the global system, such as Euro and Sterling.

While the uncertainty created by the Middle East conflict leaves us unsure as to when, we increasingly believe that historic safe-havens could find themselves under growing pressure over the forecast period as investors and businesses recognise the scale and breadth of developing market opportunities. These are broad across both manufacturing and service industries – along with core and technological infrastructure – and have very long runways ahead.

For the US dollar in particular, we see a heightened susceptibility, with this global outturn to follow an extended period of US' outperformance and as US geopolitical and fiscal decision making is debated at length across the globe.

Our current baseline forecast takes the US dollar DXY index near its 20-year average of 90.6, and so we will wait to see how developments break over coming weeks before considering the scale of further downward pressure the US dollar may face. For now we merely highlight that the average of the past 20 years muddies two eras, early-2015 to now when the DXY oscillated around today's level, and mid-2006 to mid-2014 when it instead averaged 80.2, 18% below spot. Coming years may well see a very different FX environment to that experienced post-pandemic.

This analysis was initially released in the April edition of [Westpac Market Outlook](#).

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The FOMC favours a steady hand

#fomc

#usd

#us



By [Elliot Clarke](#)

Head of International Economics, Westpac

08:24 April 30 2026

Share

The FOMC kept the stance of policy and their outlook unchanged in April as expected, at Powell's last meeting as FOMC Chair.



As expected, the FOMC kept the stance of policy unchanged at its April meeting and, broadly speaking, portrayed a balanced baseline and risk outlook. This is despite not explicitly stating a hike is as likely as a cut – language the dissenters Hammack, Kashkari, and Logan arguably would have

preferred. This outcome is consistent with our and the market's expectations as well as the degree of uncertainty evident in financial markets – the price of Brent crude rising circa 7% today to USD120 per barrel while US equities held near record highs.

The Committee's take on economic activity was sanguine, with GDP characterised as "expanding at a solid pace" and the unemployment rate "little changed in recent months" even as job gains "remained low". Members' views on the price outlook showed caution but not overt concern, with inflation simply characterised as "elevated". "The Committee is [also] attentive to the risks to both sides of its dual mandate", and Chair Powell noted in the press conference that, in his view, policy is in a good place to take time to monitor conditions, being at the "high end of neutral", "perhaps mildly restrictive".

We have been more concerned than the FOMC over domestic inflation stemming from capacity constraints and, in such an economic state, believe outsized and/or persistent second-round effects of energy and tariff inflation are meaningful risks. Still, with growth below trend in Q4 2025 and Q1 2026, and likely through mid-2027, there is no urgency to take a hawkish stance, let alone hike. Per Chair Powell's remarks and current market pricing, the best course is to hold and continue assessing current conditions and uncertainties.

Like all other major central banks, the road ahead for the Federal Reserve is challenging. The domestic and international risks the economy and Committee face are disparate and could persist for some time. The FOMC will also have to navigate considerable US fiscal uncertainty over the year(s) ahead. A continued uptrend in the US 10-year yield, and consequently the 30-year mortgage rate, will limit the breadth of growth across the economy and weigh on household and financial market confidence. In time, it will also restrict the Government's capacity to act against a meaningful deterioration in economic momentum as the interest burden grows. As such, we cannot discount policy rate cuts entirely, though they are more likely to be a topic of conversation in 2027 or 2028 than 2026.

Finally, with Kevin Warsh's nomination for FOMC Chair advancing from the Committee stage to a full vote in the Senate, it is important to recognise this meeting was Powell's last meeting as Chair. In the press conference though, Powell made clear he still intends to stay on as a Federal Reserve Governor, and consequently a member of the FOMC, until the investigations into the Federal Reserve are "well and truly over with finality and transparency". The Department of Justice dropping their criminal investigation into the organisation and Chair Powell are a decisive step in that direction, but the Supreme Court decision in Lisa Cook's case is still to come, and the Federal Reserve's own investigation into construction costs has to be completed to rule out the Department of Justice re-opening its investigation. Powell remaining in place as a Governor over the period will provide continuity while these uncertainties are resolved.

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First impressions: NZ Consumer Price Inflation, March quarter 2026

#inflation

#newzealand



By Satish Ranchhod

Senior Economist, Westpac NZ

08:45 April 21 2026

 Share

NZ consumer prices were up 0.9% in Q1, with annual inflation unchanged at 3.1% The result was stronger than expected with firm underlying inflation.



Consumers Price Index, March quarter 2026

Headline inflation

Quarterly change: +0.9% (prev: +0.6%)

Westpac forecast: +0.7%

Market median: +0.8%, range +0.7% to. +1.1%

Annual change: +3.1% (prev: +3.1%)

Westpac forecast: +2.8%, RBNZ: +3.0%, Market: +2.9%

Non-tradables

Quarterly change: +1.1% (prev: +0.6%)

Westpac forecast: +0.8%

Annual change: +3.5% (prev: +3.5%)

Tradables

Quarterly change: +0.7% (prev: +0.7%)

Westpac forecast: +0.2%

Annual change: +2.5% (prev: +2.6%)

Consumer prices rose 0.9% in the March quarter. That saw the annual inflation rate remaining unchanged at 3.1%.

The March quarter inflation result was above the 0.7% rise we were expecting, with surprises spread across tradable and non-tradable categories.

The result was also above the RBNZ's updated forecast from their April policy update for 3% annual inflation.

Importantly, many measures of core inflation have continued to run at levels close to or above the top of the target band. For the RBNZ, that highlights the firm starting point for inflation even before the recent oil price shock.

What contributed to inflation in the March quarter?

Underpinning the March quarter rise in consumer prices were large increases in some specific areas.

- Food prices were up 1.5% over the quarter, underpinned by the usual seasonal increases in the price of fruit, as well as higher prices for confectionary (especially chocolates).
- Unsurprisingly, the other big category that has boosted inflation this quarter were transport costs. The sharp rise in oil prices over the past few weeks has left petrol prices up 3.5% over the quarter, with diesel prices up 11%. Notably, we also saw the early stages of spillovers from high fuel prices into other costs, with domestic airfares up 9% over the quarter.
- In addition to those factors, the March quarter also saw continued increases in electricity charges and the annual increase in the tobacco excise tax. There has also been a big rise in vehicle registration costs and health care costs (the latter related to the annual roll-over in the subscription subsidy).

On the downside, we saw a fall in overseas holiday accommodation costs (-4%) and international airfares (-7%). Both of those declines are seasonal, and in the case of international airfares, we are likely to see large increases over the coming months.

On the housing front, rents were flat over the quarter. That was the weakest result since 2001. It's particularly notable as the start of the year typically sees many rental agreements rolling over and larger increases in rents. This softness comes against a backdrop of low population growth and increases in housing supply, with particularly weak growth in areas like Wellington. We expect housing rental growth will remain muted for some time.

The March quarter also saw a modest 0.5% rise in the cost of a newly built home. Construction cost inflation has been muted for some time. However, there is growing pressure on materials costs, and that's likely to flow through to larger increases in building costs later in the year.

Annual and core inflation

The annual inflation rate was unchanged at 3.1% in the year to March.

Looking under the surface, prices in the domestically oriented non-tradables group rose 1.1% over the quarter (above expectations). That saw annual non-tradables inflation remaining unchanged at 3.5%.

Non-tradables inflation has been lingering above historic averages. In part, that's due to the continued large increases in administered prices, like electricity charges which rose 12.5% over the past year. However, prices in other areas have also been firm. Non-tradables excluding housing and utilities costs (which also omits rates) was 3.5% for the year (up from 3.4% at the end of last year). In seasonally adjusted terms, quarterly non-tradables inflation has been running at a rate 0.9% for most of the past year.

Tradables inflation was also hotter than expected in the March quarter (+0.7 qtr, +2.5% yr), with increases seen across a range of discretionary spending categories. That saw annual tradables inflation excluding food and fuel rising to 1.8% (up from 1.7% at the end of last year and the highest it's been since September 2023).

And over the coming quarters, tradable price inflation is set to accelerate sharply. As well as increase global fuel and transport charges, supply chain disruptions are already pushing up the prices for many imported goods.

While the past quarter did see large moves in a few specific areas like food and fuel prices, these aren't the only areas where we've seen firmness in inflation. Despite dropping back over the past year, key measures of core inflation remain in the upper part of the RBNZ's target band, and several have taken a step higher. (Note: core inflation measures smooth through the quarter-to-quarter swings in inflation and track the underlying trend in prices).

In terms of specifics:

- CPI ex-fuel inflation: +3.2% yr (vs +3.2% previously)
- CPI ex-fuel and food: +3.0% yr (vs +2.9% previously)
- 30% trimmed mean: +2.3%yr (vs +2.5% previously)
- Weighted median +1.6%yr (vs 1.7% previously)

That resilience in core inflation will be important for the RBNZ, highlighting the firm starting point for inflation even before the recent oil price shock

Outlook

This quarter's result was really just the curtain raiser. Both we and the RBNZ now expect inflation will rise to over 4% in the June quarter. We've recently updated our forecasts and had assumed annual inflation would peak at 4.3% in the June quarter, before dropping back to 3.9% by the end of this year. Today's result suggests upside risk to those forecasts

The middle part of the year will see the full brunt of the recent rise in oil prices, as well as related increases in transport and other costs. There will also be a big focus the various survey gauges of forward cost and pricing pressures over the next few months, which will be closely watch for signs of a more enduring lift in inflation.

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Economic Calendar

May 2026



MON	TUE	WED	THU	FRI
				1 AUSTRALIA PPI Q1 prev 0.8% (11:30am) NEW ZEALAND ANZ Consumer Confidence Apr prev 91.3 (8:00am) Building Permits Mar prev 2.7% (8:45am) JAPAN Tokyo CPI Apr y/y exp 1.7% prev 1.4% (9:30am) UNITED KINGDOM Nationwide House Prices Apr exp -0.3% prev 0.9% (4:00pm) UNITED STATES ISM Manufacturing Apr exp 53.1 prev 52.7 (12:00am) GLOBAL S&P Global Manufacturing PMI Apr (F)
4 AUSTRALIA MI Inflation Apr y/y prev 4.3% (11:00am) ANZ-Indeed Job Ads Apr prev -3.1% (11:30am) Dwelling Approvals Mar exp -5.0% prev 29.7% (11:30am) EURO ZONE S&P Global Manufacturing PMI Apr (F) prev 47.4 (6:00pm) Sentix Investor Confidence May prev -19.2 (6:30pm) UNITED STATES Factory Orders Mar exp -0.1% prev 0.0% (12:00am) Durable Goods Orders Mar (F) (12:00am) Fedspeak - Williams (2:50am)	5 AUSTRALIA Household Spending Indicator Mar exp 2.0% prev 0.3% (1:30pm) RBA Policy Decision exp 4.35% prev 4.10% (2:30pm) UNITED STATES Trade Balance Mar exp -\$59.7bn prev -\$57.3bn (10:30pm) S&P Global Services PMI Apr (F) prev 51.3 (11:45pm) ISM Services Apr exp 53.9 prev 54.0 (12:00am) New Home Sales Mar prev -17.6% (12:00am) JOLTS Job Openings Mar exp 6700k prev 6882k (12:00am)	6 CHINA RatingDog Services PMI Apr prev 52.1 (11:45am) EURO ZONE S&P Global Services PMI Apr (F) prev 47.4 (6:00pm) PPI Mar y/y prev -3.0% (7:00pm) NEW ZEALAND Household Labour Force Survey Q1 (8:45am) Employment exp -0.1% prev 0.4% Unemployment Rate exp 5.4% prev 5.4% Priv. Wages Ord. Time exp 0.4% prev 0.5% UNITED KINGDOM S&P Global Services PMI Apr (F) prev 52.0 (6:30pm) UNITED STATES ADP Employment Change Apr prev 62k (10:15pm) Fedspeak - Musalem (11:30pm) Fedspeak - Goolsbee (3:00am)	7 AUSTRALIA Goods Trade Balance Mar exp \$3.9bn prev \$5.7bn (11:30am) CHINA Foreign Reserves Apr prev US\$3342.1bn EURO ZONE Ger. Factory Orders Mar (4:00pm) Retail Sales Mar prev -0.2% (7:00pm) UNITED STATES Construction Spending Mar prev -0.3% (12:00am) NY Fed 1-Yr Inflation Expectations Apr y/y prev 3.42% (1:00am) Fedspeak - Hammack (4:05am) Consumer Credit Mar exp \$12.5bn prev \$9.5bn (5:00am) Fedspeak - Williams (5:30am) GLOBAL ECB & BoE Conference - Various Speakers	8 CHINA Trade Balance Apr prev US\$51.13bn (Sat 9 May) Credit & M2 Data Apr (9-15 May) New Loans ytd prev CNY8600bn M2 Money Supply y/y prev 8.5% EURO ZONE Ger. Industrial Production Mar prev -0.3% (4:00pm) UNITED STATES Employment Report Apr (10:30pm) Nonfarm Payrolls Chg exp 63k prev 178k Unemployment Rate exp 4.3% prev 4.3% Avg Hourly Earnings exp 0.3% prev 0.2% UoM Consumer Sentiment May (P) exp 48.8 prev 49.8 (12:00am) Fedspeak - Goolsbee (9:30am Sat 9 May) GLOBAL ECB & BoE Conference - Various Speakers

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Economic Calendar



May 2026

MON	TUE	WED	THU	FRI
11 CHINA CPI Apr y/y prev 1.0% (11:30am) PPI Apr y/y prev 0.5% (11:30am) UNITED STATES Existing Home Sales Apr prev -3.6% (12:00am)	12 AUSTRALIA Westpac-MI Consumer Sentiment May prev 80.1 (10:30am) NAB Business Survey Apr (11:30am) Conditions prev 6 Confidence prev -29 EURO ZONE EU ZEW Expectations May prev -20.4 (7:00pm) JAPAN Household Spending Mar y/y prev -1.8% (9:30am) UNITED STATES NFIB Small Business Optimism Apr prev 95.8 (8:00pm) CPI Apr prev 0.9% (10:30pm) Fedspeak – Goolsbee (3:00am)	13 AUSTRALIA WPI Q1 (11:30am) q/q exp 0.8% prev 0.8% y/y exp 3.3% prev 3.4% Housing Finance Approvals Q1 (11:30am) Total exp prev 9.5% Owner-Occupier prev 10.6% Investor prev 7.9% EURO ZONE GDP Q1 (S) (7:00pm) Industrial Production Mar prev 0.4% (7:00pm) JAPAN Current Account Mar prev ¥3932.7bn (9:50am) NEW ZEALAND RBNZ 2Yr Inflation Expectation Q2 y/y prev 2.37% (1:00pm) UNITED STATES PPI Apr prev 0.5% (10:30pm)	14 AUSTRALIA MI Consumer Inflation Expectations May y/y prev 5.9% (11:00am) NEW ZEALAND Net Migration Mar prev 3970 (8:45am) UNITED KINGDOM GDP Q1 prev 0.1% (4:00pm) UNITED STATES Import Price Index Apr prev 0.8% (10:30pm) Retail Sales Apr prev 1.7% (10:30pm) Business Inventories Mar prev 0.4% (12:00am) Fedspeak – Hammack (3:00am)	15 CHINA Current Account Balance Q1 (P) prev US\$243.8bn NEW ZEALAND BusinessNZ Mfg PMI Apr prev 53.2 (8:30am) Selected Price Indices Apr (8:45am) UNITED STATES NY Empire Manufacturing Index May prev 11 (10:30pm) Industrial Production Apr prev -0.5% (11:15pm)
18 CHINA Activity Data Apr ytd y/y (12:00pm) Retail Sales prev 2.4% Industrial Production prev 6.1% Fixed Asset Investment prev 1.7% NEW ZEALAND Performance Services Index Apr prev 46.0 (8:30am) UNITED KINGDOM Rightmove House Prices May prev 0.8% (9:01am) UNITED STATES NAHB Housing Market Index May prev 34 (12:00am)	19 AUSTRALIA RBA's Hunter – Speech (9:30am) RBA May Meeting Minutes (11:30am) EURO ZONE Trade Balance Mar prev €7.0bn (7:00pm) JAPAN GDP Q1 (P) prev 0.3% (9:50am) Industrial Production Mar (F) prev -0.5% (2:30pm) NEW ZEALAND PPI Q1 prev 0.1% (8:45am) Retail Card Spending Apr prev 0.7% (8:45am) UNITED KINGDOM ILO Unemployment Rate Mar prev 4.9% (4:00pm) UNITED STATES Pending Home Sales Apr prev 1.5% (12:00am) Fedspeak – Paulson (9:00am)	20 AUSTRALIA Westpac-MI Leading Index Apr ann'd prev -0.13% (10:30am) EURO ZONE CPI Apr (F) (7:00pm) UNITED KINGDOM CPI Apr y/y prev 3.3% (4:00pm) UNITED STATES FOMC April Meeting Minutes (4:00am)	21 AUSTRALIA Labour Force Survey Apr (11:30am) Employment Change exp 10k prev 17.9k Unemployment Rate exp 4.3% prev 4.3% Participation Rate exp 66.8% prev 66.8% EURO ZONE EC Consumer Confidence May (P) prev -20.6 (12:00am) JAPAN Core Machinery Orders Mar prev 13.6% (9:50am) NEW ZEALAND Trade Balance Apr prev NZ\$698mn (8:45am) UNITED STATES Philadelphia Fed Manufacturing Index May prev 26.7 (10:30pm) Housing Starts Apr prev 10.8% (10:30pm) Building Permits Apr prev -10.8% (10:30pm) Kansas City Fed Manufacturing Index May prev 10 (1:00am) GLOBAL S&P Global PMIs May (P) Manufacturing Services	22 EURO ZONE Ger. IFO Business Climate Survey May prev 84.4 (6:00pm) JAPAN CPI Apr y/y prev 1.5% (9:30am) NEW ZEALAND Retail Sales Volumes Q1 prev 0.9% (8:45am) UNITED KINGDOM GfK Consumer Sentiment May prev -25 (9:01am) Retail Sales Apr prev 0.7% (4:00pm) UNITED STATES UoM Consumer Sentiment May (F) (12:00am)

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Economic Calendar



May 2026

MON	TUE	WED	THU	FRI
25	26	27	28	29
UNITED STATES Chicago Fed National Activity Index Apr prev -0.2 (10:30pm)	UNITED STATES FHFA House Prices Mar prev 0.0% (11:00pm) S&P CoreLogic CS House Prices Mar prev -0.05% (11:00pm) Conf. Board Consumer Confidence Index May prev 92.8 (12:00am) Dallas Fed Manufacturing Index May prev -2.3 (12:30am)	AUSTRALIA RBA Board Member – Speech (11:00am) CPI Apr (11:30am) Headline m/m exp 1.1% prev 1.1% Headline y/y exp 5.0% prev 4.6% Construction Work Done Q1 exp 0.5% prev -0.1% (11:30am) CHINA Industrial Profits Apr y/y prev 15.8% (11:30am) NEW ZEALAND ANZ Business Confidence May prev -10.6 (10:00am) RBNZ Policy Decision exp 2.25% prev 2.25% (12:00pm) UNITED STATES Richmond Fed Manufacturing Index May prev 3 (12:00am)	AUSTRALIA Private Capital Expenditure Q1 exp 0.3% prev 0.4% (11:30am) EURO ZONE EC Economic Confidence May prev 93.0 (7:00pm) EC Consumer Confidence May (F) (7:00pm) NEW ZEALAND Employment Indicator Apr prev 0.3% (8:45am) UNITED STATES Personal Income Apr (10:30pm) Personal Spending Apr (10:30pm) PCE Deflator Apr (10:30pm) Durable Goods Orders Apr (P) (10:30pm) GDP Q1 (S) (10:30pm) New Home Sales Apr (12:00am)	AUSTRALIA Private Sector Credit Apr prev 0.7% (11:30am) CHINA Manufacturing PMI May (11:30amSun 31 May) Non-manufacturing PMI May (11:30amSun 31 May) EURO ZONE CPI May (10:00pm) JAPAN Tokyo CPI May (9:30am) Jobless Rate Apr (9:30am) Industrial Production Apr (P) (9:50am) NEW ZEALAND ANZ Consumer Confidence May (8:00am) UNITED STATES Wholesale Inventories Apr (P) (10:30pm) Chicago PMI May (11:45pm)

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Week beginning 20 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Drawing a line on just drawing a line.

The Week That Was: Conflict in the Middle East to cast a long shadow.

Focus on New Zealand: Oil shock begins to surface in data.

Forecast Update: Our latest forecast updates are detailed in our April Market Outlook.

For the week ahead:

Australia: Westpac-MI Leading Index.

New Zealand: Q1 CPI, NZIER Survey of Business Opinion and Q1 trade balance.

United States: Retail sales, initial jobless claims, University of Michigan Sentiment.

Euro area: ZEW Survey of Expectations, consumer confidence, President Lagarde speaks.

UK: Unemployment rate, CPI, GfK consumer sentiment.

Japan: CPI.

World: Manufacturing and services PMI.

Information contained in this report current as at 17 April 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Draw a line on just drawing a line



Luci Ellis
Chief Economist, Westpac Group

- **You know times are uncertain when institutions start publishing scenarios alongside their normal forecasts. Two principles underlie good scenarios. First, the narrative underlying the scenario must hang together – no assuming people do things that are either individually irrational or infeasible. Second, the scenario must allow people to respond to the initial shock – avoid just drawing a price line on a graph and assuming people cannot adjust their behaviour.**
- **There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. There is a legitimate role for worst-case thinking, but it must be handled with care. Recall that even though our forecasts last year were less alarmist than many in the wake of Liberation Day, actual outcomes were even better than we had expected.**
- **The real value of scenarios is teasing out downstream effects and delayed responses. Sometimes the responses to temporary shocks can have lasting effects. From EV purchases to defence budgets, these could be especially important coming out of the current conflict. All the more reason to avoid just drawing a line and assuming that is the outcome.**

In times as uncertain as these, you want to be able to articulate more than one possible future state of the world. That is where scenario analysis comes in. Indeed, when institutions start publishing scenarios, you can take it as a sign that things are unusually uncertain. The RBA used scenarios extensively during the pandemic. And while the IMF did not give scenarios any prominence in its [previous](#) full *World Economic Outlook* report in October, it did [this week](#). Similarly, we have published [several scenario iterations](#) over the past six weeks and will provide an update later today in our Market Outlook report.

Using scenarios rather than simple uncertainty ranges or a description of risks is especially useful when the possible future states of the world are qualitatively different from the base case, and when the level of conviction about that base case is low. There is nothing wrong with a scenario that is only a little different from the base case, but it is not that interesting or informative.

Two key principles underlie good scenario analysis. First, the premise of the scenario needs to be well-grounded. The narrative motivating the initial impetus must hang together. It must be logically consistent and represent both the interests and the constraints of the actors within the system. In other

words, scenarios should not assume that people do things that are either bonkers or infeasible. Individually rational behaviour that is harmful in aggregate, such as panic-buying toilet paper or conducting fire-sales of loss-making assets, should of course be allowed for, but make sure the action is indeed individually rational.

Second, the methods used in developing the scenario need to go beyond first-round thinking. You need to allow for other people to react. A good scenario cannot be just a one-off shock where nothing else changes. Sometimes it takes time for people to adjust to the new situation, so the reaction occurs with a lag. Teasing these reactions out is the value-add of the scenario.

There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. Sometimes a lack of realism is used to guard against a potential failure of imagination. There is a legitimate role for this approach when stress testing, for example. However, unrealistic assumptions in forecast-flavoured scenarios leave your forecasts open to misinterpretation. We have seen an example of this issue this week, where the IMF's worst-case 'severe' scenario, which implies a global recession, has sparked unhelpful talk of recession here in Australia.

“Scenario analysis is essential in uncertain times, but it must be well-grounded, not just drawing an arbitrary line on a graph.”

Part of the issue is that the IMF's less-bad 'adverse' scenario (which assumes oil prices average USD100/bbl this year before moderating to USD75 next year) and worst-case 'severe' scenario (which assumes oil prices stay around USD125/bbl from the outbreak of the conflict all the way through to end-2027) are both 'top-down' scenarios that appear to start from an assumed path for oil prices. Unlike our own scenario work, they do not explicitly model loss of supply from the Middle East and work out what prices need to do to clear the global market. By effectively just drawing a line on a graph for oil prices, the scenarios assume away any scope for other producers to respond. This is not an issue in the near term, but the longer the assumption is maintained, the less realistic it is. High prices will spur non-OPEC producers such as the US and Canada to boost production. It takes time to get that expansion running, but eventually prices will start to ease.

Because it assumes high prices right through 2027, the ‘severe’ scenario is most challenged by this issue. This is not to say that the IMF should not have published that scenario, but it is important to understand the context and what it was trying to achieve in doing so.

When developing scenarios, you also need to avoid the trap of thinking only of downside risks. Part of the problem is that downside risks usually come from identifiable events. It is easy to construct a plausible narrative for a scenario starting from “this particular bad thing happened”. But as one of my old bosses used to remind us, sometimes you should also consider the risk everything just turns out a little bit better than expected.

As our [April Market Outlook](#) goes to publication later today, it is helpful to recall last [April’s edition](#). The ‘Liberation Day’ tariffs had been announced a fortnight previously, and many voices in the market were predicting global or US recessions. At the time we took a more moderate view, based on the principles noted above. Firstly, continuing with very high tariff rates would have been an act of economic self-harm. While it was hard to bet on the Trump administration acting rationally in a context of ‘flood the zone’ headlines and intemperate social media posts, self-interest is still the best assumption. If there is nothing preventing someone from stopping punching themselves in the face, they will stop punching.

Secondly – and this was a key judgement in our forecast last year – other countries had agency and could respond. In particular, China had scope to stimulate, and this would also cushion growth in Australia. In that context, we note that the latest Chinese GDP growth has again [surprised on the upside](#) relative to market expectations.

It turns out that even we were too bearish a year ago: the global economy did much better than expected, and global trade kept expanding with barely a hiccup. Other factors, including a tech boom, turned out to be more important than expected. Trade patterns were also re-routed around the highest tariffs, and of course the US government de-escalated, as is proving to be its pattern.

These principles also hold for other kinds of scenarios. Whenever you read a prediction of doom concerning, say, adoption of a new technology, ask yourself what is preventing people from responding to ameliorate the bad thing. What prevents macroeconomic policymakers from easing, for example, or the tax system from redistributing unequal gains? While occasionally decision-makers decide that a bad thing is good actually, holding that position is itself fragile.

Where scenarios can really add value is when they highlight a lasting effect from a temporary shock. Whether it is the person who buys an EV in response to current high petrol prices and reduces their petrol consumption permanently, or the government that reassesses its defence spending, behavioural responses can change longer-term demand trends, and so the prices that prevail further out. Normalisation after a shock does not always take you back to where you were. That is another reason why it is so important to avoid just drawing a line on a graph and calling it a scenario, ignoring system-wide effects.

Forecast changes

- A full update to our forecasts was published in our [Market Outlook publication on April 17](#).

Cliff Notes: conflict in the Middle East to cast a long shadow

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

[Our Westpac-MI Consumer Sentiment Index](#) posted its largest fall since COVID-19, down 12.5% to a deeply pessimistic reading of 80.1. The impact from the surge in fuel prices was acute, leading to a more pronounced deterioration in the sub-indexes tracking current conditions – namely ‘family finances vs a year ago’ (–16.7%) and ‘time to buy a major household item’ (–15.0%). There were also significant hits to the year-ahead outlook for family finances (–13.9%) and the economy (–12.4%), suggesting households are bracing for enduring pressure.

The tone of the March [NAB business survey](#) was no better, business confidence collapsing 29pts from a neutral reading in February. This came alongside a notable lift in purchase cost pressures, up 1.7pts to a quarterly pace of 3.0%. That final producer prices lifted +0.4pts emphasises the rapid pass-through of surging fuel costs, but also that businesses are currently absorbing most of the increase in costs via margins, impacting profitability. The readings for current trading conditions and employment were positive, enabling business conditions to hold around its long-run average. This suggests the underlying health of the economy can be maintained if risks subside quickly.

This week we also received the March Labour Force Survey. It showed the Australian labour market was in good health prior to the Middle East conflict and the RBA's most recent rate hike. Employment growth continued to strengthen from its trough in March, from 1.0%yr to 1.5%yr on a three-month average basis, reflecting the economy's momentum through the second half of 2025 and into 2026. The unemployment rate has also held at 4.3% over the past two months, a similar level to the second half of last year. It now looks increasingly like the 4.1% prints at the turn of the year were due to temporary weakness in participation, not a sustained re-tightening.

However, given the hit to business confidence and the expectation of further policy tightening, the Middle East conflict looks set to cast a long shadow over the labour market. We expect a combination of lower average hours worked and slower employment growth, seeing the unemployment rate lift to 5.0% in early 2027. Tracking industries most exposed to the fuel shock will provide an initial take on the scale of the impact. Manufacturing, construction, transport/logistics and travel/tourism are the sectors to watch.

Offshore, an abrupt end to the first round of in-person talks between the US and Iran and the US' Navy's subsequent blockade of Iranian ports and associated vessels was the main point of conversation for markets this week. The market's take has been sanguine, the price of Brent oil retreating

below US\$100 and global equities rallying back to historic highs during the week. Comments made by both sides imply negotiations are ongoing and another round of in-person talks will occur before the two-week ceasefire ends in coming days. There is also the option to extend the ceasefire, if necessary.

Effectively cut off from global shipping, Iran's need for a deal is clear. But this is also the case for the US economy, University of Michigan consumer sentiment fell to a record low this week, 43% below the average of the survey since 1978. Price pressures are currently limited to first-order effects, headline CPI inflation printing at 0.9% against a core reading of just 0.2% in March. Should the conflict persist, it is highly likely second-round effects will permeate through the US economy, materially increasing the likelihood of inflation holding well above target and term interest rates trending higher. FOMC members who spoke this week all showed confidence in the underlying health of the US economy but also concern over the potential for an lasting imbalance between growth and inflation.

In contrast, [China's economy showed strength this week](#), annual GDP growth accelerated from 4.5%yr in Q4 2025 to 5.0%yr in Q1, matching the full-year outcome for 2025. From the monthly partial data, China's Q1 momentum was principally due to the strength of exporters and associated investment, both of which are likely to receive a lasting boost from increased demand for green technology given the Middle East's impact on energy prices and supply. There is reason for guarded optimism over the outlook for property investment as well, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years would provide a material boost to aggregate growth through 2026.

External demand and investment's support for GDP masks the still-troubled state of consumer demand. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment. Without broadening the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years, even with a significant benefit from global demand for green technology.

A full update of our expectations and assessment of risks for the global economy and markets will be made available today in the April edition of Market Outlook on Westpac IQ.

Oil shock begins to surface in data

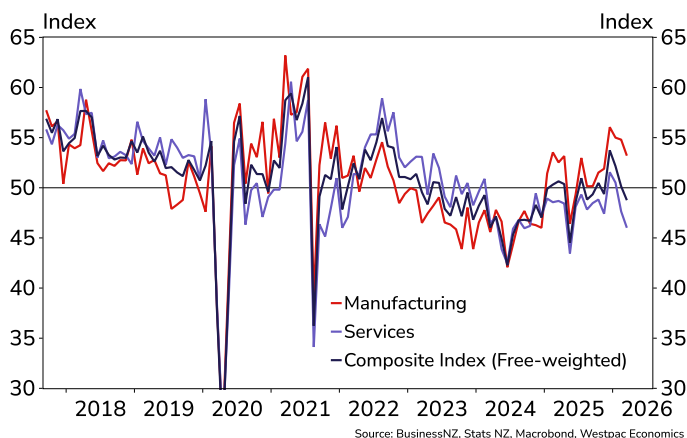


Darren Gibbs
Senior Economist

The past week has delivered some further insight on the early impact of the Middle East conflict on the New Zealand economy. Unsurprisingly, that data points to some marked changes in spending patterns and clear upward pressure on prices for energy products. Even greater impacts are certain to be evident over coming months as the shock transmits through the economy.

On Monday, BusinessNZ reported that its Performance of Services Index had declined 1.6pts in March to a 10-month low of 46.0. All five subindexes fell below 50, with the activity/sales index falling to 44.6 and the new orders/business index falling to 45.7. The employment index also fell to the lowest level since October 2024. Separately, MBIE reported a modest decline in job ads in March. However, for now, the level of advertising remains more than 10% higher than a year earlier, and we are also yet to see any sign of labour shedding in the weekly filled jobs data collected from tax records. Meanwhile, more than two-thirds of the comments submitted by respondents to the BusinessNZ survey were said to be negative, with many – especially in industries dealing with discretionary spending – unsurprisingly citing the impacts of the Middle East crisis.

BusinessNZ PMIs

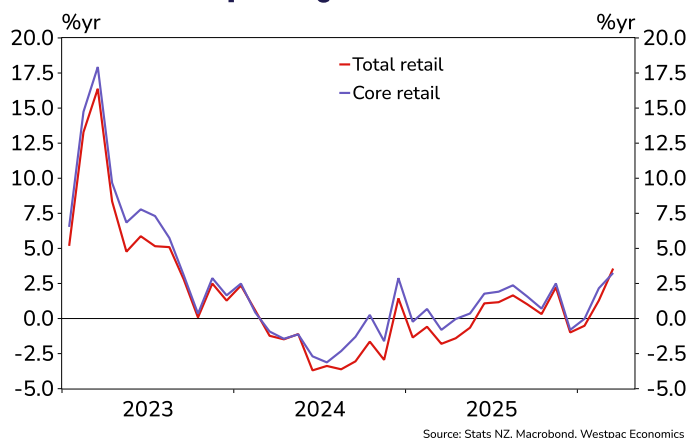


Later in the week [news from the retail sector](#) provided no major surprises. Consumer spending, as measured by electronic card payments, increased 0.7%*m/m* in March. Unsurprisingly, with petrol prices surging almost 19% during the month, spending on fuel increased over 17%. By contrast, core spending – which excludes spending on fuel and vehicles – fell a modest 0.1%*m/m*. Within the core measure, while spending on consumables (groceries) and durables grew, this

was more than offset by a decline in spending on apparel and hospitality. These data were broadly in line with the trends that were evident in [Westpac's own card spending data](#), which we had published earlier in the week.

Given the outcome for March, retail spending over the March quarter grew 1.0%. This was the strongest quarter since the December 2024 quarter, consistent with our view that the economy's forward momentum had improved at the start of this year. But looking ahead, high fuel prices will continue to siphon money out of households' pockets. At the same time, they will add to costs of production for a variety of other goods and services and will continue to significantly undermine consumer confidence. Overtime, these costs will also weigh on the strong growth in tourist arrivals that has helped retailers to weather a time of relatively subdued domestic spending. We continue to anticipate that consumer spending volumes will decline slightly in the current quarter, even as the value of spending is sustained by higher prices.

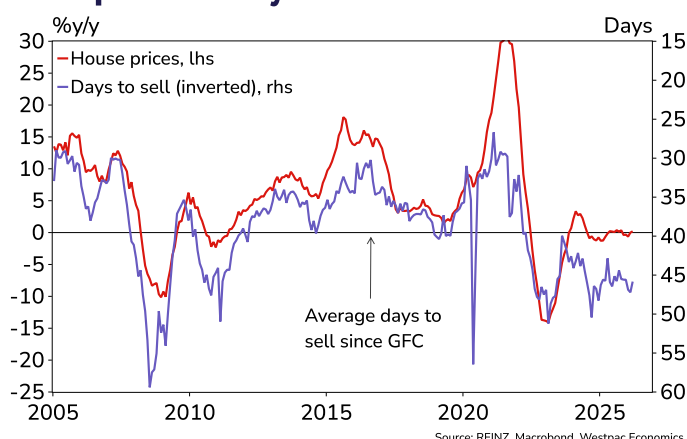
Electronic card spending in retail stores



[News from the housing market](#) also provided no major surprises. Sales were down around 4% in March, reversing a 5% rise in February, and have been effectively moving sideways over the last year. The average time to sell shortened compared to February but has also remained within a narrow range and remains longer than usual. The REINZ house price index ticked up slightly in March following a 0.6% rise in February. Prices have now largely reversed the declines that we saw over the second half of 2025 and were up 0.2% from a year earlier. Conditions vary across the country, with prices trending higher in the South Island while the North Island has been more stagnant. Of course, the Middle East conflict has cast a

fresh shadow of uncertainty over the economic outlook. It was unlikely that we would see an impact on the housing market as early as March, but in the months ahead we'll be watching for signs of a softening that would support our current forecast of a 1% fall in prices over this year. (Anecdotal evidence suggests greater caution amongst buyers in recent weeks.)

House prices and days to sell

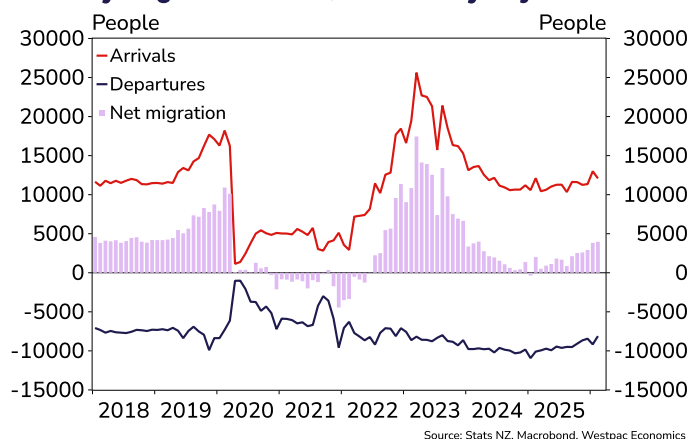


Another sector that is likely to be challenged by the Middle East conflict is the tourism industry. Increased prices for flights and sharply lower consumer confidence are likely to be weighing on forward bookings, especially from long-haul countries, and this should become evident as the year progresses. However, the recent trend has been very favourable, with arrivals in February increasing for an eighth consecutive month. A notable feature of the latest data was a further improvement in arrivals from China, which until recently had continued to track far below pre-pandemic levels. Thanks to the timing of the Lunar New Year, arrivals from China was more than triple that seen in February last year. But taking the January/February period as one to remove the impact of the floating holiday timing, arrivals were still up more than 50% and just 5% below the level seen in 2019. Helpfully, this comes at a time when there appears to be some slowing in arrivals from some other markets, notably the US and South Korea.

The inflow of longer-term arrivals – new residents and those on working, educational and other visas – has also shown some signs of lifting of late. Keeping in mind that more recent observations are subject to revision, the number of migrant arrivals in February was estimated to be around 2,000 greater than the low point seen in August last year whilst the number of departures was around 3,000 less than last January's highpoint. The net inflow of 3,600 was the largest since March 2024 and the inflow for the year to February – just over 25,000 – was over 7,000 more than the preceding year. At least in part the strengthening trend is further evidence of the improved

economic conditions that were developing in New Zealand prior to the Middle East conflict. Changes to visa policy have likely also contributed to the pickup in inflows.

Monthly migration flows, seasonally adjusted



Finally, the release of the Selected Prices Indexes for March has allowed us to finalise [our forecast for next week's March quarter CPI](#) report. As expected, the price of petrol increased 19% in March and the price of diesel surged 42%. However, food and some other travel-related prices such as airfares came in slightly weaker than expected. As a result, we have revised down our forecast for the CPI to 0.7%, which would see annual inflation ease back to 2.8% from 3.1% in the December quarter. Higher prices for food and petrol should make the most significant contributions, although tradable prices overall are expected to rise just 0.2% over the quarter and 2.1% over the year. Non-tradables prices are forecast to increase 0.8% over the quarter, lowering annual inflation to 3.3%. Meanwhile measures of core inflation, such as the trimmed mean and the ex-fuel and energy CPI, are expected to remain in the top half of the RBNZ's target range.

Our forecast is a little lower than the updated 3.0% forecast released by the RBNZ at its 8 April Monetary Policy Review. Assuming the CPI prints close to our expectations, the RBNZ will only take modest comfort given what lies ahead. The impact of the oil shock will become more evident when the June quarter CPI is released in July, and perhaps earlier in the monthly Selected Prices Indexes that will be released prior to the CPI. We currently estimate that annual CPI inflation will rise to 4.3% in the June quarter, although much will depend on how petrol prices evolve over coming weeks.

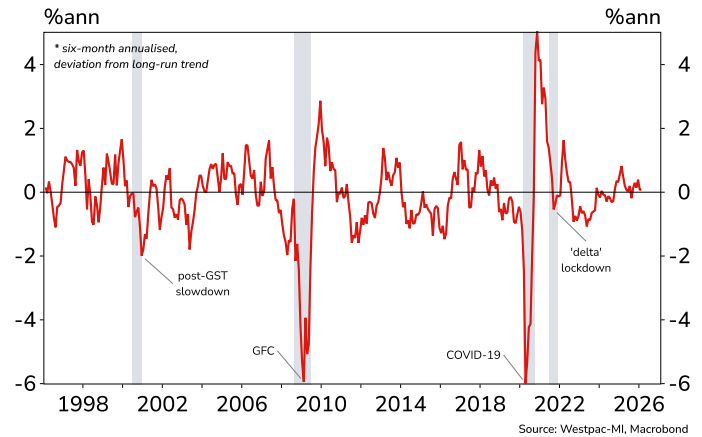
AUS: Mar Westpac-MI Leading Index

Apr 22, Last: +0.08%

The Leading Index growth rate held at +0.08% in February, unchanged from January but down from more firmly positive reads late last year.

The March read will again see a very mixed bag of component updates. The global energy shock has hit sentiment measures and financial markets hard. Both the Westpac-MI Consumer Expectations Index and the Westpac-MI Unemployment Expectations Index deteriorated by 10% in the latest month, the S&P/ASX200 dropping 7.8% month to month and the yield spread narrowing further. However, commodity prices firmed (up 2.1% in AUD terms) and total hours worked rose 0.5% while dwelling approvals posted a big 30% rebound from very weak reads in Dec-Jan. The net effect is hard to judge but may be more neutral than weak.

Westpac-MI Leading Index

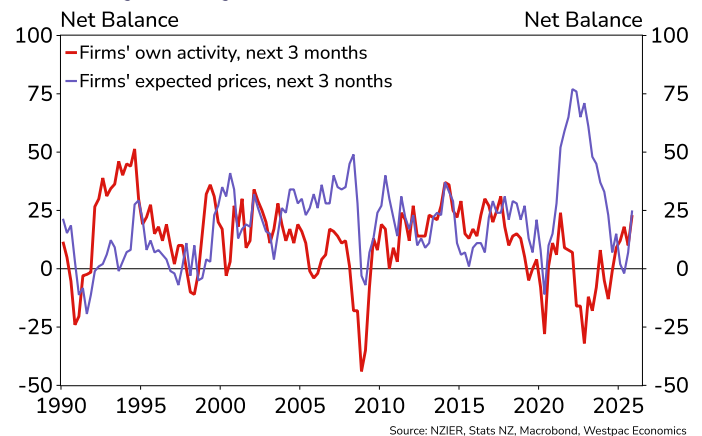


NZ: Q1 NZIER Survey of Business Opinion (index)

Apr 21, General business confidence last: 39.5

The December quarter QSBO showed a more upbeat attitude among businesses than we've seen for some time, with both actual and expected activity picking up, and demand for workers responding accordingly. The March quarter survey will be a different matter though, coming in the wake of the Iran war, and later responses are likely to be significantly more downbeat than earlier ones. The pricing measures of the survey will show the hit from the surge in fuel costs, but more important will be firms' willingness to pass this on into their own prices. This particular measure seems to have been instrumental in kicking off both tightening and easing phases by the RBNZ in recent years.

Quarterly Survey of Business Opinion

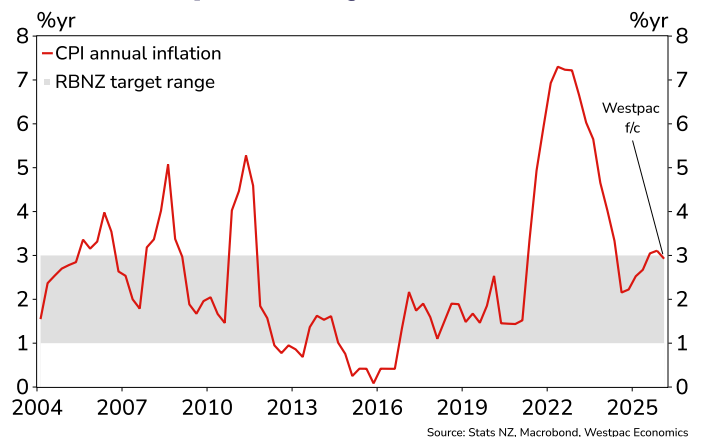


NZ: Q1 Consumer Prices (%)

Apr 21, Quarterly last: 0.6, Westpac f/c: 0.7
Annual last: 3.1, Westpac f/c: 2.8, RBNZ f/c: 3.0

We estimate that New Zealand consumer prices rose by 0.7% in the March quarter, underpinned by higher prices for food and petrol. The annual inflation rate is expected to dip from 3.1% to 2.8%, slightly below the RBNZ's forecast of 3.0% (updated at its April Monetary Policy Review). Under the surface, core inflation is expected to remain at firm levels. While the annual inflation rate is set to soften a little in March, this will be just a temporary reprieve. Inflation is set to rise sharply through the middle part of the year in response to the recent rise in oil prices and related increases in other costs. We expect inflation will rise to around 4.3% mid-year.

Inflation at top of the range before Iran war



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 20							
NZ	Mar	Trade Balance	\$mn	-257	-	388	Higher fuel prices will likely weigh in April.
Tue 21							
NZ	Q1	NZIER Survey of Business Opinion	index	39.5	-	-	Early indicator of business activity, pricing pressures.
	Q1	CPI	%qtr	0.6	0.8	0.7	Boost from food and fuel prices.
	Q1	CPI	%ann	3.1	2.9	2.8	Temporary easing, set to rise sharply mid-year.
Eur	Apr	ZEW Survey Of Expectations	index	-8.5	-	-	Middle East undoubtedly weighing on investor confidence.
UK	Feb	ILO Unemployment Rate	%	5.2	5.2	-	Labour market already weakening before Middle East shock.
US	Mar	Retail Sales	%mth	0.6	1.3	-	Evaporating confidence keeps consumer on weaker footing.
	Feb	Business Inventories	%mth	-0.1	0.3	-	Inventory restocking slowing amid shaky consumer outlook.
	Mar	Pending Home Sales	%mth	1.8	0.8	-	Early guide to established home sales, which is low and stable..
Wed 22							
Aus	Mar	Westpac-MI Leading Index	%ann'd	0.08	-	-	Interest rate hikes and Middle East impacts soon to be felt.
Eur	Apr	Consumer Confidence	index	-16.3	-17.3	-	Sunk to a two-and-a-half year low on Middle East crisis.
		ECB President Lagarde	-	-	-	-	Speaking on global challenges at LSE, 3:30am AEST.
UK	Mar	CPI	%ann	3.0	3.3	-	Set to pop materially higher on oil; focus on core.
Thu 23							
Jpn	Apr	S&P Global Manufacturing PMI	index	51.6	-	-	Expanding at a slower rate, uncertainty starting to weigh ...
	Apr	S&P Global Services PMI	index	53.4	-	-	... services activity is otherwise robust, providing some offset.
Eur	Apr	S&P Global Manufacturing PMI	index	51.6	50.1	-	Uptrend in manufacturing at risk of being arrested ...
	Apr	S&P Global Services PMI	index	50.2	49.5	-	... health of consumer will be key for services.
UK	Apr	S&P Global Manufacturing PMI	index	51.0	49.8	-	UK on more uneven footing, with mfg growth modest ...
	Apr	S&P Global Services PMI	index	50.5	50.0	-	... and services activity slowing toward break-even.
US	Mar	Chicago Fed Activity	index	-0.11	-	-	Likely to suggest below-trend growth for time being.
		Initial Jobless Claims	000s	207	210	-	Still quite low, not indicative of widespread firing.
	Apr	S&P Global Manufacturing PMI	index	52.3	52.8	-	Industry on a solid footing, similar to the ISM, but ...
	Apr	S&P Global Services PMI	index	49.8	50.0	-	... a weaker consumer does not bode well for services.
	Apr	Kansas City Fed Manufacturing	index	11	-	-	Performing relatively well compared to other regions.
Fri 24							
Jpn	Mar	CPI	%ann	1.3	1.4	-	Ueda strikes a cautious tone, monitor data before reacting.
Ger	Apr	IFO Business Climate Survey	index	86.4	86.6	-	Will souring expectations bleed into current situation view?
UK	Apr	GfK Consumer Sentiment	index	-21	-25	-	Confidence weakening but not unravelling frantically.
	Mar	Retail Sales	%mth	-0.4	-0.3	-	Watch core sales (ex fuel) for early signs of pressure.
US	Apr	Uni. Of Michigan Sentiment	index	47.6	48.3	-	Final estimate will provide full read on US-Iran reaction.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (17 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.63	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	69	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.31	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.44	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.68	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	36	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (17 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7164	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5892	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.11	158	156	154	152	150	148	146	144	142
EUR/USD	1.1786	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3532	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8227	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2159	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
Employment %qtr **	0.2	0.2	0.7	0.3	0.2	0.1	0.4	0.5	–	–	–	–
%yr end **	1.4	1.1	1.5	1.4	1.4	1.3	1.1	1.3	1.1	1.3	1.7	2.3
Unemployment rate % **	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter-averages.

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.7	1.9	1.0	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.8	4.3	4.2	3.9	3.5	1.6	2.2	3.1	3.9	1.7

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